

**BANK MELLAT, HEAD OFFICE: TAHRAN-IRAN
İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**

**INDEPENDENT AUDITOR'S REPORT, UNCONSOLIDATED
FINANCIAL STATEMENTS AND FOOTNOTES
FOR THE ACCOUNTING PERIOD OF
1 JANUARY-31 DECEMBER 2022**



INDEPENDENT AUDITOR'S REPORT

To the Board of Managers of Bank Mellat, Head Office: Tahrán-Iran İstanbul Turkey Main, Ankara and İzmir Branches

Independent Auditing of Unconsolidated Financial Statements

Opinion

We have audited the accompanying unconsolidated financial statements of Bank Mellat, Head Office: Tahrán-Iran İstanbul Turkey Main, Ankara and İzmir Branches (the "Branch") as of December 31st, 2022, which are comprise of unconsolidated statement of financial position, unconsolidated statement of income, unconsolidated statement of income and expense items under shareholders' equity, unconsolidated statement of changes in equity, unconsolidated statement of cash flows and with a summary of significant accounting policies and footnotes on unconsolidated financial statement.

In our opinion, the unconsolidated financial statements present fairly, in all material respects, the unconsolidated financial position of the Branch as at 31 December 2022, and its unconsolidated financial performance and its unconsolidated cash flows for the year then ended in accordance with the Banking Regulation and Supervision Agency ("BRSA") Accounting and Financial Reporting Legislation which includes "Regulation on Accounting Applications for Banks and Safeguarding of Documents" published in the Official Gazette no.26333 dated 1 November 2006, and other regulations on accounting records of Banks published by Banking Regulation and Supervision Agency and circulars and interpretations published by BRSA and Turkish Accounting Standards ("TAS") for those matters not regulated by the aforementioned regulations.

Basis of our Opinion

Our audit was conducted in accordance with the "Regulation on Independent Audit of Banks" published by the BRSA on the Official Gazette No.29314 dated 2 April 2015 and the Standards on Independent Auditing (the "SIA") that are part of Turkish Standards on Auditing issued by the Public Oversight Accounting and Auditing Standards Authority (the "POA"). Our responsibilities under these standards are further described in the "Auditor's Responsibilities for the Audit of the Unconsolidated Financial Statements" section of our report. We hereby declare that we are independent of the Branch in accordance with the Ethical Rules for Independent Auditors (the "Ethical Rules") and the ethical requirements regarding independent audit in regulations issued by POA that are relevant to our audit of the unconsolidated financial statements. We have also fulfilled our other ethical responsibilities in accordance with the Ethical Rules and regulations. We believe that the audit evidence we have obtained during the independent audit provides a sufficient and appropriate basis for our opinion.



Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the unconsolidated financial statements of the current period. Key audit matters were addressed in the context of our independent audit of the unconsolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key Audit Matters

Going Concern basis

The unconsolidated financial statements have been prepared assuming that the Branch will continue as a going concern on the basis that it will be able to realize its assets and discharge its liabilities in the normal course of business.

As explained in the footnote regarding the brief information on the branch's services and areas of operation, some Iran-based financial and industrial institutions, including Bank Mellat, were included in the list of secondary sanctions on 17 October 2018. Requests for termination of business relations with the Branch were submitted by domestic banks working with the Branch.

As of the date of this report, the effects of the mentioned issue on the operations and financial statements of the Branch have explained in the relevant footnote, management takes precautions for this situation.

Appropriateness of going concern basis used by the Branch management for the preparation of unconsolidated financial statements and as a result the assessment of the Branch's ability to continue as a going concern basis is a key audit matter for our audit.

How Key Audit Matter Addressed in the Audit

In relation to going concern assumptions, we inquired with the Branch management to understand their plans of the entity's ability to continue as a going concern and we obtained written representation from Branch management regarding their plans for future action and the feasibility of these plans for the next year.

We evaluated management's plans for future actions in relation to its going concern assessment, whether management's plans are feasible in the circumstances.

We evaluated Branch management's budget for one year after the balance sheet date and reliability of the assumptions underlying these forecast.

We performed audit procedures as of the date of this report regarding subsequent events to identify those that either mitigate or otherwise affect the entity's ability to continue as a going concern.

We evaluated the appropriateness and the adequacy of disclosures in relation to the events and conditions that may cast doubt on the Branch's ability to continue as a going concern and their plans assessing these events and conditions.



Responsibilities of Management and Those Charged with Governance for the Unconsolidated Financial Statements

The Branch management is responsible for the preparation and fair presentation of the unconsolidated financial statements in accordance with the BRSA Accounting and Financial Reporting Legislation, and for such internal control as management determines is necessary to enable the preparation of unconsolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the unconsolidated financial statements, management is responsible for assessing the Branch's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Branch or to cease operations, or has no realistic alternative but to do so. Those charged with governance are responsible for overseeing the Branch's financial reporting process.

Responsibilities of the Independent Auditor Relative to Auditing of Unconsolidated Financial Statements

In an independent audit, as independent auditors, our responsibilities are these:

Our purpose is to obtain reasonable guarantee as to whether the non-consolidated financial statements as a whole, contain material misstatements or not, based on errors or frauds. The reasonable assure given in consequence of an independent auditing conducted in accordance with Banking Regulation and Supervision Agency Audit Regulation and Independent Audit Standarts, is a high assurance level but, there is no guarantee against assessing always of an existing material misstatement. Misstatements might be based on error or fraud. These misstatements are deemed material if the misstatement within reason, expected to affect the economic decisions that the users of the financial statements will receive with reference to the table, alone or collectively.

By force of an independent audit conducted in accordance with Banking Regulation and Supervision Agency Audit Regulation and Independent Audit Standarts, we are in process of using our Professional judgement and suspiciousness.

In Addition :

- The risks of "material misstatements" originating from errors or fraud in unconsolidated financial statements are identified and evaluated; audit procedures that respond to these risks are designed and implemented, and sufficient and appropriate audit evidence is obtained to provide a basis for the audit. Fraud could be includes collusion, forgery, wilful neglect, mispresentation or breach of internal control, because of that a material misstatements arising from frauds has higher level of risk than misstatements arising from errors.
- The internal control relevant to the audit is evaluated to design audit procedures that are appropriate to the situation, but not for presenting an opinion about the effectiveness of the Bank's internal control.
- It has been evaluated whether the accounting estimates made and conformity of accounting policies used by the management and relevant disclosures, are reasonable, or not.
- Based on the audit evidence obtained, there have been decided about whether the management has reason to believe that there is a material uncertainty about the circumstances or events may cause serious doubt about the Bank's ability of continuing to it's going concern, or not, and about the compatibility of using the going concern concept by the management. When we confirm that there is a significant uncertainty, in our report, we must point to the relevant disclosures that are in unconsolidated financial statements. if these disclosures are insufficient, we must issue another opinion rather than a positive opinion. The results obtained by us, are based on evidences obtained until the date of audit report. However, any future event or circumstance may terminate the continuity of the Bank.

- There have been evaluated, including comments, whether unconsolidated financial statements, disclosures are included, and the underlying transactions and events of these tables are reflect the truths accordingly, with their general presentation, structure and content.
- On top of the other issues, we are on report the material audit findings with the planned coverage and timing of the independent audit to those charged with governance, including any significant internal control deficiencies we have identified during the audit.
- We have made a notice that we have complied with the ethical provisions relating to independence to those charged with governance. In addition, we have delivered all the relations and other considerations that could be considered to have an impact on independence, and if any, relevant measures, to those responsible for the senior management.
- Among the items that are reported to those charged with governance, we specify the most important issues, namely the key audit issues, in the independent audit of the financial statements that are not present in the current period. In cases where the legislation does not allow the disclosure of the matter to the public, or in exceptional cases where the negative consequences of public disclosure are reasonably expected to exceed the public interest arising from the disclosure, we may decide not to disclose the relevant matter in our independent auditor's report.

Other Liabilities Arising From the Legislation

No important issue was detected that the set of accounts of the Bank in 1 January - 31 December 2022 accounting period is out of keeping with the provisions of Turkish Commercial Code and with the Articles of Incorporation of the Bank, as per the fourth paragraph of 402nd Article of 6102 numbered Turkish Commercial Code.

The Executive Board has made the explanations and submitted the documents required in scope of the auditing, as per the fourth paragraph of 402nd Article of Turkish Commercial Code.

Ankara, 17.03.2023 / 2023-19

**REHBER BAĞIMSIZ DENETİM
VE YEMİNLİ MALİ MÜŞAVİRLİK A.Ş.**

**ADİL ÖNER, Sworn-in CPA
Responsible Auditor**

**THE UNCONSOLIDATED FINANCIAL REPORT OF
BANK MELLAT, HEAD OFFICE: TAHRAN-IRAN ISTANBUL TURKEY MAIN,
ANKARA AND IZMIR BRANCHES AS OF 31 DECEMBER 2022**

Headquarter's Address : Taleghani Avenue No: 276 Tahrán – Iran
Turkey Main Branch Address : Büyükdere Cd. No: 134 34330 1.Levent-Istanbul/Turkey
Telephone : (0212) 279 80 15
Fax : (0212) 284 62 14
Website : www.mellatbank.com
E-mail address : mellat@mellatbank.com

The year end unconsolidated financial report designed by the Banking Regulation and Supervision Agency in line with Communiqué on Financial Statements to be Publicly Announced and the Related Policies and Disclosures consists of the sections listed below:

- GENERAL INFORMATION ABOUT THE BRANCH AND HEAD OF BRANCH
- UNCONSOLIDATED FINANCIAL STATEMENTS OF THE BRANCH
- CONSOLIDATED FINANCIAL STATEMENTS OF HEAD OF BRANCH
- EXPLANATIONS ON THE CORRESPONDING ACCOUNTING POLICIES APPLIED IN THE RELATED PERIOD
- INFORMATION ON FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH
- EXPLANATORY DISCLOSURES AND FOOTNOTES ON UNCONSOLIDATED FINANCIAL STATEMENTS
- OTHER EXPLANATIONS
- INDEPENDENT AUDITOR'S REPORT

The unconsolidated financial statements and the explanatory footnotes and disclosures, unless otherwise indicated, are prepared in **thousands of Turkish Lira**, in accordance with the Communiqué on Banks' Accounting Practice and Maintaining Documents, Turkish Accounting Standards, Turkish Financial Reporting Standards, related communiqués and the Banks' records, have been independently audited and presented as attached.



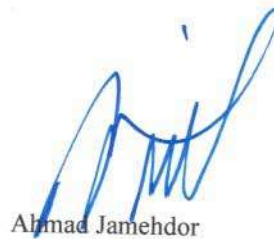
Abbas Ashrafnejad

Chairman of the
Board of Managers



Seyed Kazem Chavoshi

Member of the
Board of Managers



Ahmad Jamehdor

Deputy General Manager
and Member of the
Board of Managers



Abdulkadir Alper Ekşinar

Member of the Board of
Managers and Internal
Systems Executive

Information related to responsible personnel for the questions can be raised about financial statements

Name-Surname / Title : Nedim Karakuş / Senior
Phone No : (0212) 279 80 15
Fax No : (0212) 284 62 14

**BANK MELLAT, HEAD OFFICE: TAHRAN-IRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**

**NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2022**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira (“TRY”).

General Information	
I.	History of the Branch, including its establishment date, initial legal status and amendments to legal status, if any
II.	Explanation about the Branch's shareholding structure, shareholders who individually or jointly have power to control the management and audit directly or indirectly, changes regarding these subjects during the year, if any, and information about the controlling group of the Branch
III.	Explanation about the Branch's chairman and members of the board of managers, members of the audit committee, president and executive vice presidents, any changes, and the information about the Branch shares they hold
IV.	Information on shareholders having qualified shares
V.	Brief information on the Branch's services and areas of operation
VI.	Differences between the Communiqué on Preparation of Consolidated Financial Statements of Banks and Turkish Accounting Standards and short explanation about the entities subject to full consolidation or proportional consolidation and entities which are deducted from equity or entities which are not included in these three
VII.	Current or likely, actual or legal barriers to immediate transfer of equity or repayment of debts between Branch and its subsidiaries
Unconsolidated Financial Statements	
I.	Balance sheet (Financial Position Statement)
II.	Statement of off balance sheet commitments
III.	Statement of profit or loss
IV.	Statement of profit or loss and other comprehensive income
V.	Statement of changes in equity
VI.	Statement of cash flows
VII.	Statement of profit appropriation
VIII.	Consolidated financial statements of the Branch's Headquarters
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II.	Explanations on strategy of using financial instruments and explanations on foreign currency transactions
III.	Explanations on investments in associates and subsidiaries
IV.	Explanations on forward transactions, options and derivative instruments
V.	Explanations on interest income and expense
VI.	Explanations on fee and commission income and expenses
VII.	Explanations on financial assets
VIII.	Explanations on impairment on financial assets
IX.	Explanations on offsetting financial instruments
X.	Explanations on sales and repurchase agreements and securities lending transactions
XI.	Explanations on assets held for resale and related to discontinued operations and explanations on liabilities related with these assets
XII.	Explanations on goodwill and other intangible assets
XIII.	Explanations on tangible fixed assets
XIV.	Explanations on leasing transactions
XV.	Explanations on provisions and contingent commitments
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XVII.	Explanations on taxation
XVIII.	Explanations on borrowings
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XX.	Explanations on acceptances and availed drafts
XXI.	Explanations on government grants
XXII.	Explanations on profit reserves and profit appropriation
XXIII.	Explanations on earnings per share
XXIV.	Explanations on related parties
XXV.	Explanations on cash and cash equivalent
XXVI.	Explanations on segment reporting
XXVII.	Reclassifications
XXVIII.	Other matters
Information Related To Financial Structure and Risk Management Of The Branch	
I.	Explanations on shareholders' equity
II.	Explanations on credit risk
III.	Explanations on currency risk
IV.	Explanations on interest rate risk
V.	Explanations on position risk of equity securities in banking accounts
VI.	Explanations on liquidity risk
VII.	Explanations on leverage ratio
VIII.	Explanations on fair values of financial assets and liabilities
IX.	Explanations on the activities carried out on behalf and account of other persons
X.	Explanations on risk management
Explanatory Disclosures and Footnotes on Unconsolidated Financial Statements	
I.	Explanations and notes related to assets
II.	Explanations and notes related to liabilities
III.	Explanations and notes related to off balance sheet accounts
IV.	Explanations and notes related to income statement
V.	Explanations and notes related to changes in shareholders' equity
VI.	Explanations and notes related to statement of cash flows
VII.	Explanations and notes related to the Branch's risk group
VIII.	Explanations related to the domestic, foreign, off-shore branches and foreign representatives of the Branch
IX.	Explanations and notes related to subsequent events
Other explanations and disclosures	
I.	Other explanations on the Branch's operations
Explanations on Independent Auditor's Report	
I.	Explanations on independent auditor's report
II.	Explanations and notes prepared by independent auditor

BANK MELLAT, HEAD OFFICE: TAHRAN-IRAN İSTANBUL TURKEY MAIN, ANKARA AND İZMİR BRANCHES

**NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2022**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TRY").

SECTION ONE

GENERAL INFORMATION

I. HISTORY OF THE BRANCH, INCLUDING ITS ESTABLISHMENT DATE, INITIAL LEGAL STATUS AND AMENDMENTS TO LEGAL STATUS, IF ANY

Bank Mellat, Head Office: Tahrn-Iran Istanbul Turkey Main, Ankara and Izmir Branches ("the Branch"), which is based in Tahrn, Iran, established its branches in Istanbul, Ankara and Izmir on 18 August 1981, 23 February 1984 and 16 January 1992, respectively. The branches are registered under the scope of Foreign Capital Encouragement Law No. 6224, which permits the transfer of distributable profits to the Headquarter. The branches started operations after getting the approval from the Treasury Undersecretariat in April 1982, May 1985 and October 1992, respectively.

II. EXPLANATION ABOUT THE BRANCH'S SHAREHOLDING STRUCTURE, SHAREHOLDERS WHO INDIVIDUALLY OR JOINTLY HAVE POWER TO CONTROL THE MANAGEMENT AND AUDIT DIRECTLY OR INDIRECTLY, CHANGES REGARDING THESE SUBJECTS DURING THE YEAR, IF ANY, AND INFORMATION ABOUT THE CONTROLLING GROUP OF THE BRANCH

The shareholding structure of the main shareholder of the Branch – Bank Mellat Tahrn, Iran, is as follows:

Shareholders	31 December 2022 Share Percentage (%) ^(*)	31 December 2021 Share Percentage (%) ^(**)
State-Justice Share Recipients (ESC)	11,17	11,19
Islamic Republic of Iran	11,16	11,16
Mellat Investment Fund(BFM)	7,78	5,58
Bank Mellat's Staff Future Security Fund	6,10	6,45
Mellat Financial Group Company	5,93	4,41
1.Financial Intermediary Investment Fund	5,67	5,67
Fanavaran Petrochemical Company	4,47	4,47
Saba Tamin Investment Company	2,59	3,34
Other Shares Quoted on Stock Exchange	45,13	47,73
Total	100,00	100,00

(*) Shareholding structure as of 31 December 2022, announced by the Bank Mellat General Directorate of Financial Affairs, Stock Exchange and Shareholders of Iran.

(**) Shareholding structure as of 31 December 2021, announced by the Bank Mellat General Directorate of Financial Affairs, Stock Exchange and Shareholders of Iran.

III. EXPLANATIONS REGARDING THE SHARES AND AREAS OF RESPONSIBILITY OF THE BRANCH, THE CHAIRMAN AND MEMBERS OF THE BOARD OF DIRECTORS, THE MEMBERS OF THE AUDIT COMMITTEE AND THE GENERAL MANAGERS AND THEIR ASSISTANTS, IF ANY, IN THE BRANCH

Title	Name	Responsibility	Education
Chairman of the Board of Managers	Abbas Ashrafnejad	Chairman	Undergraduate
Members of the Board of Managers	Seyed Kazem Chavoshi	Member	Postgraduate
	Ahmad Jamehdor	Assistant General Manager-Member	Undergraduate
	Abdulkadir Alper Ekşinar	Member Responsible For Internal Systems	Undergraduate
Deputy General Manager / Vice General Managers	Ahmad Jamehdor	Financial Controlling, Treasury, Accounting, Human Resources, Information Systems, Administrative and Operations Assistant Responsible General Manager	Undergraduate
	Abbas Bayat	Assistant General Manager Responsible for Current Accounts	Postgraduate

The individuals mentioned above do not possess any share of the Bank.



**BANK MELLAT, HEAD OFFICE: TAHRAN-IRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**

**NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2022**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira (“TRY”).

GENERAL INFORMATION (Continued)

IV. INFORMATION ON SHAREHOLDERS HAVING QUALIFIED SHARES

Explanations of shareholders and entities that have share in the capital of Bank Mellat Tahrán Iran, which has all of the capital of the company:

31 December 2022				
Name/Commercial Title	Share amounts	Share percentage	Paid-in capital	Unpaid portion
State-Justice Share Recipients (ESC)	22.340	%11,17	22.340	-
Islamic Republic of Iran	22.320	%11,16	22.320	-
31 December 2021				
Name/Commercial Title	Share amounts	Share percentage	Paid-in capital	Unpaid portion
State-Justice Share Recipients (ESC)	22.380	%11,19	22.380	-
Islamic Republic of Iran	22.320	%11,16	22.320	-

V. BRIEF INFORMATION ON THE BRANCH’S SERVICES AND AREAS OF OPERATION

The Branch operates in banking services and its core business activity is financing the commercial activities between The Republic of Turkey and Islamic Republic of Iran.

On 17 October 2018, it was announced by Foreign Assets Control Office (“OFAC”), operating under US Treasury Department, that some Iran-based financial and industrial institutions, including Bank Mellat, the main shareholder of the Branch, were included in the list of secondary sanctions. In addition, after the US announced sanctions, SWIFT, headquartered in Belgium, announced that some Iranian banks on the sanctions list would be suspended for access to the system. Access of the Branch to SWIFT has been cancelled.

Following the inclusion of the Branch in the secondary sanctions list, the Branch was removed from the Branch EFT system by the CBRT and the Branch accounts at the CBRT were closed except for the required reserves. Likewise, the closure of the placements of the Branch, which is located in domestic public banks and some domestic private banks, was requested by the relevant banks and the funds in question were largely withdrawn. The branch cannot enter treasury auctions and cannot evaluate the cash it holds as placements in other banks. Therefore, there is a significant decrease in the interest and commission income of the Branch. Branches in subsequent periods if needed although not foresee a problem relating to capital adequacy and liquidity ratios Branch sources in Iran Headquarters Turkey / capital is thought to be provided. No difficulty is envisaged to meet the current obligations of the Branch.

In the upcoming period, developments will be followed and alternative opportunities will continue to be explored, and efforts have been initiated to focus on other financial banking products that will have different operating income. Liquid allocations were made for growth purposes in loans.

The Branch's balance sheet size on 31 December 2022 was 1.694.146 TRY, the balance sheet size on 30 September 2022 was 1.592.857 TRY, the balance sheet size on 30 June 2022 was 1.585.050 TRY, the balance sheet size on 31 March 2022 was 1.610.209 TRY and the balance sheet size on 31 December 2021 was 1.580.743 TRY.

The capital adequacy ratio of the Branch was calculated as 76.57% as of 31 December 2022, 79.08% as of 30 September 2022, 79.71% as of 30 June 2022, 78.59% as of 31 March 2022 and 76.86% as of 31 December 2021.

As of 31 December 2022, the number of employees of the Branch is 43 people (31 December 2021: 43). Unless otherwise specified, the information in the financial statements and the related explanations and footnotes has been prepared in Thousand Turkish Lira.



**BANK MELLAT, HEAD OFFICE: TAHRAN-IRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**

**NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2022**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TRY").

GENERAL INFORMATION (Continued)

- VI. DIFFERENCES BETWEEN THE COMMUNIQUE ON PREPARATION OF FINANCIAL STATEMENTS OF BANKS AND TURKISH ACCOUNTING STANDARDS AND SHORT EXPLANATION ABOUT THE ENTITIES SUBJECT TO FULL CONSOLIDATION OR PROPORTIONAL CONSOLIDATION AND ENTITIES WHICH ARE DEDUCTED FROM EQUITY OR ENTITIES WHICH ARE NOT INCLUDED IN THESE THREE METHODS**

The Branch does not have investments in subsidiaries and associates subject to consolidation.

- VII. CURRENT OR LIKELY, ACTUAL OR LEGAL BARRIERS TO IMMEDIATE TRANSFER OF EQUITY OR REPAYMENT OF DEBTS BETWEEN BRANCH AND ITS SUBSIDIARIES**

None.



**BANK MELLAT, HEAD OFFICE: TAHRAN-IRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**

**NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2022**

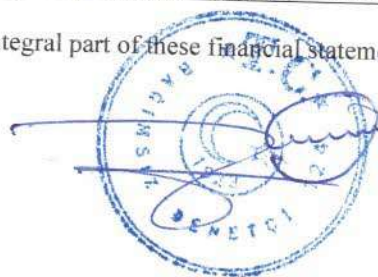
Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TRY").

**SECTION TWO
UNCONSOLIDATED FINANCIAL STATEMENTS**

I. BALANCE SHEET (STATEMENT OF FINANCIAL POSITION)

		Note (Section Five)	Audited			Audited		
			Current Period			Previous Period		
			31 December 2022			31 December 2021		
	ASSETS		TC	FC	Total	TC	FC	Total
I.	FINANCIAL ASSETS (Net)							
1.1	Cash and Cash Equivalents		581.962	810.358	1.392.320	573.361	758.013	1.331.374
1.1.1	Cash Assets and Central Bank		573.375	810.358	1.383.733	573.045	758.013	1.331.058
1.1.2	Banks	(I-a)	244.176	363.753	607.929	236.590	514.801	751.391
1.1.3	Receivables from Money Markets	(I-c)	329.199	446.605	775.804	336.455	243.212	579.667
			-	-	-	-	-	-
1.2	Financial Assets at Fair Value Through Profit or Loss	(I-b)	930	-	930	316	-	316
1.2.1	Government Debt Securities		-	-	-	-	-	-
1.2.2	Equity Instruments		930	-	930	316	-	316
1.2.3	Other Financial Assets		-	-	-	-	-	-
			-	-	-	-	-	-
1.3	Financial Assets at Fair Value Through Other Comprehensive Income	(I-d)	7.657	-	7.657	-	-	-
1.3.1	Government Debt Securities		7.657	-	7.657	-	-	-
1.3.2	Equity Instruments		-	-	-	-	-	-
1.3.3	Other Financial Assets		-	-	-	-	-	-
1.4	Derivative Financial Assets		-	-	-	-	-	-
			-	-	-	-	-	-
1.4.1	Derivative Financial Assets at Fair Value Through Profit or Loss		-	-	-	-	-	-
1.4.2	Derivative Financial Assets at Fair Value Through Other Comprehensive Income	(I-k)	-	-	-	-	-	-
			-	-	-	-	-	-
II.	FINANCIAL ASSETS MEASURED AT AMORTISED COST (Net)		149.700	134.648	284.348	95.939	137.783	233.722
2.1	Loans	(I-e)	147.433	134.648	282.081	93.500	137.783	231.283
2.2	Lease Receivables	(I-j)	-	-	-	-	-	-
2.3	Factoring Receivables		-	-	-	-	-	-
2.4	Loans Measured at Amortised Cost	(I-f)	-	-	-	-	-	-
2.4.1	Government Debt Securities		-	-	-	-	-	-
2.4.2	Other Financial Assets		-	-	-	-	-	-
2.5	Non-Performing Loans		-	-	-	-	-	-
2.6	Specific Provisions (-)		7.343	-	7.343	7.651	-	7.651
III.	NON-CURRENT ASSETS OR DISPOSAL GROUPS "HELD FOR SALE" AND "HELD FROM DISCONTINUED OPERATIONS" (Net)	(I-p)	(5.076)	-	(5.076)	(5.212)	-	(5.212)
3.1	Held for Sale Purposes		-	-	-	-	-	-
3.2	Related to Discontinued Operations		-	-	-	-	-	-
IV.	EQUITY INVESTMENTS		-	-	-	-	-	-
4.1	Investments in Associates (Net)	(I-g)	-	-	-	-	-	-
4.1.1	Associates Valued Based on Equity Method		-	-	-	-	-	-
4.1.2	Unconsolidated Associates		-	-	-	-	-	-
4.2	Investment in Subsidiaries (Net)	(I-h)	-	-	-	-	-	-
4.2.1	Unconsolidated Financial Subsidiaries		-	-	-	-	-	-
4.2.2	Unconsolidated Non-Financial Subsidiaries		-	-	-	-	-	-
4.3	Jointly Controlled Partnerships (Joint Ventures) (Net)	(I-i)	-	-	-	-	-	-
4.3.1	Joint Ventures Valued Based on Equity Method		-	-	-	-	-	-
4.3.2	Unconsolidated Joint Ventures		-	-	-	-	-	-
V.	PROPERTY AND EQUIPMENT (Net)	(I-l)	10.211	-	10.211	10.443	-	10.443
VI.	INTANGIBLE ASSETS (Net)	(I-m)	116	-	116	236	-	236
6.1	Goodwill		-	-	-	-	-	-
6.2	Other		-	-	-	-	-	-
VII.	INVESTMENT PROPERTY (Net)	(I-n)	116	-	116	236	-	236
VIII.	CURRENT TAX ASSET		-	-	-	-	-	-
IX.	DEFERRED TAX ASSET	(I-o)	2.593	-	2.593	1.504	-	1.504
X.	OTHER ASSETS	(I-r)	4.402	156	4.558	3.155	309	3.464
			-	-	-	-	-	-
	TOTAL ASSETS		748.984	945.162	1.694.146	684.638	896.105	1.580.743

The accompanying explanations and notes form an integral part of these financial statements.



**BANK MELLAT, HEAD OFFICE: TAHRAN-IRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**
NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2022
Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TRY").

I. BALANCE SHEET (STATEMENT OF FINANCIAL POSITION)

	LIABILITIES	Note (Section Five)	Audited Current Period 31 December 2022			Audited Previous Period 31 December 2021		
			TC	FC	Total	TC	FC	Total
I.	DEPOSITS							
II.	FUNDS BORROWED	(II-a)	198.797	815.249	1.014.046	199.222	765.702	964.924
III.	MONEY MARKETS	(II-c)	-	-	-	-	-	-
IV.	SECURITIES ISSUED (Net)		-	-	-	-	-	-
4.1	Bills		-	-	-	-	-	-
4.2	Asset Backed Securities		-	-	-	-	-	-
4.3	Bonds		-	-	-	-	-	-
V.	FUNDS		-	-	-	-	-	-
5.1	Borrower Funds		-	-	-	-	-	-
5.2	Other		-	-	-	-	-	-
VI.	FINANCIAL LIABILITIES AT FAIR VALUE THROUGH PROFIT OR LOSS		-	-	-	-	-	-
VII.	DERIVATIVE FINANCIAL LIABILITIES	(II-b)	-	-	-	-	-	-
7.1	Derivative Financial Liabilities at Fair Value Through Profit or Loss		-	-	-	-	-	-
7.2	Derivative Financial Liabilities at Fair Value Through Other Comprehensive Income	(II-f)	-	-	-	-	-	-
VIII.	FACTORING LIABILITIES		-	-	-	-	-	-
IX.	LEASE LIABILITIES	(II-e)	-	-	-	-	-	-
X.	PROVISIONS	(II-g)	19.574	9.939	29.513	12.648	7.309	19.957
10.1	General Loan Loss Provision		7.233	9.142	16.375	5.794	6.741	12.535
10.2	Provision for Restructuring		-	-	-	-	-	-
10.3	Reserves for Employee Benefits		12.313	-	12.313	6.826	-	6.826
10.4	Insurance Technical Reserves (Net)		-	-	-	-	-	-
10.5	Other Provisions		28	797	825	28	568	596
XI.	CURRENT TAX LIABILITY	(II-h)	6.401	-	6.401	16.237	-	16.237
XII.	DEFERRED TAX LIABILITY	(II-h)	-	-	-	-	-	-
XIII.	LIABILITIES RELATED TO NON-CURRENT ASSETS "HELD FOR SALE" AND "HELD FROM DISCONTINUED OPERATIONS"(Net)	(II-i)	-	-	-	-	-	-
13.1	Held for Sale Purpose		-	-	-	-	-	-
13.2	Related to Discontinued Operations		-	-	-	-	-	-
XIV.	SUBORDINATED DEBT	(II-j)	-	-	-	-	-	-
14.1	Loans		-	-	-	-	-	-
14.2	Other Debt Instruments		-	-	-	-	-	-
XV.	OTHER LIABILITIES	(II-d)	3.887	4.069	7.956	2.734	3.370	6.104
XVI.	SHAREHOLDERS' EQUITY	(II-k)	636.230	-	636.230	573.521	-	573.521
16.1	Paid-in capital		200.000	-	200.000	200.000	-	200.000
16.2	Capital Reserves		-	-	-	-	-	-
16.2.1	Share Premium		-	-	-	-	-	-
16.2.2	Share Cancellation Profits		-	-	-	-	-	-
16.2.3	Other Capital Reserves		-	-	-	-	-	-
16.3	Accumulated Other Comprehensive Income or Loss Not Reclassified Through Profit or Loss		(3.447)	-	(3.447)	(658)	-	(658)
16.4	Accumulated Other Comprehensive Income or Loss Reclassified Through Profit or Loss		466	-	466	-	-	-
16.5	Profit Reserves		1.504	-	1.504	1.014	-	1.014
16.5.1	Legal Reserves		-	-	-	-	-	-
16.5.2	Status Reserves		-	-	-	-	-	-
16.5.3	Extraordinary Reserves		1.504	-	1.504	1.014	-	1.014
16.5.4	Other Profit Reserves		-	-	-	-	-	-
16.6	Profit or (Loss)		437.707	-	437.707	373.165	-	373.165
16.6.1	Prior Years' Income or (Loss)		372.674	-	372.674	288.496	-	288.496
16.6.2	Current Year Income or (Loss)		65.033	-	65.033	84.669	-	84.669
16.7	Minority Interests		-	-	-	-	-	-
	TOTAL LIABILITIES		864.889	829.257	1.694.146	804.362	776.381	1.580.743

The accompanying explanations and notes form an integral part of these financial statements



**BANK MELLAT, HEAD OFFICE: TAHRAN-IRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**
NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2022
Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TRY").

II. OFF-BALANCE SHEET COMMITMENTS

	Note (Section Five)	Audited Current Period 31 December 2022			Audited Previous Period 31 December 2021		
		TC	FC	TOTAL	TC	FC	TOTAL
A. OFF-BALANCE SHEET COMMITMENTS (I+II+III)							
I. GUARANTEES AND WARRANTIES	(III-a-2,3)	125	19,347	19,472	125	7,299	7,424
1.1 Letters of Guarantee		125	19,347	19,472	125	7,299	7,424
1.1.1 Guarantees Subject to State Tender Law		125	17,355	17,480	125	5,879	6,004
1.1.2 Guarantees Given for Foreign Trade Operations		-	-	-	-	-	-
1.1.3 Other Letters of Guarantee		-	-	-	-	-	-
1.2 Bank Acceptances		125	17,355	17,480	125	5,879	6,004
1.2.1 Import Letter of Acceptance		-	-	-	-	-	-
1.2.2 Other Bank Acceptances		-	-	-	-	-	-
1.3 Letters of Credit		-	-	-	-	-	-
1.3.1 Documentary Letters of Credit		-	1,992	1,992	-	1,420	1,420
1.3.2 Other Letters of Credit		-	1,992	1,992	-	1,420	1,420
1.4 Prefinancing Given as Guarantee		-	-	-	-	-	-
1.5 Endorsements		-	-	-	-	-	-
1.5.1 Endorsements to the Central Bank of the Republic of Turkey		-	-	-	-	-	-
1.5.2 Other Endorsements		-	-	-	-	-	-
1.6 Securities Issue Purchase Guarantees		-	-	-	-	-	-
1.7 Factoring Guarantees		-	-	-	-	-	-
1.8 Other Guarantees		-	-	-	-	-	-
1.9 Other Collaterals		-	-	-	-	-	-
II. COMMITMENTS	(III-a-1)	-	-	-	-	-	-
2.1 Irrevocable Commitments		-	-	-	-	-	-
2.1.1 Forward Asset Purchase Commitments		-	-	-	-	-	-
2.1.2 Forward Deposit Purchase and Sales Commitments		-	-	-	-	-	-
2.1.3 Share Capital Commitments to Associates and Subsidiaries		-	-	-	-	-	-
2.1.4 Loan Granting Commitments		-	-	-	-	-	-
2.1.5 Securities Underwriting Commitments		-	-	-	-	-	-
2.1.6 Commitments for Reserve Deposit Requirements		-	-	-	-	-	-
2.1.7 Commitments for Cheques		-	-	-	-	-	-
2.1.8 Tax and Fund Liabilities from Export Commitments		-	-	-	-	-	-
2.1.9 Commitments for Credit Card Limits		-	-	-	-	-	-
2.1.10 Commitments for Credit Cards and Banking Services Promotions		-	-	-	-	-	-
2.1.11 Receivables from Short Sale Commitments of Marketable Securities		-	-	-	-	-	-
2.1.12 Payables for Short Sale Commitments of Marketable Securities		-	-	-	-	-	-
2.1.13 Other Irrevocable Commitments		-	-	-	-	-	-
2.2 Revocable Commitments		-	-	-	-	-	-
2.2.1 Revocable Loan Granting Commitments		-	-	-	-	-	-
2.2.2 Other Revocable Commitments		-	-	-	-	-	-
III. DERIVATIVE FINANCIAL INSTRUMENTS	(III-b)	-	-	-	-	-	-
3.1 Hedging Derivative Financial Instruments		-	-	-	-	-	-
3.1.1 Transactions for Fair Value Hedge		-	-	-	-	-	-
3.1.2 Transactions for Cash Flow Hedge		-	-	-	-	-	-
3.1.3 Transactions for Foreign Net Investment Hedge		-	-	-	-	-	-
3.2 Trading Transactions		-	-	-	-	-	-
3.2.1 Forward Foreign Currency Buy/Sell Transactions		-	-	-	-	-	-
3.2.1.1 Forward Foreign Currency Transactions-Buy		-	-	-	-	-	-
3.2.1.2 Forward Foreign Currency Transactions-Sell		-	-	-	-	-	-
3.2.2 Swap Transactions Related to Foreign Currency and Interest Rates		-	-	-	-	-	-
3.2.2.1 Foreign Currency Swap-Buy		-	-	-	-	-	-
3.2.2.2 Foreign Currency Swap-Sell		-	-	-	-	-	-
3.2.2.3 Interest Rate Swap-Buy		-	-	-	-	-	-
3.2.2.4 Interest Rate Swap-Sell		-	-	-	-	-	-
3.2.3 Foreign Currency, Interest Rate and Securities Options		-	-	-	-	-	-
3.2.3.1 Foreign Currency Options-Buy		-	-	-	-	-	-
3.2.3.2 Foreign Currency Options-Sell		-	-	-	-	-	-
3.2.3.3 Interest Rate Options-Buy		-	-	-	-	-	-
3.2.3.4 Interest Rate Options-Sell		-	-	-	-	-	-
3.2.3.5 Securities Options-Buy		-	-	-	-	-	-
3.2.3.6 Securities Options-Sell		-	-	-	-	-	-
3.2.4 Foreign Currency Futures		-	-	-	-	-	-
3.2.4.1 Foreign Currency Futures-Buy		-	-	-	-	-	-
3.2.4.2 Foreign Currency Futures-Sell		-	-	-	-	-	-
3.2.5 Interest Rate Futures		-	-	-	-	-	-
3.2.5.1 Interest Rate Futures-Buy		-	-	-	-	-	-
3.2.5.2 Interest Rate Futures-Sell		-	-	-	-	-	-
3.2.6 Other		-	-	-	-	-	-
B. CUSTODY AND PLEDGES RECEIVED (IV+V+VI)							
IV. ITEMS HELD IN CUSTODY		1,323,556	2,872,485	4,196,041	480,826	2,007,796	2,488,622
4.1 Customer Fund and Portfolio Balances		-	66	66	-	47	47
4.2 Investment Securities Held in Custody		-	-	-	-	-	-
4.3 Checks Received for Collection		-	-	-	-	-	-
4.4 Commercial Notes Received for Collection		-	66	66	-	47	47
4.5 Other Assets Received for Collection		-	-	-	-	-	-
4.6 Assets Received for Public Offering		-	-	-	-	-	-
4.7 Other Items Under Custody		-	-	-	-	-	-
4.8 Custodians		-	-	-	-	-	-
V. PLEDGES RECEIVED		773,246	904,027	1,677,273	275,942	586,400	862,342
5.1 Marketable Securities		-	-	-	-	-	-
5.2 Guarantee Notes		359,101	349,517	708,618	158,232	220,650	378,882
5.3 Commodity		-	-	-	-	-	-
5.4 Warranty		-	-	-	-	-	-
5.5 Immovable		-	-	-	-	-	-
5.6 Other Pledged Items		413,645	553,295	966,940	117,210	364,884	482,094
5.7 Pledged Items-Depository		500	1,215	1,715	500	866	1,366
VI. ACCEPTED INDEPENDENT GUARANTEES AND WARRANTIES		550,310	1,968,392	2,518,702	204,884	1,421,349	1,626,233
TOTAL OFF-BALANCE SHEET COMMITMENTS (A+B)		1,323,681	2,891,832	4,215,513	480,951	2,015,095	2,496,046

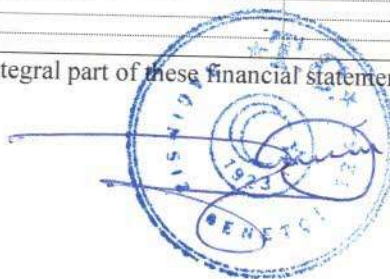


**BANK MELLAT, HEAD OFFICE: TAHRAN-IRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**
NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2022
Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TRY").

III. STATEMENT OF PROFIT OR LOSS

	INCOME AND EXPENSE ITEMS	Note (Section Five)	Audited Current Period 1 Jan - 31 Dec 2022	Audited Previous Period 1 Jan - 31 Dec 2021
I.	INTEREST INCOME	(IV-a)		
1.1	Interest on Loans	(IV-a-1)	77.192	74.168
1.2	Interest Received from Reserve Requirements		29.722	16.103
1.3	Interest Received from Banks	(IV-a-2)	4.892	17.609
1.4	Interest Received from Money Market Transactions		40.740	40.075
1.5	Interest Received from Marketable Securities Portfolio	(IV-a-3)	-	-
1.5.1	Financial Assets at Fair Value through Profit or (Loss)		1.059	-
1.5.2	Financial Assets at Fair Value Through Other Comprehensive Income		-	-
1.5.3	Financial Assets at Measured at Amortised Cost		1.059	-
1.6	Financial Lease Income		-	-
1.7	Other Interest Income		-	-
II.	INTEREST EXPENSE	(IV-b)	779	381
2.1	Interest on Deposits	(IV-b-3)	(975)	(679)
2.2	Interest on Funds Borrowed	(IV-b-1)	(3)	(3)
2.3	Interest Expense on Money Market Transactions		-	-
2.4	Interest on Securities Issued		-	-
2.5	Leasing Interest Expenses		-	-
2.6	Other Interest Expenses		-	-
III.	NET INTEREST INCOME (I + II)		(972)	(676)
IV.	NET FEES AND COMMISSIONS INCOME		76.217	73.489
4.1	Fees and Commissions Received		11.165	5.153
4.1.1	Non-Cash Loans		11.176	5.157
4.1.2	Other		1.640	605
4.2	Fees and Commissions Paid		9.536	4.552
4.2.1	Non-Cash Loans		(11)	(4)
4.2.2	Other		-	-
V.	DIVIDEND INCOME	(IV-c)	(11)	(4)
VI.	TRADING INCOME/(LOSS) (Net)	(IV-d)		
6.1	Trading Gains / (Losses) on Securities		37.201	61.176
6.2	Trading Gains/(Losses) on Derivative Financial Instruments		-	-
6.3	Foreign Exchange Gains / (Losses)		-	-
VII.	OTHER OPERATING INCOME		37.201	61.176
VIII.	TOTAL OPERATING INCOME (III+IV+V+VI+VII+VIII)	(IV-e)	2.881	2.640
IX.	PROVISION FOR LOAN LOSSES (-)	(IV-f)	127.464	142.458
X.	PERSONNEL EXPENSES (-)		(3.591)	(6.906)
XI.	OTHER OPERATING EXPENSES (-)		(25.171)	(13.146)
XII.	NET OPERATING INCOME/(LOSS) (IX-X-XI)	(IV-g)	(10.911)	(7.804)
XIII.	EXCESS AMOUNT RECORDED AS INCOME AFTER MERGER		87.791	114.602
XIV.	INCOME/(LOSS) FROM INVESTMENTS IN SUBSIDIARIES CONSOLIDATED BASED ON EQUITY METHOD		-	-
XV.	INCOME/(LOSS) ON NET MONETARY POSITION		-	-
XVI.	INCOME/EXPENSE BEFORE TAXES FROM CONTINUING OPERATIONS (XII+...+XV)		-	-
XVII.	PROVISION FOR TAXES ON INCOME FROM CONTINUING OPERATIONS (±)	(IV-i)	87.791	114.602
17.1	Current Tax Provision		(22.758)	(29.933)
17.2	Deferred Tax Income Effect (+)		(23.289)	(30.245)
17.3	Deferred Tax Expense Effect (-)		(253)	(28)
XVIII.	NET PROFIT/LOSSES FROM CONTINUING OPERATIONS (XVI-XVII)		784	340
XIX.	INCOME FROM DISCONTINUED OPERATIONS		65.033	84.669
19.1	Income from Non-Current Assets Held for Resale		-	-
19.2	Profit from Sales of Associates, Subsidiaries and Joint Ventures (Business Partners)		-	-
19.3	Income on other discontinued operations		-	-
XX.	LOSS FROM DISCONTINUED OPERATIONS (-)		-	-
20.1	Loss from assets held for sale		-	-
20.2	Loss on sale of associates, subsidiaries and jointly controlled entities (Joint vent.)		-	-
20.3	Loss from other discontinued operations		-	-
XXI.	PROFIT /LOSSES BEFORE TAXES FROM DISCONTINUED OPERATIONS (XVIII-XIX)		-	-
XXII.	PROVISION FOR INCOME TAXES FROM DISCONTINUED OPERATIONS (±)		-	-
22.1	Current Tax Provision		-	-
22.2	Deferred Tax Income Effect (+)		-	-
22.3	Deferred Tax Provision (-)		-	-
XXIII.	NET PROFIT/LOSSES FROM DISCONTINUED OPERATIONS (XX±XXI)		-	-
XXIV.	NET PROFIT/LOSSES (XVII+XXII)	(IV-j)	-	-
24.1	Profit / Loss of Group		65.033	84.669
24.2	Profit / Loss of Minority Share(-)		-	-
	Earnings/(Loss) per share		-	-

The accompanying explanations and notes form an integral part of these financial statements



**BANK MELLAT, HEAD OFFICE: TAHRAN-IRAN İSTANBUL TURKEY MAIN,
ANKARA AND İZMİR BRANCHES**

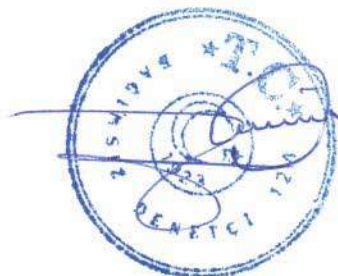
**NOTES AND DISCLOSURES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2022**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TRY").

IV. STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

		Audited Current Period 31 December 2022	Audited Previous Period 31 December 2021
I.	CURRENT PERIOD INCOME/LOSS		
II.	OTHER COMPREHENSIVE INCOME	65.033	84.669
2.1	Not Reclassified Through Profit or Loss	2.323	(712)
2.1.1	Property and Equipment Revaluation Increase/Decrease	(2.789)	(712)
2.1.2	Intangible Assets Revaluation Increase/Decrease	-	-
2.1.3	Defined Benefit Pension Plan Remeasurement Gain/Loss	-	-
2.1.4	Other Comprehensive Income Items Not Reclassified Through Profit or Loss	(2.789)	(712)
2.1.5	Tax Related Other Comprehensive Income Items Not Reclassified Through Profit or Loss	-	-
2.2	Reclassified Through Profit or Loss		
2.2.1	Foreign Currency Translation Differences	466	-
2.2.2	Valuation and/or Reclassification Income/Expense of the Financial Assets at Fair Value through Other Comprehensive Income	-	-
2.2.3	Cash Flow Hedge Income/Loss	466	-
2.2.4	Foreign Net Investment Hedge Income/Loss	-	-
2.2.5	Other Comprehensive Income Items Reclassified Through Profit or Losses	-	-
2.2.6	Tax Related Other Comprehensive Income Items Reclassified Through Profit or Loss	-	-
III.	TOTAL COMPREHENSIVE INCOME (I+II)	62.710	83.957

The accompanying explanations and notes form an integral part of these financial statements.



**BANK MELLAT, HEAD OFFICE: TEHRAN-IRAN ISTANBUL TURKEY CENTER,
ANKARA AND IZMIR BRANCHES
STATEMENT OF CHANGE IN EQUITY NOT CONSOLIDATED AS OF 31 DECEMBER 2022
(Amounts are expressed in Thousand Turkish Liras ("TRY") unless otherwise stated.)**

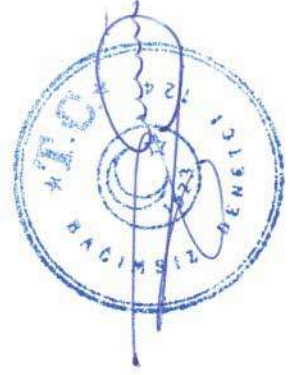
V. STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY

	CHANGES IN SHAREHOLDERS' EQUITY		Paid in Capital	Share Premiums	Share Cancellation Profits	Other Capital Reserves	Accumulated Other Comprehensive Income or Expense Not Reclassified through Profit or Loss			Accumulated Other Comprehensive Income or Expense Reclassified through Profit or Loss			Profit Reserves	Prior Year Profit / (Loss)	Period Net Profit/ (Loss)	Total Equity
	Audited Current Year						1	2	3	4	5	6				
I.	31 December 2022															
II.	Prior Period End Balance	200,000														
2.1	Corrections According to Turkish Accounting Standard No 8							(658)					1,014	288,496	84,669	573,521
2.2	Changes in Accounting Policies															
III.	Adjusted Beginning Balance (I+II)															
IV.	Total Comprehensive Income	200,000						(658)					1,014	288,496	84,669	573,521
V.	Capital Increase by Cash							(2,789)			466				65,033	62,710
VI.	Capital Increase by Internal Sources															
VII.	Paid-in capital inflation adjustment difference															
VIII.	Convertible Bonds to Shares															
IX.	Subordinated Debt Instruments															
X.	Increase/Decrease by Other Changes															
XI.	Profit Distribution															
11.1	Dividend Paid															(1)
11.2	Transfers to Reserves													84,178	(84,669)	
11.3	Other													84,178	(84,669)	
	Dönem Sonu Bakiyesi (III+IV+.....+X+XI)	200,000						(3,447)			466		1,504	372,674	65,033	636,230

1. Increase/Decrease of Accumulated Revaluation Reserve on Tangible,
2. Accumulated Gains/Losses on Remeasurement of Defined Benefit Plans,
3. Other (Other Comprehensive Income of Associates and Joint Ventures Accounted with Equity Method That Will Not Be Reclassified at Profit and Loss and Other Accumulated Amounts of Other Comprehensive Income Items That Will Not Be Reclassified at Profit or Loss,

4. Exchange Differences on Translation Reserve,
5. Accumulated Revaluation and/or Classification Gains / (Losses) of Financial Assets at Fair Value through Other Comprehensive Income,
6. Other (Cash Flow Hedge Gains/Losses, Other Comprehensive Income of Associates and Joint Ventures Accounted with Equity Method That Will Be Reclassified at Profit or Loss and Other Accumulated Amounts of Other Comprehensive Income Items That Will Be Reclassified at Profit or Loss).

The accompanying explanations and notes form an integral part of these financial statements.



STUDY OBJECTIVES

(Amounts are expressed in Thousands of Rupees)

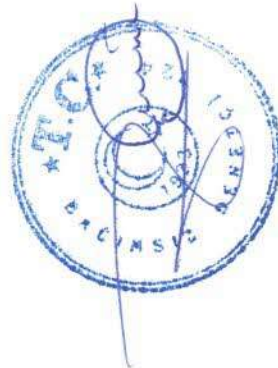
V. STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY

CHANGES IN SHAREHOLDERS' EQUITY															
CHANGES IN SHAREHOLDERS' EQUITY		Paid in Capital	Share Premiums	Share Cancellation Profits	Other Capital Reserves	Accumulated Other Comprehensive Income or Expense Not Reclassified through Profit or Loss					Accumulated Other Comprehensive Income or Expense Reclassified through Profit or Loss			Period Net Profit/ (Loss)	Total Equity
Audited Current Year						1	2	3	4	5	Profit Reserves	Prior Year Profit/ (Loss)			
31 December 2021															
I. Prior Period End Balance		200,000	-	-	-	-	54	-	-	-	916	258,025	30,569	489,564	
Corrections According to Turkish Accounting Standard No 8		-	-	-	-	-	-	-	-	-	-	-	-	-	
II. Corrections of Errors		-	-	-	-	-	-	-	-	-	-	-	-	-	
2.1 Changes in Accounting Policies		-	-	-	-	-	-	-	-	-	-	-	-	-	
III. Adjusted Beginning Balance (I+II)		200,000	-	-	-	-	-	-	-	-	-	-	-	-	
IV. Total Comprehensive Income		-	-	-	-	-	54	-	-	-	-	-	-	-	
V. Capital Increase by Cash		-	-	-	-	-	(712)	-	-	-	916	258,025	30,569	489,564	
VI. Capital Increase by Internal Sources		-	-	-	-	-	-	-	-	-	-	-	84,669	83,957	
VII. Paid-in capital inflation adjustment difference		-	-	-	-	-	-	-	-	-	-	-	-	-	
VIII. Convertible Bonds to Shares		-	-	-	-	-	-	-	-	-	-	-	-	-	
IX. Subordinated Debt Instruments		-	-	-	-	-	-	-	-	-	-	-	-	-	
X. Increase/Decrease by Other Changes		-	-	-	-	-	-	-	-	-	-	-	-	-	
XI. Profit Distribution		-	-	-	-	-	-	-	-	-	-	-	-	-	
11.1 Dividend Paid		-	-	-	-	-	-	-	-	-	98	30,471	(30,569)	-	
11.2 Transfers to Reserves		-	-	-	-	-	-	-	-	-	-	-	-	-	
11.3 Other		-	-	-	-	-	-	-	-	-	98	30,471	(30,569)	-	
Period End Balance (III+IV+.....+X+XI)		200,000	-	-	-	-	(658)	-	-	-	1,014	288,496	84,669	573,521	

Increase/Decrease of Accumulated Revaluation Reserve on Transferable

- | | 2017 | 2016 | 2015 | 2014 | 2013 |
|--|--------|---------|-------|---------|------|
| 1. Increase/Decrease of Accumulated Revaluation Reserve on Tangible, | - | - | - | - | - |
| 2. Accumulated Gains/Losses on Remeasurement of Defined Benefit Plans, | - | - | - | - | - |
| 3. Other (Other Comprehensive Income of Associates and Joint Ventures Accounted with Equity Method That Will Not Be Reclassified at Profit or Loss, | - | - | - | - | - |
| Reclassified at Profit or Loss, | - | - | - | - | - |
| 4. Exchange Differences on Translation Reserve, | - | - | - | - | - |
| 5. Accumulated Revaluation and/or Classification Gains/(Losses) of Financial Assets at Fair Value through Other Comprehensive Income, | - | - | - | - | - |
| 6. Other (Cash Flow Hedge Gains/Losses, Other Comprehensive Income of Associates and Joint Ventures Accounted with Equity Method That Will Be Reclassified at Profit or Loss and Other Accumulated Amounts of Other Comprehensive Income Items That Will Not Be Reclassified at Profit or Loss). | - | - | - | - | - |
| | 84,669 | 288,496 | 1,014 | 573,521 | |

The accompanying explanations and notes form an integral part of these financial statements.



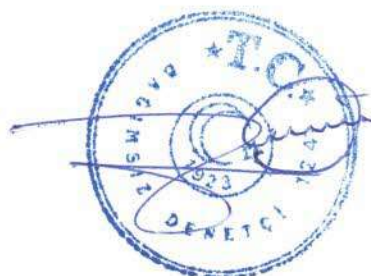
**BANK MELLAT, HEAD OFFICE: TEHRAN-IRAN ISTANBUL TURKEY CENTER,
ANKARA AND IZMIR BRANCHES**

CASH FLOW STATEMENT NOT CONSOLIDATED AS OF 31 DECEMBER 2022
(Amounts are expressed in Thousand Turkish Liras ("TRY") unless otherwise stated.)

VI. STATEMENT OF CASH FLOW

		Notes	Audited Current Period 31 December 2022	Audited Previous Period 31 December 2021
		(Section Five)		
A.	CASH FLOWS FROM BANKING OPERATIONS			
I.1	Operating Profit Before Changes in Operating Assets and Liabilities		47.970	80.626
1.1.1	Interest Received			
1.1.2	Interest Paid		80.336	76.426
1.1.3	Dividend Received		(975)	(679)
1.1.4	Fees and Commissions Received		-	-
1.1.5	Other Income		11.176	5.157
1.1.6	Collections From Previously Written-Off Loans and Other Receivables		202	127
1.1.7	Cash Payments to Personnel and Service Suppliers		308	431
1.1.8	Taxes paid		(25.171)	(13.146)
1.1.9	Other		(35.126)	(17.846)
			17.220	30.156
I.2	Changes in Operating Assets and Liabilities Subject to Banking Operations		(3.102)	(148.987)
1.2.1	Net (Increase)/Decrease in Financial Assets at Fair Value Through Profit or Loss			
1.2.2	Net (Increase)/Decrease in Due From Banks		(614)	73
1.2.3	Net (Increase)/Decrease in Loans		(1)	1
1.2.4	Net (Increase)/Decrease in other assets		(50.721)	(87.093)
1.2.5	Net Increase/(Decrease) in Bank Deposits		(2.247)	(2.643)
1.2.6	Net Increase/(Decrease) in Other Deposits		38.698	137.595
1.2.7	Net Increase/(Decrease) in Financial Liabilities at Fair Value Through Profit or Loss		10.424	97.392
1.2.8	Net Increase/(Decrease) in Funds Borrowed		-	-
1.2.9	Net Increase/(Decrease) in Matured Payables		-	-
1.2.10	Net Increase/(Decrease) in Other Liabilities		-	-
			1.359	3.662
I.	Net cash provided from banking operations		(44.868)	229.613
B.	CASH FLOWS FROM INVESTING ACTIVITIES			
II.	Net Cash Provided From Investing Activities		(6.175)	334
2.1	Cash Paid for the Purchase of Associates, Subsidiaries and Joint Ventures			
2.2	Cash Obtained from the Sale of Associates, Subsidiaries and Joint Ventures		-	-
2.3	Cash Paid for the Purchase of Tangible and Intangible Asset		-	-
2.4	Cash Obtained from the Sale of Tangible and Intangible Asset		(137)	(339)
2.5	Cash Paid for Purchase of Financial Assets at Fair Value Through Other Comprehensive Income		489	673
2.6	Cash Obtained from the Sale of Financial Assets at Fair Value Through Other Comprehensive Income		(6.527)	-
2.7	Cash Paid for Purchase of Financial Assets at Amortised Cost		-	-
2.8	Cash Obtained From Sale of Financial Assets at Amortised Cost		-	-
2.9	Other		-	-
			-	-
C.	CASH FLOWS FROM FINANCING ACTIVITIES			
III.	Net cash provided from financing activities		-	-
3.1	Cash Obtained From Funds Borrowed and Securities Issued			
3.2	Cash Outflow From Funds Borrowed and Securities Issued		-	-
3.3	Equity Instruments Issued		-	-
3.4	Dividends Paid		-	-
3.5	Payments for Finance Lease Liabilities		-	-
3.6	Other		-	-
			-	-
IV.	Effect of Change in Foreign Exchange Rate on Cash and Cash Equivalents		18.002	27.172
V.	Net increase in cash and cash equivalents		(56.695)	257.119
VI.	Cash and cash equivalents at beginning of the period		1.326.588	1.069.469
VII.	Cash and cash equivalents at end of the period		1.383.283	1.326.588

The accompanying explanations and notes form an integral part of these financial statements.



**BANK MELLAT, HEAD OFFICE: TEHRAN-IRAN ISTANBUL TURKEY CENTER,
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NOT CONSOLIDATED AS OF 31 DECEMBER 2022
CONSOLIDATED FINANCIAL STATEMENTS OF THE BRANCH'S HEADQUARTERS
(Amounts are expressed in Thousand Turkish Liras ("TRY") unless otherwise stated.)**

VII. PROFIT DISTRIBUTION TABLE

		(*)CURRENT PERIOD (01/01/2022 - 31/12/2022)	PRIOR PERIOD (01/01/2021 - 31/12/2021)
I.	DISTRIBUTION OF CURRENT YEAR INCOME		
1.1	Current Year Income		
1.2	Taxes And Duties Payable (-)	87.791	114.602
1.2.1	Corporate Tax (Income tax)	(22.758)	(29.933)
1.2.2	Income withholding tax	(23.289)	(30.245)
1.2.3	Other taxes and duties (**)	-	-
		531	312
A.	NET INCOME FOR THE YEAR (1.1-1.2)	65.033	84.669
1.3	Prior Year Losses (-)	-	-
1.4	First Legal Reserves (-)	-	-
1.5	Other Statutory Reserves (-)	-	-
		-	-
B.	NET INCOME AVAILABLE FOR DISTRIBUTION [(A)+(1.3+1.4+1.5)]	65.033	84.669
1.6	First Dividend To Shareholders (-)	-	-
1.6.1	To Owners Of Ordinary Shares	-	-
1.6.2	To Owners Of Preferred Shares	-	-
1.6.3	To Owners Of Preferred Shares (Preemptive Rights)	-	-
1.6.4	To Profit Sharing Bonds	-	-
1.6.5	To Holders Of Profit And Loss Sharing Certificates	-	-
1.7	Dividends To Personnel (-)	-	-
1.8	Dividends To Board Of Directors (-)	-	-
1.9	Second Dividend To Shareholders (-)	-	-
1.9.1	To Owners Of Ordinary Shares	-	-
1.9.2	To Owners Of Preferred Shares	-	-
1.9.3	To Owners Of Preferred Shares (Preemptive Rights)	-	-
1.9.4	To Profit Sharing Bonds	-	-
1.9.5	To Holders Of Profit And Loss Sharing Certificates	-	-
1.10	Second Legal Reserves (-)	-	-
1.11	Statutory Reserves (-)	-	-
1.12	Extraordinary Reserves	-	-
1.13	Other Reserves	-	-
1.14	Special Funds	-	-
		-	-
II.	DISTRIBUTION OF RESERVES		
2.1	Distributed Reserves		
2.2	Second Legal Reserves (-)	-	-
2.3	Dividends To Shareholders (-)	-	-
2.3.1	To Owners Of Ordinary Shares	-	-
2.3.2	To Owners Of Preferred Shares	-	-
2.3.3	To Owners Of Preferred Shares	-	-
2.3.4	To Profit Sharing Bonds	-	-
2.3.5	To Holders Of Profit And Loss Sharing Certificates	-	-
2.4	Dividends To Personnel (-)	-	-
2.5	Dividends To Board Of Directors (-)	-	-
		-	-
III.	EARNINGS PER SHARE		
3.1	To Owners Of Ordinary Shares		
3.2	To Owners Of Ordinary Shares (%)	-	-
3.3	To Owners Of Preferred Shares	-	-
3.4	To Owners Of Preferred Shares (%)	-	-
		-	-
IV.	DIVIDEND PER SHARE		
4.1	To Owners Of Ordinary Shares		
4.2	To Owners Of Ordinary Shares (%)	-	-
4.3	To Owners Of Preferred Shares	-	-
4.4	To Owners Of Preferred Shares (%)	-	-
		-	-

(*) As of the report date, there is no dividend distribution decision.

(**) As of 31 December 2022, the Branch has deferred tax income of 531 TRY (31 December 2021: 312 TRY deferred tax income).



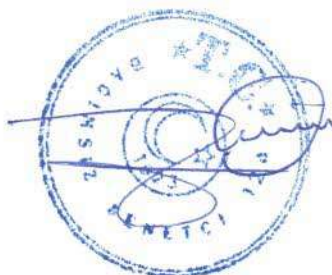
**BANK MELLAT, HEAD OFFICE: TEHRAN-IRAN ISTANBUL TURKEY CENTER,
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NOT CONSOLIDATED AS OF 31 DECEMBER 2022
CONSOLIDATED FINANCIAL STATEMENTS OF THE BRANCH'S HEADQUARTERS**
(Amounts are expressed in Thousand Turkish Liras ("TRY") unless otherwise stated.)
VIII. CONSOLIDATED FINANCIAL STATEMENTS OF THE BRANCH'S HEADQUARTER

As of 20 September 2022 the financial statements issued by the Headquarters of the Branch is presented below.

BANK MELLAT (IRAN) CONSOLIDATED COMPARATIVE BALANCE SHEET (THOUSANDS OF USD)		
	CURRENT PERIOD (*) (20 March 2022)	PRIOR PERIOD (**) (22 September 2021)
Cash and cash equivalents	1.549.523	1.548.235
Central bank	799.915	967.394
Other assets	48.679.194	52.836.978
Total Assets	51.028.632	55.352.607
Deposits	13.342.776	13.568.815
Other liabilities	34.219.410	38.017.050
Shareholders' equity	3.466.446	3.766.742
Total Liabilities	51.028.632	55.352.607

BANK MELLAT (IRAN) CONSOLIDATED COMPARATIVE BALANCE SHEET (THOUSANDS OF USD)		
	CURRENT PERIOD (*) (20 March 2022)	PRIOR PERIOD (**) (22 September 2021)
Interest and investment income	3.302.619	1.842.171
Interest expense on deposits	(1.806.151)	(976.835)
Other expenses	(1.846.619)	(810.116)
Other income	2.788.388	1.162.773
Total net income	2.438.237	1.217.993
Personnel and operating expenses	(1.413.477)	(784.029)
Profit before tax	1.024.760	433.964
Taxes payables	(164.871)	(97.452)
Net Profit/Loss	859.889	336.512

(*) Financial statements prepared by the head office of the Branch dated 20 March 2022 are presented.
(**) Prior period has been restated.



**BANK MELLAT, HEAD OFFICE: TEHRAN-IRAN ISTANBUL TURKEY CENTER,
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EXPLANATION AND FOOTNOTES ON FINANCIAL STATEMENTS
(Amounts are expressed in Thousand Turkish Liras ("TRY") unless otherwise stated.)**

SECTION THREE

EXPLANATIONS ON ACCOUNTING POLICIES

I. EXPLANATIONS ON THE BASIS OF PRESENTATION

The unconsolidated financial statements are prepared within the scope of the "Regulation on Accounting Applications for Banks and Safeguarding of Documents" related with Banking Act numbered 5411 published in the Official Gazette no.26333 dated 1 November 2006 and other regulations related to reporting principles on accounting records of Banks published by Banking Regulation and Supervision Agency and circulars and interpretations published by Banking Regulation and Supervision Authority (together referred as BRSA Accounting and Reporting Legislation) and in case where a specific regulation is not made by BRSA, Turkish Financial Reporting Standards ("TFRS") and related appendices and interpretations (referred as "Turkish Accounting Standards" or "TAS") put into effect by Public Oversight Accounting and Auditing Standards Authority ("POA") (all referred as "Reporting Standards"). The Branch maintains its books in Turkish Lira in accordance with the Banking Act, Turkish Commercial Code and Turkish Tax Legislation.

In accordance with the "Communiqué amending the Communiqué on Financial Statements and Related Disclosures and Footnotes to be Announced to Public by the Banks" published in the Official Gazette dated 1 February 2019 and numbered 30673, the previous period's financial statements were made compatible with the new financial statement formats.

The accounting policies and valuation principles used in the preparation of the financial statements have been determined in accordance with the regulations, communiqués, explanations, and circulars published by the BRSA regarding the accounting and financial reporting principles. Where not arranged, it has been determined according to the principles within the scope of TAS / TFRS (all of which are "BRSA Accounting and Financial Reporting Legislation") put into effect by POA.

The Branch complied with the provisions of TFRS 9 Financial Instruments ("TFRS 9"), which came into force to be effective as of January 1, 2018, on the classification and measurement of financial assets, and is an exception to the impairment provisions. The current period financial statements of the Branch are shown in the format of the financial statements valid for banks that do not apply TFRS 9 as announced by the BRSA.

Explanations on TFRS 16 Leasing Transactions

TFRS 16 standard eliminates the bilateral accounting model, which is the current practice for tenants, showing financial leasing transactions on the balance sheet and operational leasing transactions off-balance sheet. Instead, a single balance sheet-based accounting model is introduced, similar to the current lease accounting. Accounting for tenants continues substantially similar to existing practices. TFRS 16 has no impact on the financial statements of the Branch.

II. EXPLANATIONS ON STRATEGY OF USING FINANCIAL INSTRUMENTS AND FOREIGN CURRENCY TRANSACTIONS

The Branch's operation scope involves all commercial banking operations and business lines described in the banking legislation.

The Branch invests the funds obtained through fixed rate deposits, loans from Head Office and cash guarantees to short-term, high interest bearing and relatively low risk bank placements and credit for banks. The Branch manages the liquidity risk by providing sufficient cash and cash equivalent sources for its current and contingent liabilities. In this context, the Branch aims at ensuring a liquidity structure which matches liabilities due.



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(Amounts are expressed in Thousand Turkish Liras ("TRY") unless otherwise stated.)**

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

II. EXPLANATIONS ON STRATEGY OF USING FINANCIAL INSTRUMENTS AND FOREIGN CURRENCY TRANSACTIONS (Continued)

The Branch protects itself from interest rate risk, currency risk and price fluctuations by its investments in short-term placements and provides cash collaterals.

The Branch takes a position according to the currency basket of the Central Bank of the Republic of Turkey ("CBRT") in order to hedge itself against possible foreign exchange risks. The Branch with the change in the currency system to floating currency, limits the total foreign currency position in accordance with the legal limits because of the increasing uncertainties in the changing currency path.

As of 31 December 2022, the US Dollar exchange rate used in the conversion of foreign currency transactions into Turkish Lira and their reflection in the financial statements is 18.6983 TRY, the Euro exchange rate is 19.9349 TRY and the Yen exchange value is 0.141301 TRY.

III. EXPLANATIONS ON INVESTMENTS IN ASSOCIATES AND SUBSIDIARIES

As of 31 December 2022 and 31 December 2021, the Branch has no investments in associates and subsidiaries.

IV. EXPLANATIONS ON FORWARD TRANSACTIONS, OPTIONS AND DERIVATIVE INSTRUMENTS

Liabilities and receivables arising from the derivative instruments are followed in the off-balance sheet accounts at their contractual values. Derivative instruments are initially recorded at their fair values at the date of occurrence.

If the fair value of derivative financial instruments is positive, it is disclosed under the main account "Derivative financial assets at fair value through profit or loss"; and if the fair value difference is negative, it is disclosed under "Derivative financial liabilities at fair value through profit or loss".

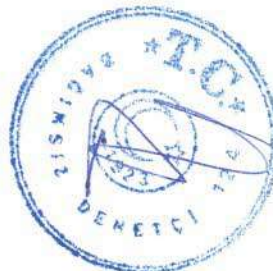
Fair value changes for derivatives are recorded in the account of "Profit/losses from derivative financial transactions" within the income statement.

The fair values of the derivative financial instruments are calculated using quoted market prices or by using discounted cash flow models.

The Branch has no option contracts or derivative instruments for risk protection. The Branch has no forward transactions, options and derivative instruments.

V. EXPLANATIONS ON INTEREST INCOME AND EXPENSE

Interest income and expenses are recognised in the income statement on an accrual basis using the effective interest method. The Branch, ceases accruing interest income on non-performing loans according to the related regulation.



**BANK MELLAT, HEAD OFFICE: TEHRAN-IRAN ISTANBUL TURKEY CENTER,
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(Amounts are expressed in Thousand Turkish Liras ("TRY") unless otherwise stated.)**

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VI. EXPLANATIONS ON FEE AND COMMISSION INCOME AND EXPENSES

Fees and commission income/expenses are accounted according to the principles of TFRS 15 "Revenue from Contracts with Customers", except for the integral part of the effective interest rate of financial instruments measured at amortized cost.

Income on banking services which are not related to periodic services are recorded as income when they are collected. In order to classify the fees and commissions collected from customers as income on banking services or as other non-interest income, they shouldn't be related with a credit transaction.

All type of fees and commissions collected from customers regarding cash loans are deferred in "commissions on cash loans" account and are recognized as income over the period of the loan by discounting with effective interest rate.

The commissions related with non-cash loans or periodic banking services, are deferred and recorded as income over the period according to the cut-off principle. Credit fee and commission expenses which are paid to other companies and institutions regarding financial liabilities and which create operational costs are discounted by effective interest rate and are recorded as expenses in the relevant period according to the cut-off principle.

VII. EXPLANATIONS ON FINANCIAL ASSETS

The Branch categorizes its financial assets as fair value through profit/loss, fair value through other comprehensive income or measured at amortized cost. Such financial assets are recognized or derecognized according to TFRS 9 Financial Instruments Part 3 Issued for classification and measurement of the financial instruments published in the Official Gazette No. 29953 dated 19 January 2017 by the Public Oversight Accounting and Auditing Standards Authority.

Financial assets are measured at fair value at initial recognition in the financial statements. During the initial recognition of financial assets other than "Financial Assets at Fair Value through Profit or Loss", transaction costs are added to fair value or deducted from fair value.

The Branch recognize a financial asset into financial statements when it becomes a party to the contractual terms of a financial instrument. During the first recognition of a financial asset into the financial statements, business model determined by Branch management and the nature of contractual cash flows of the financial asset are taken into consideration.

a. Financial assets at fair value through profit or loss

Financial assets at fair value through profit/loss" are financial assets other than the ones that are managed with business model that aims to hold to collect contractual cash flows or business model that aims to collect both the contractual cash flows and cash flows arising from the sale of the assets; and if the contractual terms of the financial asset do not lead to cash flows representing solely payments of principal and interest at certain date; that are either acquired for generating a profit from short-term fluctuations in prices or are financial assets included in a portfolio aiming to short-term profit making.

Financial assets at the fair value through profit or loss are initially recognized at fair value and remeasured at their fair value after recognition. All gains and losses arising from these valuations are reflected in the income statement.

Marketable securities that are classified as financial assets at fair value through profit or loss are accounted with their fair values.

Accounting policies related to derivative financial instruments at fair value through profit or loss are explained in Section III. Footnote IV.



**BANK MELLAT, HEAD OFFICE: TEHRAN-IRAN ISTANBUL TURKEY CENTER,
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(Amounts are expressed in Thousand Turkish Liras ("TRY") unless otherwise stated.)**

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VII. EXPLANATIONS ON FINANCIAL ASSETS (Continued)

b. Financial Assets at Fair Value Through Other Comprehensive Income

In addition to Financial assets within a business model that aims to hold to collect contractual cash flows and aims to hold to sell, financial asset with contractual terms that lead to cash flows are solely payments of principal and interest at certain dates, they are classified as fair value through other comprehensive income.

Financial assets at fair value through other comprehensive income are recognized by adding transaction cost to acquisition cost reflecting the fair value of the financial asset. After the recognition, financial assets at fair value through other comprehensive income are remeasured at fair value. Interest income calculated with effective interest rate method arising from financial assets at fair value through other comprehensive income and dividend income from equity securities are recorded to income statement.

"Unrealized gains and losses" arising from the difference between the amortized cost and the fair value of financial assets at fair value through other comprehensive income are not reflected in the income statement of the period until the acquisition of the asset, sale of the asset, the disposal of the asset, and impairment of the asset and they are accounted under the "Accumulated other comprehensive income or expense to be reclassified through profit or loss" under shareholders' equity.

Accumulated fair value differences under equity are reflected to the income statement when such securities are collected or disposed.

During initial recognition the Branch can choose in an irrevocable was to record the changes of the fair value of the investment in an equity instrument that is not held for trading purposes in the other comprehensive income. In the case of this preference, the dividend from the investment is taken into the financial statements as profit or loss.

Equity securities, which are classified as financial assets at fair value through other comprehensive income, that have a quoted market price in an active market and whose fair values can be reliably measured are carried at fair value. Equity securities that do not have a quoted market price in an active market and whose fair values cannot be reliably measured are carried at cost.

c. Financial Assets Measured at Amortized Cost

Financial assets measured at amortized cost:

Financial assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are classified as financial assets measured at amortized cost.

Financial assets measured at amortized cost are initially recognized at acquisition cost including the transaction costs which reflect the fair value of those instruments and subsequently recognized at amortized cost by using effective interest rate method. Interest income obtained from financial assets measured at amortized cost is accounted in income statement.

Loans:

Loans are financial assets that have fixed or determinable payments terms and are not quoted in an active market. Loans are initially recognized at acquisition cost plus transaction costs presenting their fair value and thereafter measured at amortised cost using the "Effective Interest Rate (internal rate of return) Method".



**BANK MELLAT, HEAD OFFICE: TEHRAN-IRAN ISTANBUL TURKEY CENTER,
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EXPLANATION AND FOOTNOTES ON FINANCIAL STATEMENTS
(Amounts are expressed in Thousand Turkish Liras ("TRY") unless otherwise stated.)**

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VIII. EXPLANATIONS ON IMPAIRMENT OF FINANCIAL ASSETS

Within the scope of the authorization granted to the Branch from BRSA numbered 32521522-101.02.02.-E.225 and dated 5 January 2018, the Branch has not applied the provisions regarding the impairment of TFRS 9 effective as of 1 January 2018.

The Branch calculated and accounted allowances for impairment of financial assets in accordance with the "Regulation on the Procedures and Principles for Classification of Loans by Banks and Provisions to be set aside " published in the Official Gazette No. 29750 dated 22 June 2016 and effective as of 1 January 2018, "General and specific provisions to be allocated to banks that do not apply TFRS 9 ".

IX. EXPLANATIONS ON OFFSETTING FINANCIAL INSTRUMENTS

In cases where the fair values of financial assets at fair value through other comprehensive income are less than their recorded values, a provision for impairment is allocated, and the net value is shown on the balance sheet.

The Branch provides specific allowances for loan and other receivables in accordance with "Methods and Principles for the Determination of Loans and other Receivables to be Reserved for and Allocation of Reserves" and offset against overdue loans in the assets.

Financial assets and liabilities are offset and the net amount is reported in the balance sheet when the Branch has a legally enforceable right to offset the recognised amounts and there is an intention to collect/pay related financial assets and liabilities on a net basis or to realise the asset and settle the liability simultaneously.

X. EXPLANATIONS ON SALES AND REPURCHASE AGREEMENTS AND SECURITIES LENDING TRANSACTIONS

Securities sold under repurchase agreements, are followed in accordance with the Uniform Chart of Accounts according to the purposes of keeping in the Branch portfolio. Funds obtained in return for repo contracts are recorded in liabilities. The expense accrual is calculated according to the "effective interest (internal efficiency) rate method" for the part of the difference between selling and repurchase prices determined by the relevant repo agreements.

Funds given against securities purchased under agreements ("reverse repo") to resell are accounted under "Receivables from Reverse Repurchase Agreements" in the balance sheet. The difference between the purchase and determined resell price is accrued over the life of repurchase agreements using the "effective interest method".

The Branch has no sales and repurchase agreements and securities lending transactions as of 31 December 2022 and 31 December 2021.

XI. ASSETS HELD FOR SALE AND DISCONTINUED OPERATIONS AND EXPLANATIONS ON OBLIGATIONS RELATED TO THESE ASSETS

The Branch has no discontinued operations and obligations related to these assets as at the balance sheet date (31 December 2021: None).



**BANK MELLAT, HEAD OFFICE: TEHRAN-IRAN ISTANBUL TURKEY CENTER,
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(Amounts are expressed in Thousand Turkish Liras ("TRY") unless otherwise stated.)**

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XII. EXPLANATIONS ON GOODWILL AND OTHER INTANGIBLE ASSETS

The Branch has no goodwill as of 31 December 2022 and 31 December 2021.

Intangible assets consist of computer softwares. The intangible assets are amortized in their useful lives, between 3 years, on a straight-line basis. At the balance sheet date TL 115 of amortization expense (31 December 2021: TL 114).

XIII. EXPLANATIONS ON TANGIBLE FIXED ASSETS

Property and equipment is measured at its cost when initially recognised and any directly attributable costs of setting the asset in working order for its intended use are included in the initial measurement. Subsequently, property and equipment is carried at cost less accumulated depreciation and impairment, if any.

Depreciation is calculated over of the cost of property and equipment using the straight-line method. The expected useful lives are stated below:

Buildings	50 year
Furniture, fixture and vehicles	5 year

The depreciation charge for items remaining in property and equipment for less than an accounting period at the balance sheet date is calculated in proportion to the period the item remained in property and equipment.

Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written-down immediately to its recoverable amount and the impairment for the diminution in value is charged to the income statement.

Gains and losses on the disposal of property and equipment are determined by deducting the net book value of the property and equipment from its sales revenue.

Expenditures for the repair and renewal of property and equipment are recognised as expense. The capital expenditures made in order to increase the capacity of the tangible asset or to increase its future benefits are capitalised over the cost of the tangible asset. The capital expenditures include the cost components which are used either to increase the useful life or the capacity of the asset or the quality of the product or to decrease the costs.

There are no pledges, mortgages or purchase commitments on property and equipment as of 31 December 2022 and 31 December 2021.

XIV. EXPLANATIONS ON LEASING TRANSACTIONS

The branch records the right of use and the lease obligation in financial statements on the date when the leasing actually begins. The right of use asset is initially measured at its cost value and then measures over accumulated depreciation and accumulated impairment losses and corrected according to the reassessment of the lease liability. With the "IFRS 16 Leases" Standard, effective as of January 1, 2019, the difference between operational lease and financial lease has disappeared. Leasing transactions were started to be displayed by the tenants under the item "Tangible Fixed Assets" in assets as assets (right to use assets) and under "Liabilities from Leasing Operations" in liabilities. As a lessee, the branch will reflect the right of use and the lease obligations to financial statements. Accounting for the lessor is similar to previous accounting policies. The Branch has no leasing transactions as of 31 December 2022 and 31 December 2021.



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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XV. EXPLANATIONS ON PROVISIONS AND CONTINGENT COMMITMENTS

Provisions and contingent liabilities are accounted in accordance with "Turkish Accounting Standard for Provisions, Contingent Liabilities and Contingent Assets" ("TAS 37").

Provisions are recognised when the Branch has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made. The provision for contingent liabilities arising from past events should be recognised in the same period of occurrence in accordance with the matching principle. When the amount of the obligation cannot be estimated and there is no possibility of an outflow of resources from the Branch, it is considered that a "contingent" liability exists and it is disclosed in the related notes to the financial statements.

XVI. EXPLANATIONS ON OBLIGATIONS RELATED TO EMPLOYEE RIGHTS

a. Defined Benefit Plans

Under the Turkish Labour Law, the Branch is obliged to pay a certain employment termination benefit to the employees who have been retired or whose employment is terminated other than the reasons specified in the Turkish Labour Law.

In accordance with "Turkish Accounting Standard for Employee Rights" ("TAS 19") the reserve for employment termination benefits is calculated by using Projection Method based on personnel service completion time and previous experience gained. The reserve for employment termination benefits is discounted by the rate of return of the government bonds at the balance sheet date.

Branch Management has evaluated the impact of the actuarial profit/loss for calculating the employment termination benefit on the current balance sheets and recognized the effect in the statement of income, since it's not material for the financial statements.

The Branch has no employees who are members of any foundation or likewise corporations.

b. Defined Contribution Plans

In accordance with the law the Branch is obliged to pay a contribution fee to Social Security Institution ("SSI") on behalf of the employees. The Branch has no other payment obligations to employees or "SSI". These contribution fees are reflected to personnel expenses at the date of accrual.

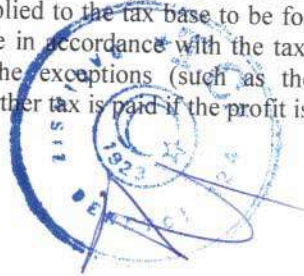
c. Short-Term Benefits to Employees

Leave fees, defined as "short-term employee benefits" under TAS 19, are accrued and are not discounted in the periods when they are vested.

XVII. EXPLANATIONS ON TAX APPLICATIONS

a. Current tax

In Turkey, the current corporate tax rate is 20%. However, with the Law No. 7394 on "The Law on the Evaluation of Immovable Property Belonging to the Treasury and Amending the Value Added Tax Law and Amending Some Laws and Decree Laws" published in the Official Gazette dated April 15, 2022, the current tax rate is determined by the corporate earnings for the 2022 taxation period, will be applied as 25%. The corporate tax rate is applied to the tax base to be found as a result of adding the expenses that are not accepted as deductible in accordance with the tax laws to the commercial income of the corporations, and deducting the exceptions (such as the participation earnings exception) and deductions in the tax laws. No further tax is paid if the profit is not distributed.



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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XVII. EXPLANATIONS ON TAX APPLICATIONS (Continued)

There is no withholding tax on profit shares (dividends) paid to non-resident companies and companies residing in Turkey that generate income through a workplace or permanent representative in Turkey. Dividend payments made to individuals and institutions other than these are subject to 15% withholding tax. Addition of profit to capital is not considered as profit distribution and withholding tax is not applied.

Corporations calculate temporary tax on their quarterly financial profits at the current rate, declare it until the 17th day of the second month following that period and pay it until the evening of the 17th day. The temporary tax paid during the year belongs to that year and is deducted from the corporate tax to be calculated on the corporate tax return to be submitted in the following year. In the event that the amount of temporary tax paid remains despite the deduction, this amount can be refunded in cash or set off against other financial debts to the state.

50% of the profits arising from the sale of participation shares and real estates held for at least two years for real estates and 75% for affiliates, provided that they are added to the capital as stipulated in the Corporate Tax Law or kept in a special fund account in liabilities for 5 years is exempt from tax.

According to the Turkish tax legislation, financial losses shown on the declaration can be deducted from the corporate income for the period, provided that they do not exceed 5 years. However financial losses can not be offsetted from last year's profits. There is no practice in Turkey to reach an agreement with the tax authority regarding the taxes to be paid.

Corporate tax returns are submitted to the relevant tax office until the evening of the last day of the fourth month following the month in which the accounting period is closed. However, the tax inspection authorities can examine the accounting records within five years, and if an incorrect transaction is detected, the tax amounts to be paid may change. The current tax effects of transactions accounted for directly in equity are also presented in equity.

b. Deferred Tax

The Branch calculates and accounts for deferred income taxes for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in these financial statements in accordance with "Turkish Accounting Standard for Income Taxes" ("TAS 12") and the related decrees of the BRSA concerning income taxes. In the deferred tax calculation, the enacted tax rate, in accordance with the tax legislation, is used as of the balance sheet date.

Deferred tax liabilities are recognized for all resulting temporary differences whereas deferred tax assets resulting from temporary differences are recognized to the extent that it is probable that future taxable profit will be available against which the deferred tax assets can be utilized. The calculated deferred tax assets and deferred tax liabilities are presented on a net basis in these financial statements.

Deferred tax, related to items recognized directly in equity is also credited or charged directly to equity.

Deferred tax benefit balance resulting from netting of deferred tax assets and liabilities should not be used in dividend distribution and capital increase.



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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XVIII. ADDITIONAL EXPLANATIONS ON BORROWINGS

Trading financial liabilities and derivative instruments are valued at the fair value and other financial liabilities are carried at amortised cost using the "effective interest method". The Bank utilises various hedging techniques to minimise the liquidity, interest rate and currency risks of its financial liabilities. The Branch has no marketable securities issued and convertible bonds.

XIX. EXPLANATIONS ON ISSUANCE OF SHARES

Direct transaction costs regarding the issuance of share certificates are recorded under shareholders' equity after eliminating the tax effects. The Branch has no share certificates issued as of 31 December 2022 and 31 December 2021.

XX. EXPLANATIONS ON ACCEPTANCES AND AVALIED DRAFTS

Avalied drafts and acceptances are the contingent liabilities of the Branch and are included in the off-balance sheet commitments.

XXI. EXPLANATIONS ON GOVERNMENT GRANTS

The Branch has no government grants at as of 31 December 2022 and 31 December 2021.

XXII. EXPLANATIONS ON PROFIT RESERVES AND PROFIT APPROPRIATION

Retained earnings are available for profit distribution, subject to the written permission of BRSA.

XXIII. EXPLANATIONS ON EARNINGS PER SHARE

Earnings per share stated in the income statement is calculated by dividing the net income by the weighted average number of shares issued during the relevant year. Companies in Turkey can increase their capital through the "bonus shares" they distribute to their existing shareholders from previous years' earnings. Such "bonus share" distributions are treated as issued shares in earnings per share calculations. Accordingly, the weighted average number of shares used in these calculations is calculated by taking into account the retrospective effects of the said share distributions. In case the number of issued shares increases after the balance sheet date but before the date the financial statements are prepared due to the distribution of bonus shares, earnings per share are calculated by taking into account the total number of new shares. Earnings per share have not been calculated since the branch is not publicly traded.

XXIV. EXPLANATIONS ON RELATED PARTIES

For the purpose of these financial statements, shareholders, key management personnel and board members together with their families and companies controlled by/affiliated with them, and associated companies are considered and referred to as related parties in accordance with "Turkish Accounting Standard for Related Parties" ("TAS 24"). The transactions with related parties are disclosed in detail in Note VII of Section Five.

XXV. EXPLANATIONS ON CASH AND CASH EQUIVALENTS

For the purposes of the cash flow statement, cash includes cash, effectives and demand deposits including balances with the Central Bank; and cash equivalents include interbank money market placements and time deposits at banks with original maturity periods of less than three months.



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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXVI. EXPLANATIONS ON SEGMENT REPORTING

Information related with areas of operations of the bank prepared in line with the organizational and internal reporting structure of the branch and in accordance with "Turkish Financial Reporting Standards related with Segment Reporting" ("TFRS 8") are disclosed.

The Branch manages its banking operations through three strategic business units: Retail banking, Corporate and Commercial banking and Treasury operations.

Retail banking provides deposits and loans to individual and small business customers. Other products and services include foreign currency exchange, cheques and bills and money orders.

Corporate and Commercial banking provided corporate and commercial customers financial solutions and banking services. Products and services include FC and TL loans, foreign trade finance, domestic and international non-cash credit line facilities such as letters of credit and guarantees, foreign exchange and deposits.

Treasury operations are managed by the Treasury Department. The Treasury Department has transactions such as purchases-sales of domestic marketable securities and TRY and FC placement transactions.

Informations about the operating segments as of 31 December 2022 are presented on the table below;

	Retail Banking	Corporate and Commercial Banking	Treasury	Other	Total Operations of the Branch
1 January - 31 December 2022					
Interest Income	350	30.151	46.691	-	77.192
Net Fees and Commissions Income	-	11.165	-	-	11.165
Other Operating Income and Trading Income/(Loss) (Net)	-	40.082	-	-	40.082
Operating Revenue	350	81.398	46.691	-	128.439
Interest Expense	-	(3)	(972)	-	(975)
Other Operating Expenses and Provision for Impairment of Loans and Other Receivables	(4.723)	(28.338)	(6.612)	-	(39.673)
Operating Expense	(4.723)	(28.341)	(7.584)	-	(40.648)
Operating Profit	(4.373)	53.057	39.107	-	87.791
Profit Before Tax	-	-	-	87.791	87.791
Current Tax Provision	-	-	-	(22.758)	(22.758)
Net Profit	-	-	-	65.033	65.033
31 December 2022					
Segment Assets ⁽¹⁾	274.717	9.631	1.392.320	17.478	1.694.146
Total Assets	274.717	9.631	1.392.320	17.478	1.694.146
Segment Liabilities ⁽¹⁾	126.898	102.766	784.382	43.870	1.057.916
Shareholders' Equity	-	-	-	636.230	636.230
Total Liabilities	126.898	102.766	784.382	680.100	1.694.146

(1) In the other column, segment assets amount to TRY 17,478; 10,211 TL includes tangible assets, 116 TRY intangible assets, 2,593 TRY deferred tax assets and 4,558 TRY other assets. In the other column, segment liabilities amount to 43,870 TRY, while 7,956 TRY other liabilities, 29,513 TRY provisions and 6,401 TRY current tax liability.



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EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXVI. EXPLANATIONS ON SEGMENT REPORTING (Continued)

	Retail Banking	Corporate and Commercial Banking	Treasury	Other	Total Operations of the Branch
1 January - 31 December 2021					
Interest Income	126	16.358	57.684	-	74.168
Net Fees and Commissions Income	-	5.153	-	-	5.153
Other Operating Income and Trading Income/(Loss) (Net)	-	63.816	-	-	63.816
Operating Revenue	126	85.327	57.684	-	143.137
Interest Expense	-	(3)	(676)	-	(679)
Other Operating Expenses and Provision for Impairment of Loans and Other Receivables	(3.887)	(19.434)	(4.535)	-	(27.856)
Operating Expense	(3.887)	(19.437)	(5.211)	-	(28.535)
Operating Profit	(3.761)	65.890	52.473	-	114.602
Profit Before Tax					
Current Tax Provision				114.602	114.602
Net Profit				(29.933)	(29.933)
				84.669	84.669
31 December 2021					
Segment Assets ⁽¹⁾	229.684	4.038	1.331.374	15.647	1.580.743
Total Assets	229.684	4.038	1.331.374	15.647	1.580.743
Segment Liabilities ⁽¹⁾	96.426	122.813	745.685	42.298	1.007.222
Shareholders' Equity	-	-	-	573.521	573.521
Total Liabilities	96.426	122.813	745.685	615.819	1.580.743

(1) In the Other column, segment assets amount to TL 15,647; TL 10,443 includes tangible fixed assets, TL 236 intangible assets, TL 1.504 deferred tax assets and TL 3.464 other assets. In the other column, segment liabilities amount to TL 42.298, other liabilities TL 6.104, TL 19.957 provisions and TL 16,237 current tax liability.

XXVII. CLASSIFICATIONS

In order to comply with the presentation of the financial statements dated 31 December 2022, classification transactions can be made in the financial statements presented in comparison with the previous period.

XXVIII. EXPLANATIONS ON OTHER INFORMATION

None.



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SECTION FOUR**

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH

I. EXPLANATIONS ON SHAREHOLDERS EQUITY

Total capital and capital adequacy ratio have been calculated in accordance with the "Regulation on Equity of Banks" and "Regulation on Measurement and Assessment of Capital Adequacy of Banks".

The capital adequacy ratio of the Branch is %76,57. (31 December 2021: %76,86)

a. Information on shareholders' equity

	31 December 2022	Amount for application before 1/1/2014 (*)
CORE CAPITAL		
Common Equity Tier I Capital		
Paid-in Capital to be Entitled for Compensation after All Creditors	200.000	
Share Premiums	-	
Reserves	-	
Gains reflected to equity according to Turkish Accounting Standards (TAS)	1.504	
Profit	466	
Current Period Profit	437.707	
Prior Period Profit	65.033	
Bonus Shares from Associates, Subsidiaries and Joint-Ventures not Accounted in Current Period's Profit	372.674	
Minority Interest	-	
Common Equity Tier I Capital Before Deductions	639.677	-
Deductions From Common Equity Tier I Capital		
Valuation adjustments calculated as per the article 9. (i) of the Regulation on Bank Capital	-	-
Current and Prior Periods' Losses not Covered by Reserves, and Losses Accounted under Equity according to TAS (-)	-	-
Leasehold Improvements on Operational Leases (-)	(3.447)	-
Goodwill Netted with Deferred Tax Liabilities	-	-
Other Intangible Assets Netted with Deferred Tax Liabilities Except Mortgage Servicing Rights	-	-
Net Deferred Tax Asset/Liability (-)	(116)	(116)
Differences arise when assets and liabilities not held at fair value, are subjected to cash flow hedge accounting	(2.593)	-
Total credit losses that exceed total expected loss calculated according to the Regulation on Calculation of Credit Risk by Internal Ratings Based Approach	-	-
Securitization gains	-	-
Unrealized gains and losses from changes in bank's liabilities' fair values due to changes in creditworthiness	-	-
Net amount of defined benefit plans	-	-
Direct and Indirect Investments of the Bank on its own Tier I Capital (-)	-	-
Shares Obtained against Article 56, Paragraph 4 of the Banking Law (-)	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
Mortgage Servicing Rights Exceeding the 10% Threshold of Tier I Capital (-)	-	-
Net Deferred Tax Assets arising from Temporary Differences Exceeding the 10% Threshold of Tier I Capital (-)	-	-
Amount Exceeding the 15% Threshold of Tier I Capital as per the Article 2, Clause 2 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital not deducted from Tier I Capital (-)	-	-
Mortgage Servicing Rights not deducted (-)	-	-
Excess Amount arising from Deferred Tax Assets from Temporary Differences (-)	-	-



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INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

	31 December 2022	Amount for application before 1/1/2014 (*)
Total Deductions from Common Equity Tier I Capital		
Total Common Equity Tier I Capital	(6.156)	
ADDITIONAL TIER I CAPITAL	633.521	
Preferred Stock not Included in Common Equity Tier I Capital and the Related Share Premiums	-	
Debt Instruments and the Related Issuance Premiums Defined by the BRSA	-	
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Covered by Temporary Article 4)	-	
Additional Tier I Capital before Deductions	-	
Deductions from Additional Tier I Capital	-	
Direct and Indirect Investments of the Bank on its own Additional Tier I Capital (-)	-	-
Investments in Equity Instruments Issued by Banks or Financial Institutions Invested in Bank's Additional Tier I Capital and Having Conditions Stated in the Article 7 of the Regulation	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital (-)	-	-
Other items to be defined by the BRSA (-)	-	-
Items to be Deducted from Tier I Capital during the Transition Period	-	-
Goodwill and Other Intangible Assets and Related Deferred Taxes not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-	-
Net Deferred Tax Asset/Liability not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-	-
Deduction from Additional Tier I Capital when there is not enough Tier II Capital (-)	-	-
Total Deductions from Additional Tier I Capital	-	-
Total Additional Tier I Capital	-	-
Total Tier I Capital (Tier I Capital= Common Equity Tier I Capital + Additional Tier I Capital)	633.521	
TIER II CAPITAL		
Debt Instruments and the Related Issuance Premiums Defined by the BRSA	-	
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Covered by Temporary Article 4)	-	
Provisions (Amounts explained in the first paragraph of the article 8 of the Regulation on Bank Capital)	6.848	
Total Deductions from Tier II Capital	6.848	
Deductions from Tier II Capital		
Direct and Indirect Investments of the Bank on its own Tier II Capital (-)	-	-
Investments in Equity Instruments Issued by Banks and Financial Institutions Invested in Bank's Tier II Capital and Having Conditions Stated in the Article 8 of the Regulation	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital and Tier II Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of Tier I Capital (-)	-	-



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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

II. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

	31 December 2022	Amount for application before 1/1/2014 (*)
Total Deductions from Tier II Capital		
Total Tier II Capital	-	
Total Equity (Total Tier I and Tier II Capital)	6.848	
Total Tier I Capital and Tier II Capital (Total Equity)	640.369	
Loans Granted against the Articles 50 and 51 of the Banking Law (-)	-	
Net Book Values of Movables and Immovables Exceeding the Limit Defined in the Article 57, Clause 1 of the Banking Law and the Assets Acquired against Overdue Receivables and Held for Sale but Retained more than Five Years (-)	-	
Other items to be Defined by the BRSA (-)	-	
Items to be Deducted from the Sum of Tier I and Tier II Capital (Capital) During the Transition Period		
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Tier I Capital, Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-	
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-	
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital, of the Net Deferred Tax Assets arising from Temporary Differences and of the Mortgage Servicing Rights not deducted from Tier I Capital as per the Temporary Article 2, Clause 2, Paragraph (1) and (2) and Temporary Article 2, Clause 1 of the Regulation (-)	-	
CAPITAL		
Total Capital (Total of Tier I Capital and Tier II Capital)	640.369	
Total Risk Weighted Assets	836.307	
CAPITAL ADEQUACY RATIOS		
Core Capital Adequacy Ratio (%)	75,75	
Tier I Capital Adequacy Ratio (%)	75,75	
Capital Adequacy Ratio (%)	76,57	
BUFFERS		
Bank-specific total CET1 Capital Ratio	2,5	
Capital Conservation Buffer Ratio (%)	2,5	
Bank-specific Counter-Cyclical Capital Buffer Ratio (%)	-	
Additional CET1 Capital Over Total Risk Weighted Assets Ratio Calculated According to the Article 4 of Capital Conservation and Counter-Cyclical Capital Buffers Regulation	-	
Amounts Lower Than Excesses as per Deduction Rules		
Remaining Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital	-	
Remaining Total of Net Long Positions of the Investments in Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% or less of the Issued Share Capital	-	
Remaining Mortgage Servicing Rights	-	
Net Deferred Tax Assets arising from Temporary Differences	-	
Limits for Provisions Used in Tier II Capital Calculation		
General Loan Provisions for Exposures in Standard Approach (before limit of one hundred and twenty five per ten thousand)	-	
General Loan Provisions for Exposures in Standard Approach Limited by 1.25% of Risk Weighted Assets	6.848	
Total Loan Provision that Exceeds Total Expected Loss Calculated According to Communiqué on Calculation of Credit Risk by Internal Ratings Based Approach	6.848	
Total Loan Provision that Exceeds Total Expected Loss Calculated According to Communiqué on Calculation of Credit Risk by Internal Ratings Based Approach, Limited by 0.6% Risk Weighted Assets	-	
Debt Instruments Covered by Temporary Article 4 (effective between 1.1.2018-1.1.2022)		
Upper Limit for Additional Tier I Capital Items subject to Temporary Article 4	-	
Amount of Additional Tier I Capital Items Subject to Temporary Article 4 that Exceeds Upper Limit	-	
Upper Limit for Additional Tier II Capital Items subject to Temporary Article 4	-	
Amount of Additional Tier II Capital Items Subject to Temporary Article 4 that Exceeds Upper Limit	-	
Total Deductions from Tier II Capital	-	
Total Tier II Capital	-	

(*) Amounts represent the amounts of items to be taken into consideration and subject to transition provisions in accordance with Temporary Articles of "Regulation on the Equity of Banks".



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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

III. EXPLANATIONS ON SHAREHOLDERS' EQUITY (Continued)

	31 December 2021	Amount for application before 1/1/2014 (*)
Common Equity Tier I Capital		
Paid-in Capital to be Entitled for Compensation after All Creditors	200.000	
Share Premiums	-	
Reserves	1.014	
Gains reflected to equity according to Turkish Accounting Standards (TAS)	-	
Profit	373.165	
Current Period Profit	84.669	
Prior Period Profit	288.496	
Bonus Shares from Associates, Subsidiaries and Joint-Ventures not Accounted in Current Period's Profit	-	
Minority Interest	574.179	
Common Equity Tier I Capital Before Deductions		
Deductions From Common Equity Tier I Capital		
Valuation adjustments calculated as per the article 9. (i) of the Regulation on Bank Capital	-	-
Current and Prior Periods' Losses not Covered by Reserves, and Losses Accounted under Equity according to TAS (-)	-	-
Leasehold Improvements on Operational Leases (-)	(658)	-
Goodwill Netted with Deferred Tax Liabilities	-	-
Other Intangible Assets Netted with Deferred Tax Liabilities Except Mortgage Servicing Rights	-	-
Net Deferred Tax Asset/Liability (-)	(236)	(236)
Differences arise when assets and liabilities not held at fair value, are subjected to cash flow hedge accounting	(1.504)	-
Total credit losses that exceed total expected loss calculated according to the Regulation on Calculation of Credit Risk by Internal Ratings Based Approach	-	-
Securitization gains	-	-
Unrealized gains and losses from changes in bank's liabilities' fair values due to changes in creditworthiness	-	-
Net amount of defined benefit plans	-	-
Direct and Indirect Investments of the Bank on its own Tier I Capital (-)	-	-
Shares Obtained against Article 56, Paragraph 4 of the Banking Law (-)	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
Mortgage Servicing Rights Exceeding the 10% Threshold of Tier I Capital (-)	-	-
Net Deferred Tax Assets arising from Temporary Differences Exceeding the 10% Threshold of Tier I Capital (-)	-	-
Amount Exceeding the 15% Threshold of Tier I Capital as per the Article 2, Clause 2 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital not deducted from Tier I Capital (-)	-	-
Mortgage Servicing Rights not deducted (-)	-	-
Excess Amount arising from Deferred Tax Assets from Temporary Differences (-)	-	-
Common Equity Tier I Capital	-	-



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BRANCH (Continued)**

IV. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

	31 December 2021	Amount for application before 1/1/2014 (*)
Total Deductions from Common Equity Tier I Capital		
Total Common Equity Tier I Capital	(2.398)	
ADDITIONAL TIER I CAPITAL	571.781	
Preferred Stock not Included in Common Equity Tier I Capital and the Related Share Premiums	-	
Debt Instruments and the Related Issuance Premiums Defined by the BRSA	-	
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Covered by Temporary Article 4)	-	
Additional Tier I Capital before Deductions	-	
Deductions from Additional Tier I Capital	-	
Direct and Indirect Investments of the Bank on its own Additional Tier I Capital (-)	-	-
Investments in Equity Instruments Issued by Banks or Financial Institutions Invested in Bank's Additional Tier I Capital and Having Conditions Stated in the Article 7 of the Regulation	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital (-)	-	-
Other items to be defined by the BRSA (-)	-	-
Items to be Deducted from Tier I Capital during the Transition Period	-	-
Goodwill and Other Intangible Assets and Related Deferred Taxes not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-	-
Net Deferred Tax Asset/Liability not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-	-
Deduction from Additional Tier I Capital when there is not enough Tier II Capital (-)	-	-
Total Deductions from Additional Tier I Capital	-	-
Total Additional Tier I Capital	-	-
Total Tier I Capital (Tier I Capital= Common Equity Tier I Capital + Additional Tier I Capital)	571.781	
TIER II CAPITAL		
Debt Instruments and the Related Issuance Premiums Defined by the BRSA	-	
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Covered by Temporary Article 4)	-	
Provisions (Amounts explained in the first paragraph of the article 8 of the Regulation on Bank Capital)	-	
Total Deductions from Tier II Capital	5.374	
Deductions from Tier II Capital	5.374	
Direct and Indirect Investments of the Bank on its own Tier II Capital (-)	-	-
Investments in Equity Instruments Issued by Banks and Financial Institutions Invested in Bank's Tier II Capital and Having Conditions Stated in the Article 8 of the Regulation	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital and Tier II Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of Tier I Capital (-)	-	-



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BRANCH (Continued)**

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

	31 December 2021	Amount for application before 1/1/2014 (*)
Total of Discounts from Contribution Capital	-	-
Total Contribution Capital	5.374	-
Total Equity (Total Tier I Capital and Contribution Capital)	577.155	-
Total Capital and Contribution Capital (Total Equity)		
Loans made in violation of the provisions of Articles 50 and 51 of the Law	-	-
The amounts exceeding the limit in the first paragraph of Article 57 of the Law, and the net book values of the commodities and real estates that the banks had to acquire due to their receivables and which had to be disposed of pursuant to the same article, which could not be disposed of despite the passage of five years from the date of acquisition.	-	-
Other accounts to be determined by the Board	-	-
Items that will continue to be deducted from the Total Tier I Capital and Contribution Capital (from the Capital) in the Transition Period		
In accordance with the first paragraph of the Temporary Article 2 of the Bank's Equity Regulation, the portion exceeding ten percent of the bank's core capital of the total net long positions of the investments made in the equity elements of unconsolidated banks and financial institutions, in which 10% or less of the partnership shares are held, is taken from the core capital, additional main the part that is not deducted from the capital and contribution capital	-	-
In accordance with the first paragraph of the Temporary Article 2 of the Regulation on Banks' Equity, the total amount of the net long positions of the investments made directly or indirectly to the additional main capital and supplementary capital elements of the unconsolidated banks and financial institutions, in which more than 10% of the partnership shares are held, the part that is not deducted from the capital and contribution capital	-	-
The second paragraph of the Provisional Article 2 of the Regulation on Banks' Equity (1) The portion of the amounts to be deducted from the core capital pursuant to sub-paragraphs (2) and (2), which is not deducted from the core capital in accordance with the first paragraph of the Temporary Article 2 of the Regulation.	-	-
EQUITY		
Total Equity (Total of Tier I capital and contribution capital)	577.155	-
Total Risk Weighted Amounts	750.899	-
CAPITAL ADEQUACY RATIOS		
Core Capital Adequacy Ratio (%)	76,15	-
Tier I Capital Adequacy Ratio (%)	76,15	-
Capital Adequacy Ratio (%)	76,86	-
BUFFERS		
Total additional core capital requirement ratio (a+b+c)	2,5	-
a) Capital protection buffer ratio (%)	2,5	-
b) Bank-specific cyclical capital buffer ratio (%)	-	-
c) Systemically important bank buffer rate (%)	-	-
Ratio of the additional core capital amount to be calculated in accordance with the first paragraph of Article 4 of the Regulation on Capital Protection and Circular Capital Buffers to the amount of risk-weighted assets (%)	-	-
Amounts Below the Excess Amount in the Discount Principles to be Applied		
The amount arising from the net long positions of investments in the equity elements of unconsolidated banks and financial institutions in which 10% or less of the partnership interests are held.	-	-



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The amount arising from the net long positions of the investments made in the core capital elements of unconsolidated banks and financial institutions in which more than 10% of the partnership shares are held	-	-
The amount arising from the rights to provide mortgage services	-	-
Amount from deferred tax assets based on temporary differences	-	-
Limits on Provisions Considered in Calculation of Contribution Capital		
General provisions for receivables using the standard approach (before the limit of ten thousand and twenty five)	5.374	-
Up to 1.25% of the total risk-weighted amounts of general provisions set aside for receivables using the standard approach	5.374	-
The portion of the total provision amount exceeding the total expected loss amount calculated in accordance with the Communiqué on Calculation of the Amount Subject to Credit Risk with Internal Rating-Based Approaches	-	-
The portion of the total provision amount exceeding the total expected loss calculated in accordance with the Communiqué on the Calculation of the Amount Subject to Credit Risk with Internal Rating-Based Approaches, up to 0.6% of the total risk-weighted amounts of receivables.	-	-
Debt instruments subject to the provisions of Provisional Article 4		
(To be implemented between 1 January 2018 and 1 January 2022)		
The upper limit for additional capital items subject to the provisions of Provisional Article 4	-	-
The portion exceeding the upper limit of additional capital items subject to the provisions of Provisional Article 4	-	-
The upper limit for the contribution capital items subject to the provisions of Provisional Article 4	-	-
The portion of the total provision amount exceeding the total expected loss amount calculated in accordance with the Communiqué on Calculation of the Amount Subject to Credit Risk with Internal Rating-Based Approaches	-	-

(*) Under this heading, the total amounts of the items that will be reached at the end of the transition period in accordance with the "Regulation on the Equity of the Banks", which entered into force on 1/1/2014, are included.



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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

a. Items included in capital calculation

None.

b. Reconciliation of capital items to balance sheet

<i>Current Period</i>	<i>Carrying value</i>	<i>Amount of correction</i>	<i>Value of the capital report</i>	<i>Explanation of differences</i>
Paid-in capital	200.000	-	200.000	
Capital Reserves	-	-	-	
Other Comprehensive Income According to TAS	(466)	-	(466)	
Securities Value Increase Fund	-	-	-	
Revaluation Surplus on Tangible Assets	-	-	-	
Revaluation Surplus on Intangible Assets	-	-	-	
Revaluation Surplus on Investment Property	-	-	-	
Hedging Funds (Effective Portion)	-	-	-	
Accumulated valuation differences from assets held for sale and from discontinued operations	-	-	-	
Other Capital Reserves	-	-	-	
Bonus Shares from Investments in Associates, Subsidiaries and Joint Ventures (Business Partners)	-	-	-	
Share Premium	-	-	-	
Profit Reserves	(2.981)	-	(2.981)	
Profit or Loss	-	-	-	
Prior Periods Profit/Loss	-	-	-	
Current Period Net Profit/Loss	1.504	-	1.504	
Minority Shares	437.707	-	437.707	
Deductions from Common Equity Tier I Capital (-)	372.674	-	372.674	
Paid-in capital	65.033	-	65.033	
Capital Reserves	-	-	-	
Other Comprehensive Income According to TAS	(3.175)	-	(3.175)	
Common Equity Tier I Capital	633.521		633.521	

<i>Current Period</i>	<i>Carrying value</i>	<i>Amount of correction</i>	<i>Value of the capital report</i>	<i>Explanation of differences</i>
Subordinated Debts	-	-	-	
Deductions from Tier I Capital (-)	-	-	-	
Tier I Capital				
Subordinated Debts	-	-	-	
General Provisions	-	-	-	
Deductions from Tier II Capital (-)	-	-	-	
Tier II Capital				
Deductions from Total Capital (-)	-	-	-	
Total			640.369	



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c. Reconciliation of capital items to balance sheet (Continued)

<i>Previous Period</i>	<i>Carrying value</i>	<i>Amount of correction</i>	<i>Value of the capital report</i>	<i>Explanation of differences</i>
Paid-in capital	200.000	-	200.000	
Capital Reserves	-	-	-	
Other Comprehensive Income According to TAS	-	-	-	
Securities Value Increase Fund	-	-	-	
Revaluation Surplus on Tangible Assets	-	-	-	
Revaluation Surplus on Intangible Assets	-	-	-	
Revaluation Surplus on Investment Property	-	-	-	
Hedging Funds (Effective Portion)	-	-	-	
Accumulated valuation differences from assets held for sale and from discontinued operations	-	-	-	
Other Capital Reserves	-	-	-	
Bonus Shares from Investments in Associates, Subsidiaries and Joint Ventures (Business Partners)	-	-	-	
Share Premium	-	-	-	
Profit Reserves	-	-	-	
Profit or Loss	(658)	-	(658)	
Prior Periods Profit/Loss	-	-	-	
Current Period Net Profit/Loss	1.014	-	1.014	
Minority Shares	373.165	-	373.165	
Deductions from Common Equity Tier I Capital (-)	288.496	-	288.496	
Paid-in capital	84.669	-	84.669	
Capital Reserves	-	-	-	
Other Comprehensive Income According to TAS	(1.740)	-	(1.740)	
Common Equity Tier I Capital	571.781		571.781	

<i>Previous Period</i>	<i>Carrying value</i>	<i>Amount of correction</i>	<i>Value of the capital report</i>	<i>Explanation of differences</i>
Subordinated Debts	-	-	-	
Deductions from Tier I Capital (-)	-	-	-	
Tier I Capital				
Subordinated Debts	-	-	-	
General Provisions	-	-	-	
Deductions from Tier II Capital (-)	-	-	5.374	
Tier II Capital				
Deductions from Total Capital (-)	-	-	5.374	
Total			577.155	

d. Approaches applied to assess the adequacy of internal capital requirement in terms of current and future activities

The "Internal Capital Evaluation Process" report is prepared within the framework of the "Risk Management Policies and Implementation Procedures" approved by the Branch's Board of Managers on November 27, 2012 and updated on September 24, 2021. With this report, it is aimed to determine the capital size that will be needed in the future one year period by effectively evaluating and measuring all the risks that the Branch may be exposed to.

The Internal Capital Requirement Analysis for the years 2021, 2022, 2023, which was prepared by taking into account the 2020 year-end information of the Branch, was accepted by the Board of Directors decision no. 4 dated March 18, 2021. The Internal Capital Requirement Analysis for the years 2022, 2023 and 2024, which was prepared by considering the 2021 year-end information of the Branch, was accepted by the Board of Managers decision no. 11 dated March 30, 2022.

In the Analysis of Internal Capital Requirement, the Branch's activities and services, the main and sub-risk elements that may be exposed to them and the current legal capital requirement are analyzed based on the recent developments over the financial data of the previous year and the forecasts and anticipations calculated for the next three years of operation within the scope of the scenario submitted by BRSA. Besides of these matters, the main and sub-types of risk that has been considered for Branch, and the quantification of these risks are included in the calculation of internal capital requirements for these risks has been placed. In the Analysis of Internal Capital Requirement for 2020 and 2021 credit risk (in general, country), market risk (currency and interest rate) and operational risk in addition to banking accounts that cannot quantify with re-pricing risk with reputational risk has been considered.



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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
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II. EXPLANATIONS ON CREDIT RISK

- a. The Branch tries to reduce credit risk by classifying the credibility with high banks and financial institutions. The Branch requires additional guarantees from the real persons and entities that the Branch extends loans to who were assessed as high risk after performing detailed risk ratings on individual loans. Due to the imposed sanctions, the credit transactions of the Branch decreased after 2014. Following that some Iran-based financial and industrial institutions, including Bank Mellat, the main shareholder of the branch, were included in the list of secondary sanctions on 17 October 2018, the decrease in the credit transactions of the Branch has continued.

The credit worthiness of borrowers is monitored regularly. Audited information is obtained for the new rendered loans if possible. Unaudited information is examined in detail by loan department of the Branch.

- b. The Branch has no futures and options contracts as of December 31, 2022.
- c. The branch is not subject to significant credit risk as of December 31, 2022.
- d. The Branch subjects the indemnified non-cash loans to the same risk weight as the loans that are due but not paid. Loans that are renewed and linked to the repayment plan are monitored by the Branch in accordance with the Branch's credit risk management and follow-up principles. The financial situation and commercial activities of the relevant customer are constantly analyzed and it is monitored by the relevant units whether principal and interest payments are made according to the renewed plan.
- e. The banking activities and lending transactions carried out by the Branch abroad are mainly carried out with institutions originating in the Islamic Republic of Iran, where the Branch's headquarters are located.
- f. The branch is not an active participant in the international banking market.
- g. 100% of the total cash loan portfolio that Branch 1 will receive from the first 100 major cash loan customers (31 December 2021: 100%). 100% of the total non-cash loan portfolio that Branch 2 will receive from the first 100 largest non-cash loan customers (31 December 2021: 100%).
- The share of cash and non-cash receivables from the first 100 credit customers of the 3rd Branch in the assets monitored in the balance sheet and in the regular accounts is 17.73% (31 December 2021: 15.18%).
- h. The general reserve amount allocated by the Branch for credit risk is TL 16,375 (31 December 2021: TL 12,535).



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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

II. EXPLANATIONS ON CREDIT RISK (Continued)

Risk Categories (Current Year)	End of Period Risk Amount (*)	Current Period Average Risk Amount (**)
Conditional and unconditional receivables from central governments or central banks	251.352	243.356
Conditional and unconditional receivables from regional or local governments	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-
Conditional and unconditional receivables from multilateral development banks	-	-
Conditional and unconditional receivables from international organizations	-	-
Conditional and unconditional receivables from banks and brokerage houses	775.804	682.247
Conditional and unconditional receivables from corporates	292.214	265.993
Conditional and unconditional retail receivables	7.347	4.380
Conditional and unconditional receivables secured by mortgages	-	-
Past due receivables	3.462	3.422
Items in regulatory high-risk categories	-	-
Exposures in the form of bonds secured by mortgages	-	-
Securitization positions	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-
Exposures in the form of collective investment undertakings	-	-
Stock Investments	930	480
Other Receivables	400.179	438.995
Total	1.731.288	1.638.872

(*) Includes total risk amounts before the effect of credit risk mitigation but after credit conversions.

(**) Average risk amounts are the arithmetical average of the amounts in monthly reports prepared according to "the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks."

Risk Categories (Previous Year)	End of Period Risk Amount (*)	Average Risk Amount (**)
Conditional and unconditional receivables from central governments or central banks	233.389	204.693
Conditional and unconditional receivables from regional or local governments	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-
Conditional and unconditional receivables from multilateral development banks	-	-
Conditional and unconditional receivables from international organizations	-	-
Conditional and unconditional receivables from banks and brokerage houses	579.668	498.467
Conditional and unconditional receivables from corporates	235.193	176.710
Conditional and unconditional retail receivables	2.096	2.100
Conditional and unconditional receivables secured by mortgages	-	-
Past due receivables	3.291	3.141
Items in regulatory high-risk categories	-	-
Exposures in the form of bonds secured by mortgages	-	-
Securitization positions	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-
Exposures in the form of collective investment undertakings	-	-
Stock Investments	316	328
Other Receivables	548.355	461.936
Total	1.602.308	1.347.375

(*) Includes total risk amounts before the effect of credit risk mitigation but after credit conversions.

(**) Average risk amounts are the arithmetical average of the amounts in monthly reports prepared according to "the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks."



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II. EXPLANATIONS ON CREDIT RISK (Continued)

h. Profile of significant risks in major regions

	Risk Classes ^(*)														Total
	Conditional and unconditional receivables from regional or local governments or central banks	Conditional and unconditional receivables from administrative units and non-commercial enterprises	Conditional and unconditional receivables from multilateral development banks	Conditional and unconditional receivables from international organizations	Conditional and unconditional receivables from banks and brokerage houses	Conditional and unconditional receivables from corporates	Conditional and unconditional receivables secured by mortgage	Past due receivables	Receivables defined in high risk category by BRSA	Securities collateralized by mortgage	Securitization positions	Short-term receivables from banks, brokerage houses and corporates	Investments similar to collective investment funds	Other receivables	Total
31 December 2022															
Current Period															
1. Domestic	251.352	-	-	-	425.111	150	173.499	-	3.462	-	-	-	-	401.108	1.254.682
2. European Union (EU)	-	-	-	-	347.210	-	-	-	-	-	-	-	-	-	347.210
3. OECD Countries (**)	-	-	-	-	149	-	-	-	-	-	-	-	-	-	149
4. Off-Shore Banking Regions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
5. USA, Canada	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6. Other Countries	-	-	-	-	3.334	117.173	-	-	-	-	-	-	-	-	-
7. Associates, Subsidiaries and Joint – Ventures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
8. Unallocated Assets/Liabilities (***)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	251.352	-	-	-	775.804	117.323	173.499	-	3.462	-	-	-	-	401.108	1.722.548

(*) The risk classes in the Regulation on Measurement and Evaluation of Capital Adequacy of Banks shall be taken into consideration.

(**) Includes OECD countries other than EU countries, USA and Canada

(***) Includes asset and liability items that can not be allocated on a consistent basis.



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INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

i. Profile of significant exposures in major regions (Continued)

	Risk Classes ^(*)															Total
	Conditional and unconditional receivables from central governments or central banks	Conditional and unconditional receivables from regional or local governments	Conditional and unconditional receivables from administrative units and non-commercial enterprises	Conditional and unconditional receivables from multilateral development banks	Conditional and unconditional receivables from international organizations	Conditional and unconditional receivables from banks and brokerage houses	Conditional and unconditional receivables from corporates	Conditional and unconditional receivables secured by mortgages	Past due receivable \$	Receivables defined in high risk category by BRSA	Securities collateralized by mortgage \$	Securitization positions	Short-term receivables from banks, brokerage houses and corporates	Investments similar to collective investment funds	Other receivables	
31 December 2021																
Previous Period	233,389	-	-	-	-	406,017	113	97,990	-	3,291	-	-	-	-	-	548,671
1. Domestic (EU)	-	-	-	-	-	171,041	-	-	-	-	-	-	-	-	-	-
3. OECD Countries (**)	-	-	-	-	-	113	-	-	-	-	-	-	-	-	-	-
4. Off-Shore Banking Regions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
5. USA, Canada	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6. Other Countries	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
7. Associates, Subsidiaries and Joint - Ventures	-	-	-	-	-	2,497	136,184	-	-	-	-	-	-	-	-	-
8. Unallocated Assets/Liabilities (***)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	233,389	-	-	-	-	579,668	136,297	97,990	-	3,291	-	-	-	-	-	548,671
																1,599,306

(*) The risk classes in the Regulation on Measurement and Evaluation of Capital Adequacy of Banks shall be taken into consideration.
 (**) Includes OECD countries other than EU countries, USA and Canada
 (***) Includes asset and liability items that can not be allocated on a consistent basis.



II. INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

j. Risk profile by sectors or counterparties

¹⁾ Includes risk amounts before the effect of credit risk mitigation but after the credit conversions

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INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

j. Risk profile by sectors or counterparties (Continued)

[illegible]

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II. EXPLANATIONS ON CREDIT RISK (Continued)

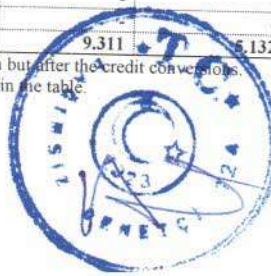
k. Distribution of risk bearing maturities according to the remaining maturities

31 December 2022	Term to Maturity				
	1 month	1-3 months	3-6 months	6-12 months	Over 1 year
Exposure Classifications (*) (**)					
Conditional and unconditional receivables from central governments or central banks	-	-	-	7.657	-
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	-	-	-	-	-
Conditional and unconditional receivables from corporates	1.160	6.868	12.635	45.676	219.693
Conditional and unconditional retail receivables	-	12	44	424	1.744
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-
Past due receivables	-	-	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	-
Securities collateralized by mortgages	-	-	-	-	-
Securitization positions	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-
Other receivables	-	-	-	-	-
TOTAL	1.160	6.880	12.679	53.757	221.437

(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.
(**) Credit risk amounts which have no maturities do not comprise in the table.

31 December 2021	Term to Maturity				
	1 month	1-3 months	3-6 months	6-12 months	Over 1 year
Exposure Classifications (*) (**)					
Conditional and unconditional receivables from central governments or central banks	-	-	-	-	-
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	-	-	-	-	-
Conditional and unconditional receivables from corporates	113	9.295	5.126	68.225	149.426
Conditional and unconditional retail receivables	-	16	6	1.278	797
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-
Past due receivables	-	-	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	-
Securities collateralized by mortgages	-	-	-	-	-
Securitization positions	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-
Other receivables	-	-	-	-	-
TOTAL	113	9.311	5.132	69.503	150.223

(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.
(**) Credit risk amounts which have no maturities do not comprise in the table.



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II. EXPLANATIONS ON CREDIT RISK (Continued)

I. Exposure Categories

External risk ratings are not used to determine the risk weights of the risk categories as per the Article 6 of the "Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks".

m. Exposures by risk weights

Current Period Risk weights	%0	%10	%20	%50	%75	%100	%150	%200	%1250	Deductions from Equity
Exposures before Credit Risk Mitigation	634.050	-	671.766	8.739	-	405.769	2.224	-	-	-
Exposures after Credit Risk Mitigation	634.050	-	671.766	8.739	-	405.769	2.224	-	-	-

Prior Period Risk weights	%0	%10	%20	%50	%75	%100	%150	%200	%1250	Deductions from Equity
Exposures before Credit Risk Mitigation	766.097	-	503.950	3.002	-	323.510	2.747	-	-	-
Exposures after Credit Risk Mitigation	766.097	-	503.950	3.002	-	323.510	2.747	-	-	-

n. Information by major sectors and type of counterparties

The Branch, provides specific provisions for the non performing loans not less than the determined minimum rates according to 10th, 11th, 13th and 15th articles of the "Regulation on Procedures and Principles for Determination of Qualifications of Loans by Banks and Provisions to be set aside" published in the Official Gazette dated 22 June 2016 and numbered 29750. In addition to the non-performing loans, the Branch provides general loan loss provisions for the loans and receivables which are defined in the same communique.

Impaired Credits; are the credits that either overdue more than 90 days as of the reporting date or are treated as impaired due to their creditworthiness. For such credits, "specific provisions" are allocated as per the Provisioning Regulation.

Past Due Credits; are the credits that overdue up to 90 days but not impaired. For such credits, "general provisions" are allocated as per the Provisioning Regulation.

31 December 2022	Credits			
	Impaired Credits	Past Due Credits	Impaired Credits (*)	Past Due Credits (**)
Agriculture	108	-	-	108
Farming and Stockbreeding	108	-	-	108
Forestry	-	-	-	-
Fishery	-	-	-	-
Manufacturing	270	-	-	108
Mining and Quarrying	-	-	-	-
Production	270	-	-	108
Electricity, Gas and Water	-	-	-	-
Construction	-	-	-	-
Services	6.753	-	-	-
Wholesale and Retail Trade	6.753	-	-	4.775
Accommodation and Dining	-	-	-	4.775
Transportation and Telecom.	-	-	-	-
Financial Institutions	-	-	-	-
Real Estate and Rental Services	-	-	-	-
Professional Services	-	-	-	-
Educational Services	-	-	-	-
Health and Social Services	-	-	-	-
Others	212	-	-	-
Total	7.343	-	-	85
				5.076

(*) The figures represent the general provision amount for past due loans.

(**) The figures represent the specific provisions amount for impaired loans.

(***) The figures represent the non-cash loan risk is not included in the related table.



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(Continued)**

II. EXPLANATIONS ON CREDIT RISK (Continued)

n. Information by major sectors and type of counterparties (Continued)

31 December 2021	Credits			
	Impaired Credits	Past Due Credits	Impaired Credits (*)	Past Due Credits (**)
Agriculture	108	-	-	108
Farming and Stockbreeding	108	-	-	108
Forestry	-	-	-	-
Fishery	-	-	-	-
Manufacturing	578	-	-	-
Mining and Quarrying	-	-	-	244
Production	578	-	-	-
Electricity, Gas and Water	-	-	-	244
Construction	-	-	-	-
Services	6.753	-	-	-
Wholesale and Retail Trade	6.753	-	-	4.775
Accommodation and Dining	-	-	-	4.775
Transportation and Telecom.	-	-	-	-
Financial Institutions	-	-	-	-
Real Estate and Rental Services	-	-	-	-
Professional Services	-	-	-	-
Educational Services	-	-	-	-
Health and Social Services	-	-	-	-
Others	212	-	-	-
Total	7.651	-	-	85
				5.212

(*) The figures represent the general provision amount for past due loans.

(**) The figures represent the specific provisions amount for impaired loans.

(***) The figures represent the non-cash loan risk is not included in the related table.

o. Movements in value adjustments and provisions

Current Period	Opening Balance	Provision for Period	Provision Reversals	Other Adjustments	Closing Balance
Specific Provisions	5.212	-	136	-	5.076
General Provisions	12.535	3.840	-	-	16.375

Prior Period	Opening Balance	Provision for Period	Provision Reversals	Other Adjustments	Closing Balance
Specific Provisions	5.395	1	184	-	5.212
General Provisions	6.625	5.910	-	-	12.535



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(Continued)**

III. EXPLANATIONS ON CURRENCY RISK

The Branch with the change in the currency system to floating currency, limits the total foreign currency position in accordance with the legal limits because of the increasing uncertainties in the changing currency path. The Branch does not hedge its foreign exchange debt instruments and net foreign exchange investments by the hedging derivatives.

The Branch holds position in line with the currency basket of CBRT to hedge the currency risk. Foreign Exchange asset-liability management has been effected as such all rates may be kept to be within liquidity and credit risks determined within the framework of risk-return profile of the Branch and in a way to ensure the sustainable profitability. Measurable and manageable risks have been undertaken as per the ratios that must be adhered to.

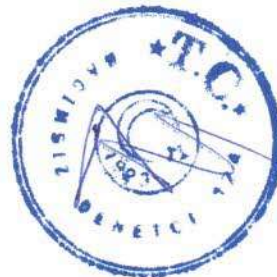
The foreign currency position risk of the Branch is monitored as per the limits and measured by "standard method".

The Branch's foreign exchange bid rates as of the date of the financial statements and for the last five days prior to that date are presented below:

	US Dollar	Euro	100 Japanese Yen	U.A.E. Dirham
Balance Sheet Evaluation	18,6983	19,9349	14,1301	5,0627
30 December 2022	18,6966	19,8816	13,9478	5,0623
29 December 2022	18,6964	19,8946	13,9238	5,0621
28 December 2022	18,6813	19,9087	14,0034	5,0580
27 December 2022	18,6649	19,8324	14,0059	5,0535
26 December 2022	18,6592	19,8044	14,0355	5,0523

Simple arithmetic average values of the Branch's current foreign exchange buying rate for the last thirty days, backwards from the financial statement date:

USD:	18,6365 TRY
EUR:	19,6983 TRY
100 Japanese Yen	13,7582 TRY
U.A.E. Dirham	5,0457 TRY



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III. EXPLANATIONS ON CURRENCY RISK (Continued)

Information on the foreign currency exchange rate risk of the Branch

31 December 2022	Euro	USD	Other FC	Total
Assets				
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	226.655	137.098	-	363.753
Banks	358.216	87.920	469	446.605
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	-
Financial Assets at Fair Value Through Other Comprehensive Income	-	-	-	-
Loans	134.648	-	-	134.648
Investments in Associates, Subsidiaries and Joint Ventures	-	-	-	-
Held to Maturity Securities	-	-	-	-
Hedging Derivative Financial Assets	-	-	-	-
Tangible Assets	-	-	-	-
Intangible Assets	-	-	-	-
Other Assets	-	156	-	156
Total Assets	719.519	225.174	469	945.162
Liabilities				
Bank Deposits	436.628	151.882	10	588.520
Foreign Currency Deposits	189.030	35.540	2.159	226.729
Funds from Interbank Money Market	-	-	-	-
Borrowings	-	-	-	-
Marketable Securities Issued	-	-	-	-
Sundry Creditors	3.987	-	-	3.987
Hedging Derivative Financial Liabilities	-	-	-	-
Other Liabilities	71	11	-	82
Total Liabilities	629.716	187.433	2.169	819.318
Net On-Balance Sheet Position	89.803	37.741	(1.700)	125.844
Net Off Balance Sheet Position				
Financial Derivative Assets	-	-	-	-
Financial Derivative Liabilities	-	-	-	-
Non-Cash Loans	12.231	6.319	-	18.550
31 December 2021				
Total Assets	700.770	194.811	524	896.105
Total Liabilities	631.394	135.845	1.833	769.072
Net On-Balance Sheet Position	69.376	58.966	(1.309)	127.033
Net Off Balance Sheet Position				
Financial Derivative Assets	-	-	-	-
Financial Derivative Liabilities	-	-	-	-
Non-Cash Loans	5.879	852	-	6.731

The table above shows the foreign currency position of the Branch on the basis of important foreign currency types. In accordance with the Uniform Chart of Accounts, foreign currency indexed assets are shown in Turkish Lira, not foreign currency, in the financial statements. As of 31 December 2022, the branch does not have foreign currency indexed loans in the balance sheet. (31 December 2021: None). In addition, general provisions amounting to TL 9.142 (31 December 2021: TL 6.741) are not included in the table. The provision for non-cash loans amounting to TL 797, which is not indemnified and turned into cash, is offset from the balance of non-cash loans (31 December 2021: 568 TL).



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IV. EXPLANATIONS ON INTEREST RATE RISK

"Interest rate risk" is defined as the impact of interest rate changes on interest-sensitive assets and liabilities of the Branch.

The Branch evaluates interest rate in two dimensions. This is maturity risk originating from the differences of maturity structures and repricing risk originating from the fluctuations of net interest margin. Interest rate risk is managed using natural hedges that arise from offsetting interest rate sensitive assets with interest rate sensitive liabilities.

a. Interest rate sensitivity of assets, liabilities and off-balance sheet items (based on repricing dates)

31 December 2022	Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 years	Over 5 years	Non Interest Bearing	Total
Assets							
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	219.693	-	-	-	-	388.236	607.929
Banks	328.976	-	-	-	-	446.828	775.804
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-
Interbank Money Market Placements	-	-	-	-	-	930	930
Financial Assets at Fair Value Through Other Comprehensive Income	-	-	7.657	-	-	-	7.657
Loans and Receivables	6.943	4.012	53.033	218.093	-	2.267	284.348
Held to Maturity Securities	-	-	-	-	-	-	-
Other Assets ^(*)	1	-	-	-	-	-	-
Total Assets	555.613	4.012	60.690	218.093	-	855.738	1.694.146
Liabilities							
Bank Deposits	-	-	-	-	-	784.382	784.382
Other Deposits	89	-	-	-	-	229.575	229.664
Funds From Interbank Money Market	-	-	-	-	-	-	-
Sundry Creditors	-	-	-	-	-	-	-
Marketable Securities Issued	-	-	-	-	-	4.201	4.201
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-
Other Liabilities ^(**)	477	-	-	-	-	675.422	675.899
Total Liabilities	566	-	-	-	-	1.693.580	1.694.146
Balance Sheet Long Position	555.047	4.012	60.690	218.093	-	-	837.842
Balance Sheet Short Position	-	-	-	-	-	(837.842)	(837.842)
Off-Balance Sheet Long Position	-	-	-	-	-	-	-
Off-Balance Sheet Short Position	-	-	-	-	-	-	-
Total Position	555.047	4.012	60.690	218.093	-	(837.842)	-

(1) Other Assets** line includes Deferred Tax Assets, Tangible and Intangible Assets and Other Assets..

(2) Shareholders' equity, provisions and tax liability is presented under "Other liabilities" item in "Non-interest bearing".



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IV. EXPLANATIONS ON INTEREST RATE RISK (Continued)

**a. Interest rate sensitivity of assets, liabilities and off-balance sheet items (based on repricing dates)
(Continued)**

31 December 2021	Up to 1 Month	1 – 3 Months	3 – 12 Months	1– 5 years	Over 5 years	Non Interest Bearing	Total
Assets							
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	217.179	-	-	-	-	534.212	751.391
Banks	288.235	-	-	-	-	291.432	579.667
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	316	316
Interbank Money Market Placements	-	-	-	-	-	-	-
Financial Assets at Fair Value Through Other Comprehensive Income	-	-	-	-	-	-	-
Loans and Receivables	-	16	80.854	150.415	-	2.437	233.722
Held to Maturity Securities	-	-	-	-	-	-	-
Other Assets (*)	1	-	-	-	-	15.646	15.647
Total Assets	505.415	16	80.854	150.415	-	844.043	1.580.743
Liabilities							
Bank Deposits	-	-	-	-	-	745.685	745.685
Other Deposits	85	-	-	-	-	219.154	219.239
Funds From Interbank Money Market	-	-	-	-	-	-	-
Sundry Creditors	-	-	-	-	-	-	-
Marketable Securities Issued	-	-	-	-	-	3.226	3.226
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-
Other Liabilities (**)	783	-	-	-	-	-	-
Total Liabilities	868	-	-	-	-	611.810	612.593
Balance Sheet Long Position	504.547	16	80.854	150.415	-	-	735.832
Balance Sheet Short Position	-	-	-	-	-	(735.832)	(735.832)
Off-Balance Sheet Long Position	-	-	-	-	-	-	-
Off-Balance Sheet Short Position	-	-	-	-	-	-	-
Total Position	504.547	16	80.854	150.415	-	(735.832)	-

(*) "Other Assets" line includes Deferred Tax Assets, Tangible and Intangible Assets and Other Assets.

(**) Shareholders' equity, provisions and tax liability is presented under "Other liabilities" item in "Non-interest bearing."



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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH
(Continued)**

IV. EXPLANATIONS ON INTEREST RATE RISK (Continued)

b. Effective average interest rates for monetary financial instruments

The average interest rates in the tables below are calculated by weighting the simple interest rates applied to different maturity brackets with the principal amounts corresponding to the relevant maturity brackets.

31 December 2022	Euro	USD	Yen	TRY
	(%)	(%)	(%)	(%)
Assets				
Cash and Central Bank of Turkey	-	-	-	-
Banks and Other Institutions	-	-	-	12,50
Financial Assets at Fair Value Through Profit / Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	-
Financial Assets at Fair Value through Other Comprehensive Income	-	-	-	21,77
Loans and Receivables	7,62	-	-	19,89
Financial Assets Measured at Amortised Cost	-	-	-	-
Liabilities				
Bank Deposits	-	-	-	-
Other Deposits	-	-	-	4,00
Funds From Interbank Money Market	-	-	-	-
Sundry Creditors	-	-	-	-
Marketable Securities Issued	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-

31 December 2021	Euro	USD	Yen	TRY
	(%)	(%)	(%)	(%)
Assets				
Cash and Central Bank of Turkey	-	-	-	10,05
Banks and Other Institutions	-	-	-	11,50
Financial Assets at Fair Value Through Profit / Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	-
Financial Assets at Fair Value through Other Comprehensive Income	-	-	-	-
Loans and Receivables	7,00	6,00	-	-
Financial Assets Measured at Amortised Cost	-	-	-	14,28
Liabilities				
Bank Deposits	-	-	-	-
Other Deposits	-	-	-	4,00
Funds From Interbank Money Market	-	-	-	-
Sundry Creditors	-	-	-	-
Marketable Securities Issued	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-



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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH
(Continued)**

IV. EXPLANATIONS ON INTEREST RATE RISK (Continued)

c. Interest rate risk arising from banking accounts

According to "Regulation on Equities of Banks" published in the official gazette no 28756 dated 5 September 2013 and items followed in the trading book; interest rate risk is arising from all balance sheet and off-balance sheet items which are sensitive to interest except subordinated debts which are taken into account when equity is calculated. The interest rate risk resulting repricing risk, yield-curve risk, base risk and option risk.

Repricing Risk

The repricing risk is defined as probable loss from bank's net interest income and negative economic value caused by the interest rate fluctuations. On demand assets and liabilities in the Branch's balances sheet are not affected the fluctuations of interest rate change. Assets and liabilities, which having a fixed term, are sensitive to the repricing risk.

Yield Curve Risk

The yield curve risk is defined as probable loss from bank's net interest income and negative economic value caused by the alteration of yield curve. The Branch has not used financial instruments which are exposed to the yield curve risk. The Branch has not exposed to the yield curve risk.

Base Risk

The base risk is defined as probable loss from bank's net interest income and negative economic value caused by the base of interest rate increase or decrease in the Bank's operations. The Branch has not used the different base of the operations.

Option risk

It is the probability of loss that may arise from financial products including embedded options/obligations adversely affecting the net interest income or economic value of the bank. The branch does not use derivative financial products with options. There is no interest-sensitive item other than time deposits, and the share of this item in the total is negligible.



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(Continued)**

V. EXPLANATIONS ON EQUITY POSITION RISK ARISING FROM BANKING ACCOUNTS

Position risk of equity shares on banking book

- a) Relation of risks with gains accounted under equity and analyzing according to their aims including strategic reasons and the accounting policies applied and general information about valuation techniques with assumptions in this application, the elements that manipulate valuation and important changes:

The branch does not have stocks that are not traded on the stock exchange.

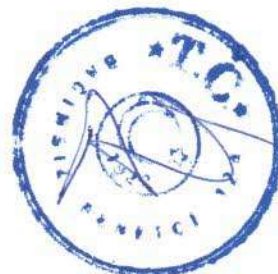
- b) For balance sheet values of equity investments, fair value and for those traded on the stock exchange, the comparison with the market price if the market value differs significantly from the fair value.

31 December 2022		Comparison		
	Balance Sheet Value	Fair Value	Market Value	
Equity Investments				
Financial Assets at Fair Value Through Profit /				
1 Loss				
Traded on Stock Exchange	930	930	-	
2 Associates	930	930	-	
Traded on Stock Exchange	-	-	-	
3 Subsidiaries	-	-	-	
Traded on Stock Exchange	-	-	-	

31 December 2021		Comparison		
	Balance Sheet Value	Fair Value	Market Value	
Equity Investments				
Financial Assets at Fair Value Through Profit /				
1 Loss				
Traded on Stock Exchange	316	316	-	
2 Associates	316	316	-	
Traded on Stock Exchange	-	-	-	
3 Subsidiaries	-	-	-	
Traded on Stock Exchange	-	-	-	

- c) Realized gains/losses, revaluation surpluses and unrealized gains/losses on equity securities and results included in core and supplementary capital:

None.



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**VI. EXPLANATIONS RELATED TO LIQUIDITY RISK MANAGEMENT AND LIQUIDITY
COVERAGE RATIO**

The liquidity risk of the Branch is the risk of being unable to fulfill its payment obligations on time due to not having enough cash sources or cash inflows to finance its cash outflows fully and on time due to cash flow instabilities. It has been evaluated in two main categories:

Funding Liquidity Risk: It is a kind of risk which does not meet the any unexpected loss and non defaulting debts and liabilities.

Market Liquidity Risk: It is a kind of risk which consists of the position that cannot be sold without affecting market price due to insufficient market depth or market conditions' deterioration or that cannot be completed with the position of market price for any reasons.

- a. Information on liquidity risk management, including the risk capacity of the branch, the responsibilities and structure of the liquidity risk management, the reporting of the liquidity risk within the bank, the liquidity risk strategy, and how the policies and practices are communicated to the board and lines of business**

The applications and responsibilities related to the liquidity risk has been determined according to the Treasury Liquidity and Market Management Policies and Practices approved by Board of Managers. The Branch's liquidity policy is to own sufficient liquidity reserve and opportunities to meet its liabilities even in cases of stress, resulting from the market conditions or other conditions specific to the Branch.

Branch has a high-risk coverage ratio due to its capital and asset / liability structure. The liquidity coverage ratio of the Branch which is able to meet the cash outflows with high quality liquid asset stake is considered to be well above the market averages and quite high. There are also ready-to-use limits for the CBRT.

In the daily / weekly / periodically structured meetings of the Assets and Liabilities Committee and the Risk Committee attended by the senior management, the indicators related to the liquidity status are examined and the liquidity risk is addressed. In addition, the Board of Managers is informed through the regular reports prepared by the Risk Management Department and the Audit Committee.

For liquidity risk management, the Risk Management Unit monitors the funding and liquidity risk, market conditions, the distribution of accounts in different foreign currency types, the maturity structure, costs and expected future cash flow obligations.

The Risk Management Unit monitors the limits on liquidity risk determined by the Board of Managers. In addition to these, the Risk Management Unit implements periodic liquidity stress tests to measure the effects of adverse scenarios on the liquidity situation of the Branch. The Fund Management Department manages the funding and liquidity risk to prevent inadequate funding at any time or any source and regularly reports on the liquidity position of the Assets and Liabilities Committee and the Branch's liquidity position. The General Accounting Unit Financial Reporting Service monitors the liquidity coverage ratio and regularly reports to the BRSA.



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(Continued)**

**VI. EXPLANATIONS RELATED TO LIQUIDITY RISK MANAGEMENT AND LIQUIDITY COVERAGE
RATIO (Continued)**

b. Information on the centralization degree of liquidity management and funding strategy and the functioning between the Bank and the Bank's subsidiaries

The Branch's liquidity management is performed by the Asset and Liability Management. The branch has no subsidiary subject to consolidation.

c. Information on the Bank's funding strategy including the policies on funding types and variety of maturities

Branch spread to the base of demand current and time deposit accounts and that a stable, long-term diversification and aims to be the source of the funds used. Ratio of liquid assets to total assets ratio and risk indicators related to liquidity, credit and the ratio of funds, issues such as the concentration in provided funds are being closely monitored.

ç. Information on liquidity management on the basis of currencies constituting a minimum of five percent of the Branch's total liabilities

The total liabilities of branches are in Turkish Lira, Euro or US Dollar, and GBP and Iranian Riyal are in foreign currency. TL liquidity of the branch is managed by cash and cash convertible securities held by CBRT and Banks. TL assets are used for funding TL assets and FC liabilities are used for funding of FX assets. Foreign currency funds are provided from foreign currency denominated borrowings and foreign bank deposits held in our Branch. Foreign currency liquidity is held in correspondent bank accounts within limits.

d. Information on liquidity risk mitigation techniques

Liquidity risk is mitigated by using techniques such as maintaining high quality liquid asset buffer to cover possible fund outflows, diversification of funding sources so far as possible and inclusion to the base, homogenizing the maturity distribution of repayments as far as possible, obtaining limits from funding institutions to use when necessary and ensuring that a determined portion of funding sources are comprised of deposits. In addition, core deposit analysis is performed and concentration on collected funds are closely monitored.

e. Information on the use of stress tests

In order to analyze the source of the possible liquidity insufficiencies and whether comfortably move exists on existing off-balance sheet and balance sheet positions relevant with liquidity risk expectation, the scenarios are implemented by Risk Management Directorate and 3 types liquidity stress tests are prepared by Banking Regulation and Supervision Agency (BRSA). These includes stress test scenarios are special to the Branch, related with the overall market or scenarios take in consideration both of the situations. Stress tests related with liquidity risk are repeated at monthly periods. Results are tracked with key risk indicators and monitored by Senior Management.



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**VI. EXPLANATIONS RELATED TO LIQUIDITY RISK MANAGEMENT AND LIQUIDITY COVERAGE
RATIO (Continued)**

d. General information on urgent and unexpected liquidity situation plans

Necessary strategy and procedures for the management of possible liquidity crisis are determined with the Liquidity Contingency Plan, which is approved and reviewed by the Board of Managers. The plan ultimately aims to protect current and participating account holders, lenders and shareholders. The basic indicators of the Liquidity Emergency Action Plan have been identified, and if the unexpected developments in the liquidity situation or other indicators are triggered, the plan is put into practice. The Risk Committee is responsible for monitoring the plan, and the Asset and Liability Committee is responsible for its implementation.



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**VI. EXPLANATIONS RELATED TO LIQUIDITY RISK MANAGEMENT AND LIQUIDITY COVERAGE
RATIO (Continued)**

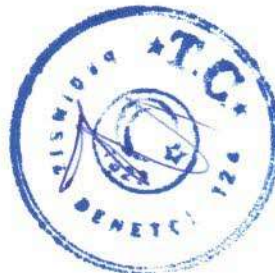
Liquidity Coverage Ratio

31 December 2022		Total Unweighted Value (Average) (*)		Total Weighted Value (Average) (*)	
		TRY+FC	FC	TRY+FC	FC
High-Quality Liquid Assets					
1	Total high-quality liquid assets (HQLA)			608.175	361.141
Cash Outflows					
2	Retail deposits and deposits from small business customers				
3	Stable deposits	226.352	222.302	22.396	22.144
4	Less stable deposits	4.797	1.715	240	86
5	Unsecured wholesale funding	221.555	220.587	22.156	22.059
6	Operational deposits	859.368	658.766	776.705	577.658
7	Non-operational deposits	3.787	3.774	947	944
8	Unsecured funding	133.037	130.464	53.215	52.185
9	Secured wholesale funding	722.543	524.529	722.543	524.529
10	Other cash outflows of which:			-	-
11	Outflows related to derivative exposures and other collateral requirements	-	-	-	-
12	Outflows related to restructured financial instruments	-	-	-	-
13	Payment commitments and other off-balance sheet commitments granted for debts to financial markets	-	-	-	-
14	Other revocable off-balance sheet commitments and contractual obligations	-	-	-	-
15	Other irrevocable or conditionally revocable off-balance sheet obligations	-	-	-	-
16	Total Cash Outflows	13.216	13.109	1.922	1.912
Cash Inflows				801.023	601.714
17	Secured receivables	-	-	-	-
18	Unsecured receivables	-	-	-	-
19	Other cash inflows	-	-	-	-
20	Total Cash Inflows	761.262	429.122	761.262	429.122
21	Total HQLA	761.262	429.122	761.262	429.122
22	Total Net Cash Outflows			608.175	361.141
23	Liquidity Coverage Ratio (%)			200.256	172.449
				303,70	209,42

(1) The average calculated for the last three months of the liquidity coverage ratio calculated by taking the weekly simple arithmetic average.

The lowest, highest and average Liquidity Coverage Ratios for the period of 31 December 2022 are given in the table below:

Current Period	Highest	Date	Lowest	Date	Average
TRY+FC	319,81	1.10.2022	291,20	5.12.2022	303,83
FC	234,18	20.12.2022	186,64	25.12.2022	210,58



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**VI. EXPLANATIONS RELATED TO LIQUIDITY RISK MANAGEMENT AND LIQUIDITY COVERAGE
RATIO (Continued)**

Liquidity Coverage Ratio (Continued)

31 December 2021		Total Unweighted Value (Average) (*)		Total Weighted Value (Average) (*)	
		TRY+FC	FC	TRY+FC	FC
High-Quality Liquid Assets					
1	Total high-quality liquid assets (HQLA)			456,640	470,031
Cash Outflows					
2	Retail deposits and deposits from small business customers				
3	Stable deposits	76,645	78,703	7,630	7,836
4	Less stable deposits	681	694	34	35
5	Unsecured wholesale funding	75,963	78,009	7,596	7,801
6	Operational deposits	570,636	586,675	502,362	516,323
7	Non-operational deposits	2,048	2,106	512	527
8	Unsecured funding	111,230	114,622	44,492	45,849
9	Secured wholesale funding	457,358	469,947	457,358	469,947
10	Other cash outflows of which:				
11	Outflows related to derivative exposures and other collateral requirements	-	-	-	-
12	Outflows related to restructured financial instruments	-	-	-	-
13	Payment commitments and other off-balance sheet commitments granted for debts to financial markets	-	-	-	-
14	Other revocable off-balance sheet commitments and contractual obligations	-	-	-	-
15	Other irrevocable or conditionally revocable off-balance sheet obligations	-	-	-	-
16	Total Cash Outflows	2,804	2,878	625	642
Cash Inflows				510,617	524,801
17	Secured receivables	-	-	-	-
18	Unsecured receivables	-	-	-	-
19	Other cash inflows	-	-	-	-
20	Total Cash Inflows	194,803	199,767	194,803	199,767
21	Total HQLA	194,803	199,767	194,803	199,767
22	Total Net Cash Outflows			456,640	470,031
23	Liquidity Coverage Ratio (%)			315,815	325,033
				144,59	144,61

- (1) The average calculated for the last three months of the liquidity coverage ratio calculated by taking the weekly simple arithmetic average

The table below presents lowest, highest and average liquidity coverage ratios as of 31 December 2021:

Current Period	Highest	Date	Lowest	Date	Average
TRY+YP	395,07	14.10.2021	273,81	21.12.2021	358,65
YP	149,44	21.10.2021	141,71	10.12.2021	144,73



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**VI. EXPLANATIONS RELATED TO LIQUIDITY RISK MANAGEMENT AND LIQUIDITY COVERAGE
RATIO (Continued)**

Breakdown of assets and liabilities according to their outstanding maturities

	Demand	Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 years	Over 5 years	Unclassified (*)	Total
31 December 2022								
Assets								
Cash and the Central Bank of the Republic of Turkey	388.236	219.693	-	-	-	-	-	607.929
Banks	775.804	-	-	-	-	-	-	775.804
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-	-
Interbank Money Market Placements	-	-	-	-	-	-	930	930
Financial Assets at Fair Value through Other Comprehensive Income	-	-	-	-	-	-	-	-
Loans and Receivables	-	6.943	4.012	53.033	218.093	-	-	7.657
Financial Assets Measured at Amortised Cost	-	-	-	-	-	-	2.267	284.348
Other Assets (*)	2.448	40	-	623	-	-	-	-
Total Assets	1.166.488	226.676	4.012	61.313	218.093	-	17.564	1.694.146
Liabilities								
Bank Deposits	784.382	-	-	-	-	-	-	784.382
Other Deposits	229.575	89	-	-	-	-	-	229.664
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-	0
Funds From Interbank Money Market	-	-	-	-	-	-	-	0
Marketable Securities Issued	-	-	-	-	-	-	-	0
Sundry Creditors	4.201	-	-	-	-	-	-	4.201
Other Liabilities (**)	-	477	-	-	-	-	-	-
Total Liabilities	1.018.158	566	-	-	-	-	675.422	675.899
Liquidity Gap	148.330	226.110	4.012	61.313	218.093	-	(657.858)	-
Off-Balance Sheet Position (Net)								
Receivables from financial derivative instruments	-	-	-	-	-	-	-	-
Payables to financial derivative instruments	-	-	-	-	-	-	-	-
Contingencies	-	-	-	-	-	-	-	-
31 December 2021								
Total Assets	1.120.053	212.980	16	81.488	150.415	-	15.791	1.580.743
Total Liabilities	968.065	868	-	-	-	-	611.810	1.580.743
Liquidity Gap	151.988	127.890	16	81.488	150.415	-	(596.019)	-
Off-Balance Sheet Position (Net)								
Receivables from financial derivative instruments	-	-	-	-	-	-	-	-
Payables to financial derivative instruments	-	-	-	-	-	-	-	-
Contingencies	-	-	-	-	-	-	-	-

- (1) Assets that are necessary for banking activities and that cannot be liquidated in the short-term, such as tangible assets, subsidiaries, stationary, pre-paid expenses and non-performing loans, are classified in this column.
(2) Shareholders' Equity is presented under the "Other Liabilities" item in the "Unallocated" column

Information on securitization positions

None.



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VII. EXPLANATIONS ON LEVERAGE RATIO

The leverage ratio calculated based on the arithmetic average of the values found in the previous three-month period as of the balance sheet date of the branch was 38.10% (31 December 2021: 36.81%).

The leverage ratio table prepared in accordance with the communiqué "Regulation on Measurement and Assessment of Leverage Ratios of Banks" published in the Official Gazette no. 28812 dated 5 November 2013 is presented below.

On-balance sheet assets		31 December 2022 ⁽¹⁾	31 December 2021 (1)
1	On-balance sheet items (excluding derivative financial instruments and credit derivatives but including collateral)		
2	(Assets deducted in determining Tier I capital)	1.687.540	1.519.319
3	Total on-balance sheet risks (sum of lines 1 and 2)	(2.510)	(1.516)
		1.685.030	1.517.802
Derivative financial instruments and credit derivatives			
4	Replacement cost associated with all derivative instruments and credit derivatives	-	-
5	Add-on amounts for PFE associated with all derivative instruments and credit derivatives	-	-
6	Total risks of derivative financial instruments and credit derivatives (sum of lines 4 to 5)	-	-
Securities or commodity financing transactions (SCFT)			
7	Risks from SCFT assets (excluding on-balance sheet)	-	-
8	Risks from brokerage activities related exposures	-	-
9	Total risks related with securities or commodity financing transactions (sum of lines 7 to 8)	-	-
Other off-balance sheet transactions			
10	Gross notional amounts of off-balance sheet transactions		
11	(Adjustments for conversion to credit equivalent amounts)	17.765	6.191
12	Total risks of off-balance sheet items (sum of lines 10 and 11)	-	-
		17.765	6.191
Capital and total risks			
13	Tier I capital		
14	Total risks (sum of lines 3, 6, 9 and 12)	629.877	560.993
		1.702.795	1.523.993
Leverage ratio			
15	Leverage ratio	36,99	36,81

⁽¹⁾ Amounts in the table are three-month average amounts.

VIII. EXPLANATIONS ON FAIR VALUES OF FINANCIAL ASSETS AND LIABILITIES

The estimated fair value of demand deposits refers to the amount to be paid on demand. Estimated fair value of fixed rate deposits is calculated by using discounted cash flow using market interest rates applied to similar loans and other debts.

Fair values of loans are calculated discounting future cash flows at current market interest rates for fixed rateloans. The carrying values of floating-rate loans are deemed an approximation for their fair values.

The table summarizes the book value and fair value of the financial assets and liabilities that were not accounted by the values in Bank's financial statements. Book value is the sum of the acquisition value and accumulated profit share accruals.



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VIII. EXPLANATIONS ON FAIR VALUES OF FINANCIAL ASSETS AND LIABILITIES (Continued)

TFRS 7 the standard of "Financial Instruments: Disclosures" requires to be classified according to certain levels, with items presented with fair values on the financial statements. These levels are based on the observability of the data used to calculate the fair value. The classification of the fair value is as follows

	Book Value	Fair Value
	31 December 2022	31 December 2021
Financial Assets	1.066.472	1.066.472
Interbank Money Market Placements	-	-
Banks	775.804	775.804
Financial Assets at Fair Value Through Profit or Loss	930	930
Financial Assets at Fair Value through Other Comprehensive Income	7.657	7.657
Loans (*)	282.081	282.081
Financial Liabilities	1.018.247	1.018.247
Bank Deposits	784.382	784.382
Other Deposits	229.664	229.664
Miscellaneous Payables	4.201	4.201

(*) It is observed that the fair value approximates to the recorded value.

	Book Value	Fair Value
	31 December 2022	31 December 2021
Financial Assets	811.266	811.266
Interbank Money Market Placements	-	-
Banks	579.667	579.667
Financial Assets at Fair Value Through Profit or Loss	316	316
Financial Assets at Fair Value through Other Comprehensive Income	-	-
Loans (*)	231.283	231.283
Financial Liabilities	968.150	968.150
Bank Deposits	745.685	745.685
Other Deposits	219.239	219.239
Miscellaneous Payables	3.226	3.226

(*) It is observed that the fair value approximates to the recorded value.

IX. EXPLANATIONS ON THE ACTIVITIES CARRIED OUT ON BEHALF AND ACCOUNT OF OTHER PERSONS

The Branch does not perform purchases, sales and custody services in the name of others. The Branch has no fiduciary based transactions.



INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH
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X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

a. Explanation on risk management and risk weighted amounts

1. Risk weighted amounts

		Risk Weighted Amounts		Minimum Capital Requirements
		31 December 2022	31 December 2021	31 December 2022
1	Credit risk (excluding counterparty credit risk) (CCR)	547.828	429.922	43.826
2	Of which standardised approach (SA)	547.828	429.922	43.826
3	Of which internal rating-based (IRB) approach	-	-	-
4	Counterparty credit risk	-	-	-
5	Of which standardised approach for counterparty credit risk (SA-CCR)	-	-	-
6	Of which internal model method (IMM)	-	-	-
7	Equity position in banking book under basic risk weighting or internal rating-based	-	-	-
8	Equity investments in funds – look-through approach	-	-	-
9	Equity investments in funds – mandate-based approach	-	-	-
10	Equity investments in funds – 1250% risk weighting approach	-	-	-
11	Settlement risk	-	-	-
12	Securitisation exposures in banking book	-	-	-
13	Of which IRB ratings-based approach (RBA)	-	-	-
14	Of which IRB supervisory formula approach (SFA)	-	-	-
15	Of which SA/simplified supervisory formula approach (SSFA)	-	-	-
16	Market risk	-	-	-
17	Of which standardised approach (SA)	128.480	128.654	10.278
18	Of which internal model approaches (IMM)	128.480	128.654	10.278
19	Operational risk	-	-	-
20	Of which basic indicator approach	159.999	192.324	12.800
21	Of which standardised approach	159.999	192.324	12.800
22	Of which advanced measurement approach	-	-	-
23	Amounts below the thresholds for deduction from capital (subject to 250% risk weight)	-	-	-
24	Floor adjustment	-	-	-
25	Total (1+4+7+8+9+10+11+12+16+19+23+24)	836.307	750.900	66.904



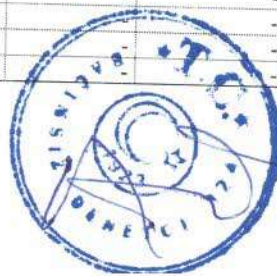
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(Continued)**

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

2. Differences and matching between asset and liabilities' carrying values in financial statements and risk amounts in capital adequacy calculation

	Carrying values in financial statements prepared as per TAS	Carrying values of items in accordance with Turkish Accounting Standards			
		Subject to credit risk	Counterparty subject to credit risk	Subject to market risk	Not subject to capital liability or deducted from capital
31 December 2022					
Assets					
Cash and Cash Equivalents	1.383.733	1.383.733	-	-	-
Financial Assets at Fair Value Through Profit or Loss	930	-	-	-	930
Financial Assets at Fair Value through Other Comprehensive Income	7.657	-	-	-	7.657
Financial Assets measured at Amortised Cost	-	-	-	-	-
Derivative Financial Assets	-	-	-	-	-
Non-Performing Financial Assets	-	-	-	-	-
Expected Loss Provision	-	-	-	-	-
Loans (Net)	233.724	233.724	-	-	-
Loans	282.081	10	-	-	282.071
Lease Receivables	-	-	-	-	-
Factoring Receivables	-	-	-	-	-
Non-Performing Loans	7.343	-	-	-	-
Specific Provisions (-)	5.076	-	-	-	7.343
Non-current Assets or Disposal Groups "Held for Sale" and "Held from Discontinued Operations" (net)	-	-	-	-	5.076
Equity Investments	-	-	-	-	-
Tangible Assets (net)	10.211	10.211	-	-	-
Intangible Assets (net)	116	-	-	-	116
Investment Property (net)	-	-	-	-	-
Current Tax Asset	-	-	-	-	-
Deferred Tax Asset	2.593	-	-	-	-
Other Assets	4.559	4.559	-	-	2.593
Total Assets	1.694.147	1.398.513	-	-	305.786
Liabilities					
Deposits	1.014.046	-	-	-	1.014.046
Derivative Financial Liabilities Held for Trading	-	-	-	-	-
Interbank Money Markets	-	-	-	-	-
Securities Issued	-	-	-	-	-
Funds	-	-	-	-	-
Financial Liabilities at Fair Value through Profit or Loss	-	-	-	-	-
Derivative financial liabilities	-	-	-	-	-
Factoring liabilities	-	-	-	-	-
Lease liabilities	-	-	-	-	-
Provisions	29.514	-	-	-	-
Current tax liability	6.401	-	-	-	29.514
Deferred tax liability	-	-	-	-	6.401
Liabilities for Assets Held for Sale and Assets of Discontinued Operations	-	-	-	-	-
Subordinated Debt	-	-	-	-	-
Other Liabilities	7.956	-	-	-	-
Shareholders' Equity	636.230	-	-	-	7.956
Total Liabilities	1.694.147	-	-	-	636.230



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X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

2. Differences and matching between asset and liabilities' carrying values in financial statements and risk amounts in capital adequacy calculation (continued)

	Carrying values in financial statements prepared as per TAS	Carrying values of items in accordance with Turkish Accounting Standards			
		Subject to credit risk	Counterparty subject to credit risk	Subject to market risk	Not subject to capital liability or deducted from capital
31 December 2021					
Assets					
Cash and Cash Equivalents	1.331.059	1.331.059	-	-	-
Financial Assets at Fair Value Through Profit or Loss	316	316	-	-	-
Financial Assets at Fair Value through Other Comprehensive Income	-	-	-	-	-
Financial Assets measured at Amortised Cost	-	-	-	-	-
Derivative Financial Assets	-	-	-	-	-
Non-Performing Financial Assets	-	-	-	-	-
Expected Loss Provision	-	-	-	-	-
Loans (Net)	233.724	233.724	-	-	-
Loans	231.285	231.285	-	-	-
Lease Receivables	-	-	-	-	-
Factoring Receivables	-	-	-	-	-
Non-Performing Loans	7.651	7.651	-	-	-
Specific Provisions (-)	5.212	5.212	-	-	-
Non-current Assets or Disposal Groups "Held for Sale" and "Held from Discontinued Operations" (net)	-	-	-	-	-
Equity Investments	-	-	-	-	-
Tangible Assets (net)	10.443	10.443	-	-	-
Intangible Assets (net)	236	-	-	-	236
Investment Property (net)	-	-	-	-	-
Current Tax Asset	-	-	-	-	-
Deferred Tax Asset	1.504	-	-	-	-
Other Assets	3.461	3.461	-	-	1.504
Total Assets	1.580.743	1.579.003	-	-	-
Liabilities					1.740
Deposits	964.924	-	-	-	964.924
Derivative Financial Liabilities Held for Trading	-	-	-	-	-
Interbank Money Markets	-	-	-	-	-
Securities Issued	-	-	-	-	-
Funds	-	-	-	-	-
Financial Liabilities at Fair Value through Profit or Loss	-	-	-	-	-
Derivative financial liabilities	-	-	-	-	-
Factoring liabilities	-	-	-	-	-
Lease liabilities	-	-	-	-	-
Provisions	19.957	-	-	-	-
Current tax liability	16.237	-	-	-	19.957
Deferred tax liability	-	-	-	-	16.237
Liabilities for Assets Held for Sale and Assets of Discontinued Operations	-	-	-	-	-
Subordinated Debt	-	-	-	-	-
Other Liabilities	6.104	-	-	-	-
Shareholders' Equity	573.521	-	-	-	6.104
Total Liabilities	1.580.743	-	-	-	573.521
					1.580.743



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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH
(Continued)**

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

3. Main sources of differences between regulatory exposure amounts and carrying values in financial statements

	Total	Items subject to credit risk framework	Items subject to securitisation framework	Items subject to counterpart y credit risk framework	Items subject to market risk framework
31 December 2022					
1- Carrying Value of Assets in Accordance with TAS (as per template 1B)	1.694.146	1.398.513	-	-	-
2- Carrying Value of Liabilities in Accordance with TAS (as per template 1B)	-	-	-	-	-
3- Total net amount	1.694.146	1.398.513	-	-	-
4- Off-balance sheet amounts	17.834	7.909	-	-	-
5- Differences in valuations	-	-	-	-	-
6- Differences due to different netting rules (other than those already included in row 2)	-	-	-	-	-
7- Differences due to consideration of provisions	-	-	-	-	-
8- Differences due to prudential filters	-	-	-	-	-
9- Risk Amount	1.711.980	1.406.422	-	-	-

	Total	Items subject to credit risk framework	Items subject to securitisation framework	Items subject to counterpart y credit risk framework	Items subject to market risk framework
31 December 2021					
1- Carrying Value of Assets in Accordance with TAS (as per template 1B)	1.580.175	1.579.003	-	-	-
2- Carrying Value of Liabilities in Accordance with TAS (as per template 1B)	-	-	-	-	-
3- Total net amount	1.580.175	1.579.003	-	-	-
4- Off-balance sheet amounts	6.856	2.336	-	-	-
5- Differences in valuations	-	-	-	-	-
6- Differences due to different netting rules (other than those already included in row 2)	-	-	-	-	-
7- Differences due to consideration of provisions	-	-	-	-	-
8- Differences due to prudential filters	-	-	-	-	-
9- Risk Amount	1.587.031	1.581.339	-	-	-



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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH
(Continued)**

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

b. General qualitative information on credit risk:

1. How the business model translates into the components of the Branch's credit risk profile:

The business model of the Branch basically consists of two main business fields: collecting funds by means of demand current accounts, scattered customer time deposit accounts, especially with Bank Mellat Iran and other foreign Iranian banks repo accounts subject to the interest-free banking rules, and using those funds and equity funds to make funds available to customers. Because of these main business fields, the branch's assets have a low credit-weighted structure. Reflecting this business model, its total assets consist mainly of government bonds and domestic marketable bond securities, while the loans provided to customers remain in small proportions. The branch aims to increase the loan amount, taking into account the risk-return balance, and thus to achieve a sustainable growth.

The risk profile of the Branch indicates the types of risks to which it is exposed or expects to be exposed, and its risk level by type of risk. The largest type of risk to which the Branch is exposed or expects to be exposed within its current and target business model is not the SME or commercial customer credit risk. Although the credits remain in the active ratios, the sectoral concentration and maturity structure are followed in the scope of the risk of concentration. Conversion rates and limitations are followed for exposure risk. Intrinsic limits have been set for borrowers and credit risk groups in terms of credit risk intensities, taking into account the coherent size orders. Country limits have been established in order to prevent concentration in the countries determined within the scope of the country risk. Although it is a branch status and ownership structure is naturally higher country risk is Iran, it is considered to include a reasonably low risk. In legal reporting, risks in Iran and other countries are monitored in accordance with BRSA regulations.

2. Criteria and approach used for defining credit risk policy and for setting credit risk limits:

The main purpose of the credit risk policy is to measure the counterparty risk undertaken as part of a credit transaction, to monitor the risk against the legal limits and the Branch's internal limits, to research new techniques and applications for measuring and controlling the risk, to monitor overdue receivables, to analyze the reason of overdue, and to take measures to prevent such reasons from repeating. The term 'credit risk' refers to the potential loss the branch might be exposed to because of credit borrowers' partial or full default of the credit agreements they signed with the branch. This term also includes the loss of market value because of the breakdown of the counterparty's financial position. This term includes on-balance sheet and off-balance sheet transactions too.

Risk limits; as part of the risk appetite structure, are determined by considering the size of the branch in the capital structure and the financial system. In this context the appetite for risk approved by the Board of Managers are divided between and allocated to other levels considered necessary by type of risk. The uses of the limits are closely monitored, and overdrafts are reported to the executive management for ensuring the necessary measures to be taken.



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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH
(Continued)**

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

b. General qualitative information on credit risk (Continued):

3. Structure and organization of the credit risk management and control function:

Risk Management, by Internal Control - Compliance and Internal Audit Units, works under the Audit Committee is affiliated to the Board of Managers. Risk Management Unit to which it is affiliated are responsible for implementing the strategies and policies approved by the Branch Management Board and for carrying out other duties assigned by the Internal Systems Supervisor performing the Audit Committee mission.

4. Relations between the credit risk management, risk control, compliance and internal audit functions:

The units within the scope of the internal systems were established in accordance with the Board of Managers within the branch organization structure. The board of managers has delegated its duties and responsibilities within internal systems to the Audit Committee, which is designated as Internal Systems Responsible. These units carry out their activities under the supervision of the Internal Systems Supervisor.

The internal control function of the Branch is performed by the Internal Control Department. Internal Control System has been founded in such a manner to be capable and efficient to mitigate, manage, monitor and control the exposure risks of the Branch in accordance with the Branch's organizational structure and business fields as well as changing circumstances, and covers all domestic and international branches, head office, consolidated subsidiaries and all business activities of the Branch. The internal control system and internal control activities of the Branch are designed by the Internal Control Department in cooperation with the relevant management executives and are performed at a sufficient and efficient extent.

Compliance checks are carried out within the Internal Control Unit in accordance with the legislation in accordance with the structure of the Branch efforts are being made to ensure that the risk of compliance in the branch is effectively managed and controlled, that such risks are identified and prevented before they occur, and that the activities of the Branch are carried out in accordance with the relevant legislation and regulations in a continuous manner.

Risk Management Department performs the tasks of determining, measuring and managing the exposure risks of the branch. An efficient risk management system infrastructure has been established for credit risk management tasks, credit policy, and risk management activities falling within the credit risk policy. The internal credit risk limits set by the Board of Managers are measured and reported at regular intervals to the Audit Committee.

Internal audit department is in charge of assuring the Board of Managers and the executive management that the Branch's business activities are performed in accordance with the Banking Law, other applicable laws and regulations and the internal strategies, policies, principles and targets of the branch, and that the internal control and risk management systems are efficient and sufficient.



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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH
(Continued)**

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

b. General qualitative information on credit risk (Continued)

5. Scope and main content of the reporting on credit risk exposure and on the credit risk management function to the executive management and to the Board of Managers

Risks exposed to the Branch are reported on the basis of risk types in daily / monthly and periodic regular reports provided to the Board of Managers and senior management. Credit risk reporting includes the following main content.

The asset quality is analyzed and compared to the previous period in the framework of the Regulation on the Procedures and Principles for the Determination of the Qualifications of Loans and Other Receivables by Banks and the Provisions to be subscribed and thus the sustainability of the asset quality is monitored. Credit risk limits and realizations in the related period. Loan disbursements are monitored on the basis of cash, non-cash and total loans. Risk limits and realizations are defined for the risk appetite of the Branch.

Distribution of cash loans according to cash flows is monitored. Administrative and legal follow-up customers are monitored as well. In addition, the limits and limits of the Branch Risk Group are being reported.

Country ratings, limits and limit achievements are being followed and compared with the previous period.

In order to observe whether there is an increase or decrease in the value of the real estate collateral acquired during the fund disbursement process, the analysis of the real estate price index is examined and the appraisal values are updated routinely and at necessary intervals.

Credit quality of assets

	31 December 2022	The gross amount evaluated in accordance with TAS in the financial statements prepared according to legal consolidation		Allowances/ amortisation and impairments	Net values
		Defaulted	Non-defaulted		
1	Loans	7.343	282.081	5.076	284.348
2	Debt securities	-	8.894	307	8.587
3	Off-balance sheet exposures (*)	1.992	18.277	797	19.472
4	Total	9.335	309.252	6.180	312.407

(*) Non-indemnified cash non-cash loans are included.

	31 December 2021	The gross amount evaluated in accordance with TAS in the financial statements prepared according to legal consolidation		Allowances/ amortisation and impairments	Net values
		Defaulted	Non-defaulted		
1	Loans	7.651	231.283	5.212	233.722
2	Debt securities	-	1.237	921	316
3	Off-balance sheet exposures (*)	1.420	6.572	568	7.424
4	Total	9.071	239.092	6.701	241.462

(*) Non-indemnified cash non-cash loans are included.



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(Continued)**

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

Changes in stock of defaulted loans and debt securities

		Current Period (*)
1	Defaulted loans and debt securities at end of the previous reporting period	
2	Loans and debt securities that have defaulted since the last reporting period	9.071
3	Receivables back to non-defaulted status	-
4	Amounts written off	-
5	Other changes	-
6	Defaulted loans and debt securities at end of the reporting period (1+2-3-4±5)	(264) 9.335

(*) Non-indemnified cash non-cash loans are included.

		Prior Period (*)
1	Defaulted loans and debt securities at end of the previous reporting period	
2	Loans and debt securities that have defaulted since the last reporting period	8.872
3	Receivables back to non-defaulted status	-
4	Amounts written off	-
5	Other changes	-
6	Defaulted loans and debt securities at end of the reporting period (1+2-3-4±5)	(199) 9.071

(*) Non-indemnified cash non-cash loans are included.

6. Qualitative disclosures related to the credit quality of assets

a) Scope and definitions of "overdue" and "provision allocated" receivables for accounting purposes and the differences of definitions between "overdue" and "provision allocated", if any.

Overdue receivables and provision allocated receivables are determined according to the Communiqué on Principles and Procedures for the Determination of the Quality of Loans and Other Receivables and Reserves.

b) The part of the overdue receivables (past 90 days) for which provision is not allocated and reasons for this application

Provisions are made on time and at the required rates within the scope of the legislation. Within the branch capital structure, the amount of credits required to allocate both loans and special provisions in general is very low.

c) Definitions of the methods used when determining the provision amount

The minimum legal reserve requirement ratios stated in the same 7th and 8th articles of the Regulation on loans or other receivables classified in the third, fourth, fifth group defined in Article 4 of the Regulation on the Procedures and Principles for the Determination of the Qualifications of Loans and Other Receivables and the Provisions to be Forbidden by Banks, Including the minimum legal guarantees defined in Articles 9 and 10.



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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH
(Continued)**

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

1. Standard Approach - CCR exposures by risk class and risk weights (Continued)

d) Definitions of restructured receivables

According to the Principles and Procedures for the Determination of the Quality of Loans and Other Receivables and Reserves, restructuring for the performing and non-performing loans means new contractual conditions only for the loan obligators encountered or likely to be encountered in repayment as a result of financial difficulties, excluding loan obligators with no repayment difficulties.

e) Breakdown of exposures by geographical areas, industry and aging

	Current Period (*)			Prior Period (*)		
	Non-performing Loans	Special Provision	Write-Offs	Non-performing Loans	Special Provision	Write-Offs
Domestic	9.335	5.076	-	9.071	5.212	-
European Union (EU) Countries	-	-	-	-	-	-
OECD Countries	-	-	-	-	-	-
Off-Shore Banking Countries	-	-	-	-	-	-
USA, Canada	-	-	-	-	-	-
Other Countries	-	-	-	-	-	-
Total	9.335	5.076	-	9.071	5.212	-

(*) Non-cash loan amounts that have not been compensated for are included in the non-performing loan amount

f) Credit risk mitigation techniques

In accordance with Article 33 of the Communiqué on Credit Risk Reduction Techniques, the Branch reduces the credit risk according to the simple financial guarantee method in which the risk reduction effects are calculated based on the fair value determined in accordance with Article 19 of the Communiqué on financial guarantees. In the credit risk reduction calculations, no tools other than cash or similar assets are considered. Financial collateral can not be used for credit reduction if the remaining maturity of the collateral is less than the remaining maturity (maturity mismatch) and / or currency incompatibility of receivables.

	Exposures unsecured: carrying amount as per TAS	Exposures secured by collateral	Collateralized amount of exposures secured by collateral	Exposures secured by financial guarantees	Collateralized amount of exposures secured by financial guarantees	Exposures secured by credit derivatives	Collateralized amount of exposures secured by credit derivatives
31 December 2022							
1 Loans	284.178	170	170	-	-	-	-
2 Debt securities	8.587	-	-	-	-	-	-
3 Total	292.765	170	170	-	-	-	-
4 Overdue	7.343	-	-	-	-	-	-

	Exposures unsecured: carrying amount as per TAS	Exposures secured by collateral	Collateralized amount of exposures secured by collateral	Exposures secured by financial guarantees	Collateralized amount of exposures secured by financial guarantees	Exposures secured by credit derivatives	Collateralized amount of exposures secured by credit derivatives
31 December 2021							
1 Loans	233.552	170	170	-	-	-	-
2 Debt securities	316	-	-	-	-	-	-
3 Total	233.868	170	170	-	-	-	-
4 Overdue	7.651	-	-	-	-	-	-



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(Continued)**

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

c. Information on counterparty credit risk (CCR):

2. Counterparty credit risk (CCR) approach analysis:

None.

3. Capital requirement for credit valuation adjustment (CVA):

None.

4. Standard Approach - CCR exposures by risk class and risk weights

- The ratings of CRA and IKK institutions are not used in the calculation of credit risk.
- Ratings of KDK and IKK organizations are not used.
- The same weight is applied to all assets of the debtor, except for maturity differences.
- Rating grades are not used.

31 December 2022		Credit conversion rate and credit risk amount receivable before reduction		Credit conversion rate and credit amount after credit risk mitigation		Risk weighted amount and risk weighted amount concentration	
	Risk Classes	Balance sheet amount	Off balance sheet amount	Balance sheet amount	Off balance sheet amount	risk weighted amount	Risk-weighted amount density
1	Receivables from central governments and Central Banks	251.352	-	251.352	-	2.594	%1,03
2	Receivables from regional and local government	-	-	-	-	-	-
3	Receivables from administrative bodies and non-commercial entities	-	-	-	-	-	-
4	Receivables from multilateral development banks	-	-	-	-	-	-
5	Receivables from international organizations	-	-	-	-	-	-
6	Receivables from banks and brokerage houses	775.804	-	775.804	-	238.391	%30,73
7	Receivables from corporate	105.116	12.356	111.145	6.178	117.248	%99,94
8	Retail receivables	176.965	5.124	170.937	2.562	170.316	%98,17
9	Receivables secured by residential property	-	-	-	-	-	-
10	Receivables secured by commercial property	-	-	-	-	-	-
11	Non-performing receivables	2.267	1.195	2.267	1.195	3.462	%100,00
12	Receivables in high-risk categories	-	-	-	-	-	-
13	Mortgage-backed securities	-	-	-	-	-	-
14	Short term receivables to banks, brokerage houses and corporates	-	-	-	-	-	-
15	Investments similar to collective investment funds	-	-	-	-	-	-
16	Equity share investments	400.179	-	400.179	-	14.887	%3,72
17	Other receivables	930	-	930	-	930	%100,00
18	Total	1.712.613	18.675	1.712.613	9.935	547.828	%31,80



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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH
(Continued)**

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

1. Counterparty credit risk (CCR) approach analysis (Continued)

3. Standard Approach - CCR exposures by risk class and risk weights (Continued)

31 December 2021		Credit conversion rate and credit risk amount receivable before reduction		Credit conversion rate and credit amount after credit risk mitigation		Risk weighted amount and risk weighted amount concentration	
	Risk Classes	Balance sheet amount	Off balance sheet amount	Balance sheet amount	Off balance sheet amount	risk weighted amount	Risk-weighted amount density
1	Receivables from central governments and Central Banks	233.389	-	233.389	-	1.504	%0,64
2	Receivables from regional and local government	-	-	-	-	-	-
3	Receivables from administrative bodies and non-commercial entities	-	-	-	-	-	-
4	Receivables from multilateral development banks	-	-	-	-	-	-
5	Receivables from international organizations	-	-	-	-	-	-
6	Receivables from banks and brokerage houses	579.668	-	579.668	-	176.508	%30,45
7	Receivables from corporate	130.407	6.004	133.296	3.002	136.242	%99,96
8	Retail receivables	100.878	-	97.989	-	97.918	%99,93
9	Receivables secured by residential property	-	-	-	-	-	-
10	Receivables secured by commercial property	-	-	-	-	-	-
11	Non-performing receivables	2.439	852	2.439	852	3.291	%100,00
12	Receivables in high-risk categories	-	-	-	-	-	-
13	Mortgage-backed securities	-	-	-	-	-	-
14	Short term receivables to banks, brokerage houses and corporates	-	-	-	-	-	-
15	Investments similar to collective investment funds	-	-	-	-	-	-
16	Equity share investments	548.355	-	548.355	-	14.143	%2,58
17	Other receivables	316	-	316	-	316	%100,00
18	Total	1.595.452	6.856	1.595.452	3.854	429.922	%26,88

5. Standard Approach - Counterparty credit risk by risk classes and risk weights

31 December 2022

Risk Classes / Risk Weights		%0	%10	%20	%50	%75	%100	%150	%200	Others	Total credit risk
1	Receivables from central governments and Central Banks	248.758	-	-	-	-	2.594	-	-	-	251.352
2	Receivables from regional and local government	-	-	-	-	-	-	-	-	-	-
3	Receivables from administrative bodies and non-commercial entities	-	-	-	-	-	-	-	-	-	-
4	Receivables from multilateral development banks	-	-	-	-	-	-	-	-	-	-
5	Receivables from international organizations	-	-	-	-	-	-	-	-	-	-
6	Receivables from banks and brokerage houses	-	-	671.766	-	-	104.038	-	-	-	775.804
7	Receivables from corporate	-	-	-	150	-	117.173	-	-	-	117.323
8	Retail receivables	-	-	-	8.590	-	162.685	2.224	-	-	173.499
9	Receivables secured by residential property	-	-	-	-	-	-	-	-	-	-
10	Receivables secured by commercial property	-	-	-	-	-	-	-	-	-	-
11	Non-performing receivables	-	-	-	-	-	-	-	-	-	-
12	Receivables in high-risk categories	-	-	-	-	-	3.462	-	-	-	3.462
13	Mortgage-backed securities	-	-	-	-	-	-	-	-	-	-
14	Short term receivables to banks, brokerage houses and corporates	-	-	-	-	-	-	-	-	-	-
15	Investments similar to collective investment funds	-	-	-	-	-	-	-	-	-	-
16	Equity share investments	-	-	-	-	-	-	-	-	-	-
17	Other receivables	385.292	-	-	-	-	930	-	-	-	930
18	Total	634.050	-	671.766	8.740	-	405.768	2.224	-	-	1.722.548



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(Continued)**

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

c. Counterparty Credit Risk ("CCR") Disclosures (Continued)

4. Standard Approach - Counterparty credit risk by risk classes and risk weights (Continued)

31 December 2021

Risk Classes / Risk Weights	%0	%10	%20	%50	%75	%100	%150	%200	Others	Total credit risk
1 Receivables from central governments and Central Banks	231.885	-	-	-	-	1.504	-	-	-	233.389
2 Receivables from regional and local government	-	-	-	-	-	-	-	-	-	-
3 Receivables from administrative bodies and non-commercial entities	-	-	-	-	-	-	-	-	-	-
4 Receivables from multilateral development banks	-	-	-	-	-	-	-	-	-	-
5 Receivables from international organizations	-	-	-	-	-	-	-	-	-	-
6 Receivables from banks and brokerage houses	-	-	503.950	-	-	75.718	-	-	-	579.668
7 Receivables from corporate	-	-	-	113	-	136.185	-	-	-	136.298
8 Retail receivables	-	-	-	2.889	-	92.353	2.747	-	-	97.989
9 Receivables secured by residential property	-	-	-	-	-	-	-	-	-	-
10 Receivables secured by commercial property	-	-	-	-	-	-	-	-	-	-
11 Non-performing receivables	-	-	-	-	-	-	-	-	-	-
12 Receivables in high-risk categories	-	-	-	-	-	3.291	-	-	-	3.291
13 Mortgage-backed securities	-	-	-	-	-	-	-	-	-	-
14 Short term receivables to banks, brokerage houses and corporates	-	-	-	-	-	-	-	-	-	-
15 Investments similar to collective investment funds	-	-	-	-	-	-	-	-	-	-
16 Equity share investments	-	-	-	-	-	316	-	-	-	316
17 Other receivables	534.212	-	-	-	-	14.143	-	-	-	548.355
18 Total	766.097	-	503.950	3.002	-	323.510	2.747	-	-	1.599.306

5. Qualitative explanations on market risk

The Branch defines market risk as market prices and changes in market parameters such as interest, exchange rate and stocks as the value of assets in the resulting trading accounts. The definitions of risk factors constituting market risk and their specific issues are given below.

General Market Risk

It is the probability of loss that the branch may be exposed to due to interest rate risk and stock position risk in the value of positions related to financial instruments included in trading accounts

Interest Rate Risk

It is the probability of loss that the branch may be exposed to due to the movements in the interest rate depending on the position of the financial instruments.

The Branch does not actively purchase and sell financial instruments, therefore, although it does not have trading accounts, it may be particularly affected by fluctuations in Turkish Lira interest rates due to its securities portfolio available for sale. This risk is handled within the Interest Rate risk arising from banking accounts. In addition, the bank's fixed term resource structure, the weighted maturity (duration) and cost of this structure are taken into account in purchasing securities available for sale.

Stock Position Risk

It is the probability of loss that the Branch may be exposed to due to movements in stock prices depending on the stock position position in the trading accounts. The branch has a stock position below 1% of the equity and the valuation difference has been reflected in the records.



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(Continued)**

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

c. Information on counterparty credit risk (CCR) (Continued) :

4. Qualitative explanations on market risk (Continued)

Currency Risk

It is the possibility of loss that the branch may be exposed to as a result of changes in foreign exchange rates due to all foreign currency assets and liabilities.

While determining the rules and limitations regarding the direction, amount and composition of the foreign currency position of the branch is in principle under the authority of the Board of Managers, it has been transferred to the Risk Committee by the Board of Managers.

Economic developments in Turkey and the world Risk Committee limits and restrictions on the foreign exchange position is evaluated at intervals deemed appropriate to make changes it deems appropriate.

Branch management prefers to hold a long position and maintain this position with equal weight in USD and EUR currencies, so the bank carries currency risk within the legal limits.

Specific Risk

It is the probability of loss that may occur due to the problems that may arise from the management and financial structures of the organizations that issue or guarantee the financial instruments that make up these positions, except for the ordinary market movements, in the positions related to the financial instruments included in the trading accounts of the Branch. Although the Bank mainly carries a position of treasury bills or government bonds with a zero risk weight, it also rarely purchases financial instruments subject to specific risk, and these instruments are considered within the credit risk.

Commodity Risk

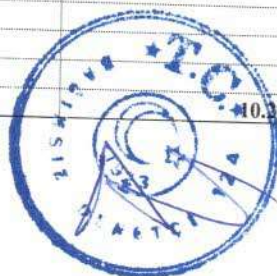
It is the probability of loss that the branch may be exposed to due to movements in commodity prices, depending on the position of the commodity and commodity-based derivative financial instruments. The Branch does not hold a commodity and commodity-based derivative financial instrument position. It is not exposed to this type of risk.

Swap Risk

It is the probability of loss that the bank will be exposed to due to the price changes of the securities, foreign exchange or commodity subject to the transaction due to the non-settlement of the settlement transaction in transactions that involve the delivery of a security, foreign currency or commodity at the price stipulated in the contract in a certain term and require the fulfillment of the obligations of both parties on the maturity. The Branch does not buy or sell securities, foreign exchange or commodities depending on a maturity. It is not exposed to this type of risk.

Market risk under standardised approach

		31 December 2022	31 December 2021
	Direct (Pre-paid) Products		
1	Profit share risk (general and specific)	10.278	10.292
2	Equity risk (general and specific)	-	-
3	Foreign exchange risk	74	25
4	Commodity risk	10.204	10.267
	Options	-	-
5	Simplified approach	-	-
6	Delta-plus method	-	-
7	Scenario approach	-	-
8	Securitisation	-	-
9	Total	10.278	10.292



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(Continued)**

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

c. Counterparty Credit Risk ("CCR") Disclosures (Continued)

6. Explanation on Operational Risk

The operational risk base amount is calculated according to the basic indicator method in accordance with Article 14 of the Regulation on Measurement and Evaluation of Capital Adequacy of Banks.

Annual gross income is calculated as the sum of the net amounts of interest incomes and non-interest income after deducting the profit / loss arising from the sale of marketable securities that are available for sale and securities held to maturity and the amounts compensated from extraordinary income and insurance.

Current Period

Basic Indicator Method	31.12.2019	31.12.2020	31.12.2021	Total/ No. of Years of Positive Gross	Rate (%)	Total
Gross Income	56.268	137.431	122.107	105.269	15	15.790
Value at Operational Risk (Total*12.5)						197.379

Prior Period

Basic Indicator Method	31.12.2018	31.12.2019	31.12.2020	Total/ No. of Years of Positive Gross	Rate (%)	Total
Gross Income	62.300	56.268	137.431	85.333	15	12.800
Value at Operational Risk (Total*12.5)						159.999

d. Explanations on profit share rate risk in banking accounts

- Economic value differences arising from fluctuations in profit share rates in accordance with the regulation on the measurement and evaluation of profit share rate risk arising from banking accounts using the standard shock method

Current Period

Currency	Applied Shock (+/- basis points)	Gains/Losses	Gains/Shareholder's equity- Losses/shareholder's equity
1. TRY	(+) 500	(5.678)	% (0,89)
	(-) 400	4.942	% 0,77
2. USD	(+) 200	(2.159)	% (0,34)
	(-) 200	2.780	% 0,43
3. EUR	(+) 200	-	% 0,00
	(-) 200	-	% 0,00
Total (For negative shocks)		7.722	% 1,20
Total (For positive shocks)		(7.838)	% 1,23

Prior Period

Currency	Applied Shock (+/- basis points)	Gains/Losses	Gains/Shareholder's equity- Losses/shareholder's equity
1. TRY	(+) 500	(3.139)	% (0,54)
	(-) 400	2.672	% 0,46
2. USD	(+) 200	(3.592)	% (0,62)
	(-) 200	(1.224)	% (0,21)
3. EUR	(+) 200	(27)	% (0,00)
	(-) 200	7	% 0,00
Total (For negative shocks)		7.455	% 0,25
Total (For positive shocks)		(6.758)	% (1,17)



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**INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE
BRANCH (Continued)**

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

e. Hierarchy of valuation techniques which establishes basis for fair value calculation of financial assets and liabilities

Level 1: Quoted prices in active markets for identical assets and liabilities

Level 2: Inputs other than quoted prices included within Level 1 that are observable market information for the assets or liability, either directly or indirectly.

Level 3: Inputs for the asset or liability that is not based on observable market information.

According to the classification principles, the fair value classification of the financial assets and liabilities for which the Branch is carrying at fair value is as follows;

31 December 2022	Level 1	Level 2	Level 3	Total
Financial Assets at Fair Value Through Profit or Loss	930	-	-	930
Government Debt Securities	-	-	-	-
Share Certificates	930	-	-	930
Other Financial Assets	-	-	-	-
Financial Assets at Fair Value Through Other Comprehensive Income	7.657	-	-	7.657
Government Debt Securities	7.657	-	-	7.657
Share Certificates	-	-	-	-
Other Financial Assets	-	-	-	-
Total Assets	8.587	-	-	8.587
Derivative financial liabilities held for trading	-	-	-	-
Funds Borrowed	-	-	-	-
Derivative financial liabilities for hedging purposes	-	-	-	-
Total Liabilities	-	-	-	-
31 December 2021	Level 1	Level 2	Level 3	Total
Financial Assets at Fair Value Through Profit or Loss	316	-	-	316
Government Debt Securities	-	-	-	-
Share Certificates	316	-	-	316
Other Financial Assets	-	-	-	-
Financial Assets at Fair Value Through Other Comprehensive Income	-	-	-	-
Government Debt Securities	-	-	-	-
Share Certificates	-	-	-	-
Other Financial Assets	-	-	-	-
Total Assets	316	-	-	316
Derivative financial liabilities held for trading	-	-	-	-
Funds Borrowed	-	-	-	-
Derivative financial liabilities for hedging purposes	-	-	-	-
Total Liabilities	-	-	-	-



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SECTION FIVE

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS

I. EXPLANATIONS AND NOTES RELATED TO ASSETS

a. Information related to cash and the account of the Central Bank of the Republic of Turkey (the "CBRT")

1. Information related to cash and the account of CBRT

	31 December 2022		31 December 2021	
	TRY	FC	TRY	FC
Cash	21.539	363.753	19.412	514.801
The CBRT	222.637	-	217.178	-
Other	-	-	-	-
Total	244.176	363.753	236.590	514.801

2. Information related to the account of the CBRT

	31 December 2022		31 December 2021	
	TRY	FC	TRY	FC
Demand Unrestricted Account	2.944	-	-	-
Time Unrestricted Account	-	-	-	-
Reserve Requirement ⁽¹⁾	219.693	-	217.178	-
Total	222.637	-	217.178	-

⁽¹⁾ According to the CBRT correspondence dated 7 August 2018, the reserve requirement for foreign currency liabilities are established in TL with the reserve requirement for TL liabilities classified under "Reserve Requirement".

3. Information on reserve requirements

As of December 31, 2022, Turkish currency reserve requirement ratios for deposits and other liabilities in Turkish Lira are in the range of 3% to 8% (31 December 2021: 3% to 8%) according to the maturity structure, and foreign currency reserve requirement ratios are determined in the range of 5% to 30% (31 December 2021: 5% to 25%) according to the maturity structure for deposits and other obligations. Pursuant to the letter dated August 7, 2018 of the Central Bank of the Republic of Turkey, the mandatory reserves required to be established for foreign currency obligations as of the mandatory reserve period that started to be established on August 10, 2018 started to be established in Turkish Lira. Within the scope of this facility, the mandatory reserve amount to be established for FX obligations is calculated as a margin of 10% with the exchange rates announced in the Official Gazette on the date of calculation of the obligations against TL.

d. Information on financial assets at fair value through profit or loss

	31 December 2022	31 December 2021
Government Debt Securities	-	-
Securities Representing Share in Capital	930	316
Other Financial Assets	-	-
Total	930	316

Pledged / Blocked financial assets at fair value through profit or loss

As of December 31st, 2022: None. (31 December 2021: None.)

Financial assets at fair value through profit or loss subject to repurchase agreements

None. (31 December 2021: None.)

Information about derivative instruments held for trading:

As of December 31st, 2022: None. (31 December 2021: None.)



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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued)

c. Information on Banks

1. Information on banks and other financial institutions

	31 December 2022		31 December 2021	
	TRY	FC	TRY	FC
Banks				
Domestic	329.198	95.913	336.454	69.562
Foreign	-	348.800	-	172.228
Head Quarters and Branches Abroad	1	1.892	1	1.422
Total	329.199	446.605	336.455	243.212

2. Information on foreign banks account

	Unrestricted Amount	Restricted Amount	Unrestricted Amount	Restricted Amount
	31 December 2022	31 December 2022	31 December 2021	31 December 2021
EU Countries	347.210	-	171.041	-
USA, Canada	-	-	-	-
OECD Countries ⁽¹⁾	149	-	113	-
Off-Shore Banking Regions	-	-	-	-
Other	3.334	-	2.497	-
Total	350.693	-	173.651	-

(1) EU countries, OECD countries other than the USA and Canada

d. Information on financial assets at fair value through other comprehensive income

- As of 31 December 2022 there are no financial assets whose fair value difference is reflected in other comprehensive income, subject to repo transactions (31 December 2021: None).
- As of 31 December 2022 there are no financial assets whose fair value difference is reflected in other comprehensive income, subject to repo transactions (31 December 2021: None).
- There are no financial assets at fair value through other comprehensive income. (31 December 2021: None).

	31 December 2022	31 December 2021
Direct Loans Granted to Branch's Shareholders		
Corporate Shareholders	7.657	-
Real Person Shareholders	7.657	-
Indirect Loans Granted to Branch's Shareholders		
Loans Granted to Branch's Employees	-	-
Total	-	-
Direct Loans Granted to Branch's Shareholders		
Corporate Shareholders	7.657	-



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(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued)

e. Information on Credits

1. Information on the balance of any loan or advance granted to the partners and members of the Branch:

	31 December 2022		31 December 2021	
	Cash	Non Cash	Cash	Non Cash
Direct Loans to Branch Partners	-	-	-	-
Loans to Legal Entity Partners	-	-	-	-
Loans to Real Person Partners	-	-	-	-
Indirect Loans to Branch Partners	-	-	-	-
Loans Given to Branch Members	-	-	-	-
Total	1.234	-	987	-
	1.234	-	987	-

2. Information on the first and second group loans, other receivables and loans that have been restructured or rescheduled and other receivables

Cash Loans (31 December 2022)	Standard Loans	Loans and Other Receivables Under Close Monitoring Not in the scope of restructuring	Restructured	
			Changes in condition of the agreements	Refinancing
Non-Specialized Loans	164.908	117.173	-	-
Business Loans	-	-	-	-
Export Credits	7.364	-	-	-
Import Credits	-	-	-	-
Loans to the Financial Sector	-	-	-	-
Consumer Loans	2.224	-	-	-
Credit Cards	-	-	-	-
Other(1)	155.320	117.173	-	-
Specialized Loans	-	-	-	-
Total	164.908	117.173	-	-

(1) Discount notes are included that the balance.

Cash Loans (31 December 2021)	Standard Loans	Loans and Other Receivables Under Close Monitoring Not in the scope of restructuring	Restructured	
			Changes in condition of the agreements	Refinancing
Non-Specialized Loans	95.099	136.184	-	-
Business Loans	-	-	-	-
Export Credits	1.599	-	-	-
Import Credits	-	-	-	-
Loans to the Financial Sector	-	-	-	-
Consumer Loans	-	-	-	-
Credit Cards	2.096	-	-	-
Other(1)	-	-	-	-
Specialized Loans	91.404	136.184	-	-
Total	-	-	-	-
Non-Specialized Loans	95.099	136.184	-	-

(1) Discount notes are included that the balance.

3. Loans and other receivables with extended payment plans:

None. (31 December 2021: None).



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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I.

EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued)

4. Information on consumer loans, consumer credit cards, personnel loans and personnel credit cards:

31 December 2022	Short-term	Long and medium term	Total
Consumer Loans - TL	3	987	990
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	3	987	990
Other	-	-	-
Consumer Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Consumer Loans - FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Consumer Credit Cards - TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Consumer Credit Cards - FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Loans - TL	101	1.133	1.234
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	101	1.133	1.234
Other	-	-	-
Personnel Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Personnel Loans-FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Personnel Credit Cards - TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Credit Cards - FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Overdraft-TL (Real Person)	-	-	-
Overdraft-FC (Real Person)	-	-	-
Total	104	2.120	2.224



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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued)

31 December 2021	Short-term	Long and medium term	Total
Consumer Loans - TL	975	134	1.109
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	975	134	1.109
Other	-	-	-
Consumer Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Consumer Loans - FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Consumer Credit Cards – TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Consumer Credit Cards – FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Loans - TL	-	987	987
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	987	987
Other	-	-	-
Personnel Loans – FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Personnel Loans-FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Personnel Credit Cards – TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Credit Cards – FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Overdraft-TL (Real Person)	-	-	-
Overdraft-FC (Real Person)	-	-	-
Total	975	1.121	2.096



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II. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued)

5. Information on commercial installment loans and corporate credit cards

	31 December 2022			31 December 2021		
	Short Term	Long and medium term	Total	Short Term	Long and medium term	Total
Commercial Loans with Installment Facility - TL	19.888	92.717	112.605	-	25.403	25.403
Business Loans	-	-	-	-	-	-
Vehicle Loans	-	-	-	-	-	-
General Purpose Loans	19.888	92.717	112.605	-	25.403	25.403
Other	-	-	-	-	-	-
Commercial Loans with Installment Facility – Indexed to FC	-	-	-	-	-	-
Business Loans	-	-	-	-	-	-
Vehicle Loans	-	-	-	-	-	-
General Purpose Loans	-	-	-	-	-	-
Other	-	-	-	-	-	-
Commercial Loans with Installment Facility – FC	-	-	-	-	-	-
Business Loans	-	-	-	-	-	-
Vehicle Loans	-	-	-	-	-	-
General Purpose Loans	-	-	-	-	-	-
Other	-	-	-	-	-	-
Corporate Credit Cards – TL	-	-	-	-	-	-
Installment	-	-	-	-	-	-
Non – Installment	-	-	-	-	-	-
Corporate Credit Cards – FC	-	-	-	-	-	-
Installment	-	-	-	-	-	-
Non – Installment	-	-	-	-	-	-
Overdraft Accounts – TL (Legal Entities)	-	-	-	-	-	-
Overdraft Accounts – FC (Legal Entities)	-	-	-	-	-	-
Total	19.888	92.717	112.605	-	25.403	25.403

6. Loans according to type of borrowers

	31 December 2022	31 December 2021
Public	-	-
Private	282.081	231.283
Total	282.081	231.283

7. Distribution of domestic and foreign loans: Loans are classified according to the locations of the customers

	31 December 2022	31 December 2021
Domestic Loans	153.953	95.099
Foreign Loans	128.128	136.184
Total	282.081	231.283

8. Loans granted to investments in associates and subsidiaries

None. (31 December 2021: None).



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I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued)

9. Special provisions for loans

	31 December 2022	31 December 2021
Loans and other receivables with limited collectability	-	-
Loans and other receivables with doubtful collectability	-	-
Uncollectible loans and other receivables	(5.076)	(5.212)
Total	(5.076)	(5.212)

10. Information on non-performing loans (Net)

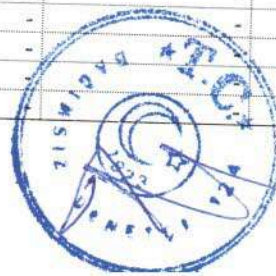
(i) Information on loans and other receivables rescheduled or restructured from non-performing loans

The Branch has no loans and other receivables rescheduled or restructured from non-performing loans

(ii) Information on the movement of total non-performing loans

	III. Group Loans and Other Receivables with Limited Collectability	IV. Group Loans and Other Receivables with Doubtful Collectability	V. Group Uncollectible Loans and Other Receivables
31 December 2021			
Additions (+)	-	-	7.651
Transfers from other categories of non-performing loans (+)	-	-	-
Transfers to other categories of non-performing loans (-)	-	-	-
Collections (-)	-	-	-
Write-offs (-)	-	-	(308)
Sold (-)	-	-	-
Corporate and commercial loans	-	-	-
Consumer loans	-	-	-
Credit cards	-	-	-
Others	-	-	-
31 December 2022			
Specific provisions (-)	-	-	7.343
Net Balance on Balance Sheet	-	-	(5.076)
			2.267

	III. Group Loans and Other Receivables with Limited Collectability	IV. Group Loans and Other Receivables with Doubtful Collectability	V. Group Uncollectible Loans and Other Receivables
31 December 2020			
Additions (+)	-	-	8.082
Transfers from other categories of non-performing loans (+)	-	-	-
Transfers to other categories of non-performing loans (-)	-	-	-
Collections (-)	-	-	-
Write-offs (-)	-	-	(431)
Sold (-)	-	-	-
Corporate and commercial loans	-	-	-
Consumer loans	-	-	-
Credit cards	-	-	-
Others	-	-	-
31 December 2021			
Specific provisions (-)	-	-	7.651
Net Balance on Balance Sheet	-	-	(5.212)
			2.439



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I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued)

(iii) Information on non-performing loans granted as foreign currency loans

The Branch has no foreign currency loans and other receivables in non-performing loans

(iv) Breakdown of non-performing loans according to their gross and net values

	III. Group Loans and Other Receivables with Limited Collectability	IV. Group Loans and Other Receivables with Doubtful Collectability	V. Group Uncollectible Loans and Other Receivables
31 December 2022 (Net)			
Loans to real and legal persons (Gross)	-	-	2.267
Specific provisions (-)	-	-	7.343
Loans to real and legal persons (Net)	-	-	(5.076)
Banks (Gross)	-	-	2.267
Specific provisions (-)	-	-	-
Banks (Net)	-	-	-
Other loans and receivables (Gross)	-	-	-
Specific provisions (-)	-	-	-
Other loans and receivables (Net)	-	-	-
31 December 2021 (Net)			
Loans to real and legal persons (Gross)	-	-	2.439
Specific provisions (-)	-	-	7.651
Loans to real and legal persons (Net)	-	-	(5.212)
Banks (Gross)	-	-	2.439
Specific provisions (-)	-	-	-
Banks (Net)	-	-	-
Other loans and receivables (Gross)	-	-	-
Specific provisions (-)	-	-	-
Other loans and receivables (Net)	-	-	-

11. The policy followed for the collection of uncollectible loans and other receivables

Uncollectible loans and other receivables are aimed to be liquidated through the collection of collaterals and legal procedures. The policy of the Branch regarding the writing-off the non – performing loans is as writing-off the ones that are proved as uncollectible.

f. Information on financial assets measured at amortised costs

As of 31 December 2022 and 31 December 2021, the Branch has no financial assets measured at amortised cost.

g. Information on investment in associates (Net)

As of 31 December 2022 and 31 December 2021, the Branch has no investments in associates.

h. Information on subsidiaries (Net)

As of 31 December 2022 and 31 December 2021, the Branch has no subsidiaries.

i. Information on joint ventures

As of 31 December 2022 and 31 December 2021, the Branch has no joint ventures.



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I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued)

j. Information on finance lease receivables (Net)

None. (31 December 2021: None.)

k. Explanations on hedging derivative instruments

None. (31 December 2021: None.)

l. Explanations on tangible assets

	Real Estate	Vehicles	Other Tangible Fixed Assets	Total
31 December 2022				
Cost	14.098	-	807	14.905
Accumulated depreciation	(4.421)	-	(273)	(4.694)
Net book value	9.677	-	534	10.211
31 December 2022				
Net book value at the beginning of the year	9.910	-	533	10.443
Additions	-	-	137	137
Disposals	-	-	-	-
Transfers	-	-	-	-
Depreciation	(233)	-	93	(140)
Depreciation, Disposals	-	-	-	-
Depreciation, Transfers	-	-	(229)	(229)
Closing net book value	9.677	-	534	10.211
Cost at year end	14.098	-	807	14.905
Accumulated depreciation at year end	(4.421)	-	(273)	(4.694)
Closing net book value	9.677	-	534	10.211

m. Explanations on intangible assets

	Software	Total
31 December 2022		
Cost	351	351
Accumulated depreciation	(235)	(235)
Net book value	116	116
31 December 2022		
Net book value at the beginning of the year	236	236
Additions	-	-
Disposals	-	-
Transfers	(49)	(49)
Depreciation	(117)	(117)
Depreciation, Disposals	-	-
Depreciation, Transfers	46	46
Closing net book value	116	116
Cost at year end	351	351
Accumulated depreciation at year end	(235)	(235)
Closing net book value	116	116



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I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued)

n. Explanations on investment property

None. (31 December 2021: None.)

o. Explanation on deferred tax assets:

The Branch has no tax deductible financial loss. The net amount of deferred tax assets and liabilities calculated over the taxable temporary timing differences between the applied accounting policies and valuation principles and tax legislation, is accounted for as net deferred tax asset of TRY 2,594 (31 December 2021: TRY 1.504).

	31 December 2022		31 December 2021	
	Accumulated temporary differences	Deferred Tax	Accumulated temporary differences	Deferred Tax
Tangible and intangible assets, net	626	125	665	133
Provision for employment termination benefit	12.313	2.462	6.826	1.365
Provision for litigation	28	6	28	6
Total deferred tax asset	-	2.593		1.504
Total tax liability		-		-
Deferred tax asset, net		2.593		1.504

p. Explanations on assets held for sale

As of 31 December 2022: None. (31 December 2021: None).

r. Explanations on other assets

The other assets item of the balance sheet amounts to TRY 4,558 (31 December 2021: TRY 3,464) and does not exceed 10% of the balance sheet total excluding off-balance sheet commitments.



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II. EXPLANATIONS AND NOTES RELATED TO LIABILITY

a. Information on deposits

1. Information on maturity structure of the deposits

There are no deposits with seven days notification and accumulative deposits.

(i) 31 December 2022

	Demand	Up to 1 Month	1 - 3 Months	3 - 6 Months	6 month - 1 year	1 year and over	Total
Saving Deposits	130	-	-	-	-	-	130
Foreign Currency Deposits	226.729	-	-	-	-	-	226.729
Residents in Turkey	61.852	-	-	-	-	-	61.852
Residents Abroad	164.877	-	-	-	-	-	164.877
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposits	2.007	89	-	-	-	-	2.096
Other Institutions Deposits	709	-	-	-	-	-	709
Gold Vault	-	-	-	-	-	-	-
Bank Deposits	784.382	-	-	-	-	-	784.382
The CBRT	-	-	-	-	-	-	-
Domestic Banks	-	-	-	-	-	-	-
Foreign Banks	784.382	-	-	-	-	-	784.382
Special Finance Institutions	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
Total	1.013.957	89	-	-	-	-	1.014.046

(ii) 31 December 2021

	Demand	Up to 1 Month	1 - 3 Months	3 - 6 Months	6 month - 1 year	1 year and over	Total
Saving Deposits	83	-	-	-	-	-	83
Foreign Currency Deposits	216.478	-	-	-	-	-	216.478
Residents in Turkey	46.617	-	-	-	-	-	46.617
Residents Abroad	169.861	-	-	-	-	-	169.861
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposits	2.524	85	-	-	-	-	2.609
Other Institutions Deposits	69	-	-	-	-	-	69
Gold Vault	-	-	-	-	-	-	-
Bank Deposits	745.685	-	-	-	-	-	745.685
The CBRT	-	-	-	-	-	-	0
Domestic Banks	-	-	-	-	-	-	0
Foreign Banks	745.685	-	-	-	-	-	745.685
Special Finance Institutions	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
Total	964.839	85	-	-	-	-	964.924



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II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued)

2. Information on saving deposits insurance

- (i) Information on saving deposits under the guarantee of the saving deposits insurance fund and amounts exceeding the limit of the deposit insurance fund

	Under the Guarantee of Deposit Insurance		Exceeding the Limit of Deposit Insurance	
	31 December 2022	31 December 2021	31 December 2022	31 December 2021
Saving Deposits	129	77	1	5
Foreign Currency Saving Deposits	5.523	3.845	121.246	89.918
Other Deposits in the Form of Saving Deposits	-	-	-	-
Foreign Branches' Deposits under Foreign Authorities' Insurance	-	-	-	-
Off-Shore Banking Regions' Deposits under Foreign Authorities' Insurance	-	-	-	-

- (ii) Saving deposits which are not under the guarantee of deposit insurance fund

None (31 December 2021: None).

- (iii) Saving deposits which are not under the guarantee of saving deposit insurance fund of real

	31 December 2022	31 December 2021
Foreign Branches' Deposits and other accounts	-	-
Saving Deposits and Other Accounts of Controlling Shareholders and Deposits of their Mother, Father, Spouse, Children in care	-	-
Saving Deposits and Other Accounts of President and Members of Board of Managers, CEO and Vice Presidents and Deposits of their Mother, Father, Spouse, Children in care	745	1.082
Saving Deposits and Other Accounts in Scope of the Property Holdings Derived from Crime Defined in Article 282 of Turkish Criminal Law No:5237 dated 26.09.2004	-	-
Saving Deposits in Deposit Bank Which Established in Turkey in Order to Engage in Off-shore Banking Activities Solely	-	-

b. Information on trading derivative financial liabilities

As of 31 December 2022 and 31 December 2021, the Branch has no trading derivative financial liabilities.

c. Information on borrowings

1. Information on banks and other financial institutions:

As of 31 December 2022, the Branch has no borrowings (31 December 2021: None).

2. Information on maturity structure of borrowings:

As of 31 December 2022, the Branch has no borrowings (31 December 2021: None).



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II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued)

d. Information on other liabilities

The other liabilities item of the balance sheet is TRY 7,956 (31 December 2021: TRY 6,104) and does not exceed 10% of the balance sheet total.

e. Information on financial leasing agreements

As of 31 December 2022 and 31 December 2021, the Branch has no financial lease payables.

f. Information on hedging derivative financial liabilities

None (31 December 2021: None).

g. Information on provisions

1. Information on general loan loss provisions

	31 December 2022	31 December 2021
General Loan Loss Provisions		
Loans and Receivables in Group I		
- Additional Provision for Loans and Receivables with extended maturities	2.474	1.427
Loans and Receivables in Group II		
- Additional Provision for Loans and Receivables with extended maturities	3.515	4.086
Non-Cash Loans	-	-
Others	131	44
Total	10.255	6.978
	16.375	12.535

2. Information on reserve for employee rights

The provision for employee rights has been calculated by estimating the present value of the future probable obligation of the Branch arising from the retirement of its employees. TAS 19 requires actuarial valuation methods to be developed to estimate the enterprise's obligation for such benefits. Accordingly, the following actuarial assumptions were used in the calculation of the total liability.

	31 December 2022	31 December 2021
Discount rate (%)	3.11	3.11
Rate for the Probability of Retirement (%)	98.81	98.81

The principal actuarial assumption is that the maximum liability will increase in line with inflation. Thus, the discount rate applied represents the expected real rate after adjusting for the effects of future inflation. The severance payment obligation of the Branch is calculated on the basis of TRY 19,982.83 (31 December 2021: TRY 10,848.59), effective as of January 1, 2023, since the severance ceiling is determined every six months.



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II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued)

Movements in the reserve for employment termination benefits during the periods are as follows

	1 January - 31 December 2022	1 January - 31 December 2021
Prior Period Ending Balance	5.119	3.255
Provisions Recognised During the Period	5.150	972
Actuarial loss / (Gain)	(159)	-
Paid During the Period (-)	-	891
Reversed During the Period (-)	10.110	5.118

The Branch also has a personnel leave provision in the amount of TRY 2,203 (31 December 2021: TRY 1,707) reserved as of 31 December 2022.

3. Information on Provisions Related with Foreign Currency Difference of Foreign Indexed Loans

As of 31 December 2022, the Branch has no provision related to foreign currency difference of foreign indexed loans (31 December 2021: None).

4. Specific provisions for non-cash loans that are non-funded and non-transformed into

The special provisions of non-cash loans that have not been compensated and converted into cash are TRY 797 as of 31 December 2022 (31 December 2021: TRY 568).

5. Information on other provisions

(i) Information on provisions for possible risks

As of 31 December 2022 and 31 December 2021, the Branch has no provisions for possible risks.

(ii) If the other provisions exceed 10% of the total of the provisions, the items causing the excess and their amounts shall be disclosed:

As of 31 December 2022, a provision of TRY 28 was allocated in accordance with the principle of prudence regarding the lawsuits filed against the Branch (31 December 2021: TRY 28). The provision in the amount of TRY 797 (31 December 2021: TRY 568), which is classified in the "Other Provisions" item in the balance sheet, is reserved as non-cash loan provision that has not been compensated and converted into cash.

h. Information on tax payable

1. Information on current tax payable

(i) Information on taxes payable

	31 December 2022	31 December 2021
Corporate Tax Payable	4.825	15.538
Taxation of Marketable Securities	-	-
Property Tax	-	-
Banking Insurance Transaction Tax (BITT)	333	210
Foreign Exchange Transaction Tax	-	-
Value Added Tax Payable	28	29
Other	864	297
Total	6.050	16.074



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II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued)

(ii) Information on premium payables:

	31 December 2022	31 December 2021
Social Security Premiums – Employee	144	67
Social Security Premiums – Employer	177	82
Bank Social Aid Pension Fund Premiums – Employee	-	-
Bank Social Aid Pension Fund Premiums – Employer	-	-
Pension Fund Membership Fees and Provisions – Employee	-	-
Pension Fund Membership Fees and Provisions – Employer	-	-
Unemployment Insurance – Employee	10	5
Unemployment Insurance – Employer	20	9
Other	-	-
Total	351	163

2. Information on deferred tax liability

The Branch has no deferred tax liability (31 December 2021: None).

i. Information on liabilities for property and equipment held for sale and related to discontinued operations

None (31 December 2021: None).

j. Explanations on subordinated loans:

None (31 December 2021: None).

k. Information on Shareholders' Equity

1. Presentation of paid-in capital

Since the entity has the status of a Branch, paid-in capital is not received in exchange for shares.

2. The amount of paid-in capital, explanation on whether the registered share capital system is used, if this system is used the amount of registered share capital

Capital system	Paid-in capital	Ceiling
Registered Share Capital	200.000	200.000

3. Information on share capital increases and their sources; other information on increased capital shares in current period:

None (31 December 2021: None).

4. Information on share capital increases from capital reserves in current period:

None (31 December 2021: None).



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II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued)

5. Information on capital commitments, the general purpose and the estimated sources needed for these commitments until the end of the fiscal year and the subsequent interim period:
None.
6. Information on income, profitability and liquidity of the Group by taking into consideration prior period indicators and uncertainties and their possible effects on shareholders' equity:
There is no adverse change expected in the profitability and liquidity of the Branch.
7. Summarised information about privileges given to shares representing the capital:
None (31 December 2021: None).
1. Information on marketable securities value increase fund:
None (31 December 2021: None).



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III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS

a. Explanations on off-balance sheet commitments

Type and amount of irrevocable commitments:

1. As of December 31, 2022, all off-balance sheet credit commitments of the Branch are irrevocable. There is no payment for the Branch's end-of-term checks (31 December 2021: None).

2. Type and amount of probable losses and obligations arising from off-balance sheet items

There are no possible losses arising from off-balance sheet items. Commitments consisting of off-balance sheet liabilities are shown in the "Off-balance sheet liabilities".

(i) Non-cash loans including guarantees, bank avalized and acceptance loans, collaterals that are accepted as financial commitments and other letters of credit:

	31 December 2022	31 December 2021
Bank acceptance loans	-	-
Letters of credit	1.992	1.420
Other guarantees	-	-
Total	1.992	1.420

(ii) Information on sectoral risk concentrations of non-cash loans

	31 December 2022				31 December 2021			
	TRY	(%)	FC	(%)	TRY	(%)	FC	(%)
Agricultural	-	-	-	-	-	-	-	-
Farming and Raising livestock	-	-	-	-	-	-	-	-
Forestry	-	-	-	-	-	-	-	-
Fishing	-	-	-	-	-	-	-	-
Manufacturing	-	-	-	-	-	-	-	-
Mining	-	-	-	-	-	-	-	-
Production	-	-	-	-	-	-	-	-
Electric, Gas and Water	-	-	-	-	-	-	-	-
Construction	-	-	-	-	-	-	-	-
Services	125	100,00	14.223	73,52	125	100,00	7.299	100,00
Wholesale and Retail Trade	-	-	13.924	71,97	-	-	7.073	96,90
Hotel, Food and Beverage	-	-	-	-	-	-	-	-
Transportation and Telecommunication	30	24,00	299	1,55	30	24	226	3,10
Financial Institutions	-	-	-	-	-	-	-	-
Real Estate and Leasing Services	-	-	-	-	-	-	-	-
Self-Employment Services	95	76,00	-	-	95	76	-	-
Education Services	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	-	-	-	-
Other	-	-	5.124	26,48	-	-	-	-
Total	125	100,00	19.347	100,00	125	100,00	7.299	100,00



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(Continued)**

III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS (Continued)

(iii) Revocable, irrevocable guarantees and other similar commitments and contingencies

	31 December 2022	31 December 2021
Revocable letters of guarantee	-	-
Irrevocable letters of guarantee	9.534	3.368
Letters of guarantee given in advance	7.945	2.636
Guarantees given to customs	-	-
Other letters of guarantees	1	-
Total	17.480	6.004

3. (i) Total amount of non-cash loans

	31 December 2022	31 December 2021
Non-cash Loans Given for the Purpose of Obtaining Cash Loans	-	-
With Original Maturity of 1 Year or Less Than 1 Year	-	-
With Original Maturity of More Than 1 Year	-	-
Other Non-cash Loans	19.472	7.424
Total	19.472	7.424

(ii) Information on non-cash loans classified in Group I and Group II

31 December 2022	Group I		Group II	
	TRY	FC	TRY	FC
Non- Cash Loans	125	19.347		
Letters of Guarantee	125	17.355	-	-
Bank Acceptances	-	-	-	-
Letters of Credit	-	1.992	-	-
Endorsements	-	-	-	-
Underwriting Commitments	-	-	-	-
Factoring Guarantees	-	-	-	-
Other Commitments and Contingencies	-	-	-	-
Total	125	19.347		

31 December 2021	Group I		Group II	
	TRY	FC	TRY	FC
Non- Cash Loans	125	7.299		
Letters of Guarantee	125	5.879	-	-
Bank Acceptances	-	-	-	-
Letters of Credit	-	1.420	-	-
Endorsements	-	-	-	-
Underwriting Commitments	-	-	-	-
Factoring Guarantees	-	-	-	-
Other Commitments and Contingencies	-	-	-	-
Total	125	7.299		

b. Explanations on derivative financial instruments

The Branch has no derivative financial instruments as of 31 December 2022 and 31 December 2021.



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III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS (Continued)

c. Explanations on credit derivatives and risks suffered because of these:

As of December 31, 2022 and 2021, the Branch does not have any credit derivatives and risks suffered because of these.

c. Explanations on contingent liabilities and assets

As of 31 December 2022, a provision of TRY 28 was allocated in accordance with the principle of prudence regarding the lawsuits filed against the Branch (31 December 2021: TRY 28). The provision in the amount of TRY 797 (31 December 2021: TRY 568), which is classified in the "Other Provisions" item in the balance sheet, is reserved as non-cash loan provision that has not been compensated and converted into cash.

c. Explanations on activities carried out on behalf and account of other parties

As of December 31, 2022 and December 31, 2021, the Branch has no services rendered on behalf and account of others.



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IV. EXPLANATIONS AND NOTES RELATED TO STATEMENT OF PROFIT AND LOSS

a. Information on interest income:

1. Information on interest income on loans

	31 December 2022		31 December 2021	
	TRY	FC	TRY	FC
Interests Received from Credits ⁽¹⁾				
Short-Term Loans	7.797	93	2.930	23
Medium and Long-Term Loans	12.859	8.883	5.471	7.496
Interest on Non-Performing loans	26	64	77	106
Premiums Received from the Resource Utilisation Support Fund	-	-	-	-
Total	20.682	9.040	8.478	7.625

(*) Charges and commissions received from cash credits are included.

2. Information on interest income on banks

	31 December 2022		31 December 2021	
	TRY	FC	TRY	FC
From the CBRT ⁽¹⁾	4.892	-	17.609	-
From Domestic Banks	40.740	-	40.075	-
From Foreign Banks	-	-	-	-
Headquarters and Branches Abroad	-	-	-	-
Total	45.632	-	57.684	-

(1) Interest received from Money Market Transactions are included.

3. Information on interest income received from securities

	Current Period		Previous Period	
	TRY	FC	TRY	FC
Financial Assets Reflected in Fair Value Difference in Profit or Loss	-	-	-	-
Financial Assets Reflected in Other Comprehensive Income at Fair Value	1.059	-	-	-
Financial Assets Valued at Amortized Cost	-	-	-	-
Total	1.059	-	-	-

4. Information on interest income received from investments in associates and subsidiaries

The branch has no interest income from subsidiaries and affiliates. (31 December 2021: None).



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IV. EXPLANATIONS AND NOTES RELATED TO STATEMENT OF PROFIT AND LOSS (Continued)

b. Information on interest expense

1. Information on interest expense on borrowings

The Branch has no interest expense on borrowings (31 December 2021: None).

2. Information on interest expense given to investments in associates and subsidiaries

The Branch has no interest expense given to investments in associates and subsidiaries (31 December 2021: None).

1. Information on interest to issued securities

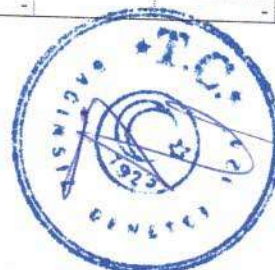
None. (31 December 2021: None)

4. Maturity structure of the interest expense on deposits

There are no deposits with seven days notification and accumulative deposits. (31 December 2021: None).

1 January – 31 December 2022	Demand Deposits	Time Deposit					Total
		Up to 1 Month	1 – 3 Months	3 – 6 Months	6 Months - 1 Year	1 Year and Over	
TRY							
Bank Deposits	-	-	-	-	-	-	-
Saving Deposits	-	-	-	-	-	-	-
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposit	-	3	-	-	-	-	-
Other Deposits	-	-	-	-	-	-	3
Total	-	3	-	-	-	-	3
FC							
Foreign Currency Deposits	-	-	-	-	-	-	-
Bank Deposits	-	-	-	-	-	-	-
Gold Vault	-	-	-	-	-	-	-
Total	-	-	-	-	-	-	-
Grand Total	-	3	-	-	-	-	3

1 January – 31 December 2022	Demand Deposits	Time Deposit					Total
		Up to 1 Month	1 – 3 Months	3 – 6 Months	6 Months - 1 Year	1 Year and Over	
TRY							
Bank Deposits	-	-	-	-	-	-	-
Saving Deposits	-	-	-	-	-	-	-
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposit	-	3	-	-	-	-	-
Other Deposits	-	-	-	-	-	-	3
Total	-	3	-	-	-	-	3
FC							
Foreign Currency Deposits	-	-	-	-	-	-	-
Bank Deposits	-	-	-	-	-	-	-
Gold Vault	-	-	-	-	-	-	-
Total	-	-	-	-	-	-	-
Grand Total	-	3	-	-	-	-	3



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IV. EXPLANATIONS AND NOTES RELATED TO STATEMENT OF PROFIT AND LOSS (Continued)

c. Explanations on dividend income

None. (1 January – 31 December 2021: None.)

d. Explanations on trading loss/income (Net)

	31 December 2022	31 December 2021
Income		
Income from Capital Market Transactions	166.234	308.124
Derivative Financial Transactions	-	-
Foreign Exchange Loss	-	-
Loss (-)	166.234	308.124
Loss from Capital Market Transactions	(129.033)	(246.948)
Derivative Financial Transactions	-	-
Foreign Exchange Loss	-	-
Net Income / Loss	(129.033)	(246.948)
	37.201	61.176

e. Explanations on other operating income

There are no extraordinary income accounted under other operating income.

f. Provision expenses related to loans and other receivables of the Branch

	31 December 2022	31 December 2021
Specific Provisions for Loans and Other Receivables	-	1
Loans and Receivables with Limited Collectibility	-	-
Loans and Receivables with Doubtful Collectibility	-	-
Uncollectible Loans and Receivables	-	1
General Provision Expenses	3.591	6.832
Marketable Securities Impairment Expense	-	73
Financial Assets at Fair Value Through Profit or Loss	-	73
Financial Assets at Fair Value Through Other Comprehensive Income	-	-
Investments in Associates, Subsidiaries and Held-to-Maturity Securities	-	-
Value Decrease	-	-
Investments in Associates	-	-
Subsidiaries	-	-
Joint Ventures	-	-
Other	-	-
Total	3.591	6.906



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IV. EXPLANATIONS AND NOTES RELATED TO STATEMENT OF PROFIT AND LOSS (Continued)

g. Information related to other operating expenses

	31 December 2022	31 December 2021
Reserve for Employee Termination Benefits	1.664	972
Bank Social Aid Provision Fund Deficit Provision	-	-
Impairment Expenses of Fixed Assets	-	-
Depreciation Expenses of Fixed Assets	371	533
Impairment Expenses of Intangible Assets	-	-
Goodwill Impairment Expenses	-	-
Amortization Expenses of Intangible Assets	126	138
Impairment Expenses of Equity Participations for Which Equity Method is Applied	-	-
Impairment Expenses of Assets Held for Resale	-	-
Depreciation Expenses of Assets Held for Resale	-	-
Impairment Expenses of Fixed Assets Held for Sale	-	-
Other Operating Expenses	4.030	2.300
Leasing Expenses relating to TFRS 16 exceptions	-	-
Maintenance Expenses	177	118
Advertisement Expenses	31	19
Other Expenses	3822	2.163
Loss on Sales of Assets	-	-
Other	4.720	3.861
Total	10.911	7.804

h. Explanations on profit and loss from continuing operations before tax

TRY 76.217 of the profit before tax (1 January – 31 December 2021: TRY 73.489) from net interest income, TRY 11.165 (1 January – 31 December 2021: TRY 5,153) consists of net wage and commission income, while the sum of other operating expenses and personnel expenses is TRY 36,082 (1 January – 31 December 2021: TRY 20,950).

i. Explanations on tax provision

1. Explanations on calculated current tax income or expense and deferred tax income or expense

As of 31 December 2022, there are 23,289 TL current tax expense (31 December 2021: 30.245 TL), 253 TL deferred tax expense (31 December 2021: 28 TL) and 784 TL deferred tax income (31 December 2021: 340 TL).

2. Explanations on deferred tax income or expense arising from the temporary differences occurred or closed

As of 31 December 2022, the Branch has a net deferred tax income of TL 531 (31 December 2021: TL 312 deferred tax revenue) arising from temporary differences.

3. Explanations on deferred tax income or expense arising from the temporary differences occurred or closed

None.



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STATEMENTS (Continued)**

IV. EXPLANATIONS AND NOTES RELATED TO STATEMENT OF PROFIT AND LOSS (Continued)

j. Explanation on net profit and losses

To understand the Branch's current year performance, the characteristics of income or expense items arising from common banking transactions, and the dimension and recurrence of these transactions are not required.

The effect of a change in the estimate of the Branch's financial statement items on profit / loss, it is not likely to affect subsequent periods.

There is no profit / loss pertaining to minority shares of the Branch.

k. If other items in the income statement exceed 10% of the income statement total, the presentation of these items in the sub-accounts that make up at least 20% of these items

Information related to other operating expenses is included in section IV-Explanations and Notes Related to on Income Statement title "g".



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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

V. EXPLANATIONS AND NOTES RELATED TO CHANGES IN SHAREHOLDERS' EQUITY

a. Explanation on profit distributions

Retained earnings of the Branch can be distributed through the permission of the BRSA.
There was no profit distribution for the years 2015-2022.

b. Amounts transferred to legal reserves

None (31 December 2021: None).

c. Information on capital increase

None (31 December 2021: None).

d. Information on financial assets at fair value through other comprehensive income

"Unrealized gains and losses" arising from changes in the fair value of securities classified as financial assets at fair value through other comprehensive income are not recognized in current year income statements; they are recognized in the "Accumulated Revaluation and/or Classification Gains /(Losses) of Financial Assets at Fair Value Through Other Comprehensive Income" account under equity, until the financial assets are sold, disposed of or impaired.



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**EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS
(Continued)**

VI. EXPLANATIONS AND NOTES RELATED TO CHANGES IN CASH FLOW STATEMENT

a. Information on cash and cash equivalents

1. Components of cash and cash equivalents and the accounting policy applied in their determination

Cash and effectives together with demand deposits at banks including the CBRT are defined as "Cash"; interbank money market placements and time deposits in banks with original maturities less than three months are defined as "Cash Equivalents". The Branch calculates the effect of change in foreign exchange rate on cash and cash equivalents by the difference between the rates used at the balance sheet date and the exchange rates at the end of the previous month.

2. Effect of a change on the accounting policies

None (31 December 2021: None).

3. Reconciliation of cash and cash equivalent items with balance sheet and cash flow statements

- (i) Information on cash and cash equivalents at the beginning of the year

	31 December 2022	31 December 2021
Cash	1.326.588	1.069.469
Cash and Effectives	534.212	448.523
Demand Deposits in Banks	792.376	620.946
Cash Equivalents	-	-
Interbank Money Market Placements	-	-
Time Deposits in Banks	-	-
Total Cash and Cash Equivalents	1.326.588	1.069.469

The total amount from the operations the in prior period gives the total cash and cash equivalents amount at the beginning of the current period.

- (ii) Information on cash and cash equivalents at the end of year

	31 December 2022	31 December 2021
Cash	1.383.283	1.326.588
Cash and Effectives	385.292	534.212
Demand Deposits in Banks	997.991	792.376
Cash Equivalents	-	-
Interbank Money Market Placements	-	-
Time Deposits in Banks	-	-
Total Cash and Cash Equivalents	1.383.283	1.326.588

- b. Information on cash and cash equivalent assets of the Branch that is not available for free use due to legal restrictions or other reasons

None (31 December 2021: None).

- c. Explanations on the other cash flow items and effect of changes in foreign exchange rates on cash and cash equivalents

The fees and commissions given to the "Other" item, which includes an increase of TL 17,220 (31 December 2021: TL 30,156 increase) in the "Cash Flows Related to Banking Activities", constitute the "Other Operating Expenses" and foreign exchange profit/loss items excluding personnel expenses.

The effect of the change in the exchange rate on cash and cash equivalent assets was calculated as approximately TL 18,002 (31 December 2021: TL 27,172) as of 31 December 2022.



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VII. EXPLANATIONS AND NOTES RELATED TO BRANCH'S RISK GROUP

The volume of transactions relating to the Branch's risk group, outstanding loan and deposit transactions and profit and loss of the period

1. 31 December 2022

Branch's Risk Group ^{(1), (2)}	Investments in associates, subsidiaries and joint ventures		Direct and indirect shareholders of the Branch		Other real and legal persons that have been included in the risk group	
	Cash	Non-Cash	Cash	Non-Cash	Cash	Non-Cash
Loans and Other Receivables						
Balance at the Beginning of the Period	-	-	-	-	161.203	-
Balance at the End of the Period ⁽²⁾	-	-	-	-	329.694	-
Interest and Commission						
Income Received	-	-	-	-	-	-

- (1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.
(2) The information in table above includes banks as well as loans.

2. 31 December 2021

Branch's Risk Group ^{(1), (2)}	Investments in associates, subsidiaries and joint ventures		Direct and indirect shareholders of the Branch		Other real and legal persons that have been included in the risk group	
	Cash	Non-Cash	Cash	Non-Cash	Cash	Non-Cash
Loans and Other Receivables						
Balance at the Beginning of the Period	-	-	-	-	41.911	-
Balance at the End of the Period ⁽²⁾	-	-	-	-	161.203	-
Interest and Commission						
Income Received	-	-	-	-	-	-

- (1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.
(2) The information in table above includes banks as well as loans.

3. Information on deposits of the Branch's risk group

Branch's risk group ⁽¹⁾	Investments in associates, subsidiaries and joint ventures		Direct and indirect shareholders of the Branch		Other real and legal persons that have been included in the risk group	
	31 December 2022	31 December 2021	31 December 2022	31 December 2021	31 December 2022	31 December 2021
Deposit						
Balance at the Beginning of the Period	-	-	-	-	709.020	584.222
Balance at the End of the Period ⁽²⁾	-	-	-	-	725.200	709.020
Interest Expense on Deposits ⁽³⁾	-	-	-	-	-	-

- (1) It is defined in paragraph 2 of Article 49 of the Banking Law No. 5411.
(2) As of 31 December 2022, TL 710,910 of the TL 725,200 deposits belong to Bank Mellat Iran Center and TL 14,290 belongs to the Central Bank of Iran.
(3) As of 31 December 2021, TL 698,649 of the TL 709,020 deposits belong to Bank Mellat Iran Center and TL 10,371 belongs to the Central Bank of Iran.



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VII. EXPLANATIONS AND NOTES RELATED TO BRANCH'S RISK GROUP (Continued)

4. Information on borrowings from the Branch's risk group

Branch's risk group ⁽¹⁾	Investments in Associates, Subsidiaries and Joint Ventures		Direct and indirect shareholders of the Branch		Other items that have been included in the risk group ⁽²⁾	
	31 December 2022	31 December 2021	31 December 2022	31 December 2021	31 December 2022	31 December 2021
Borrowings						
Beginning of the Period	-	-	-	-	-	-
End of the Period	-	-	-	-	-	-
Interest Expense	-	-	-	-	-	-

(1) Defined in the Subsection 2, article 49 of the Banking Act No. 5411

(2) As of 31 December 2022: None (31 December 2021: None).

5. Information on forward and option agreements and other similar derivative transactions with the Branch's risk group

The Branch has no forward and option agreements and other similar derivative transactions as of 31 December 2022 and 31 December 2021.

6. Information on benefits provided to key management

As of 31 December 2022, benefits provided to the Branch's key management amount to TRY 10.608 (31 December 2020 TRY: 4.225).

VIII. EXPLANATIONS RELATED TO THE DOMESTIC, FOREIGN, OFF-SHORE BRANCHES AND FOREIGN REPRESENTATIVES OF THE BRANCH

	Number	Number of Employees	Country of Incorporation	Total Assets	Statutory Share Capital
Domestic Branch	3	43			
Foreign Rep. Offices					
Foreign Branch					
Off-Shore Banking Region Branch					

IX. EXPLANATIONS AND NOTES RELATED TO SUBSEQUENT EVENTS

None.



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SECTION SIX

OTHER EXPLANATIONS AND NOTES

I. OTHER EXPLANATIONS ON THE BRANCH'S OPERATIONS

On 17 October 2018, it was announced by Foreign Assets Control Office ("OFAC"), operating under US Treasury Department, that some Iran-based financial and industrial institutions, including Bank Mellat, the main shareholder of the Branch, were included in the list of secondary sanctions. In addition, after the US announced sanctions, SWIFT, headquartered in Belgium, announced that some Iranian banks on the sanctions list would be suspended for access to the system. Access of the Branch to SWIFT has been cancelled.

Following the inclusion of the Branch on the secondary sanctions list, the Branch was removed from the EFT system by the CBRT and the Branch accounts with the CBRT were closed, excluding the required reserves. Likewise, the closure of the branch's placements in domestic public banks and some domestic private banks was requested by the relevant banks and the funds in question were withdrawn to a large extent. The branch cannot enter the treasury auctions and cannot use the cash it holds in the form of placements in other banks. Therefore, there is a significant decrease in the interest and commission income of the Branch. Although the branch does not foresee any problems regarding capital adequacy and liquidity ratios in the following periods, it is thought that resources / capital can be provided from Iran Headquarters to its branches in Turkey if needed. No difficulties are foreseen in meeting the current obligations of the Branch.

In the upcoming period, the developments will be followed and alternative opportunities will continue to be explored, and efforts to focus on other financial banking products that will generate operating income in a different way have been started. Liquid allocations were made for the purpose of growth in loans.

The Branch's balance sheet size on 31 December 2022 was TRY 1,694,146, the balance sheet size on 30 September 2022 was TRY 1,592,857, the balance sheet size on 30 June 2022 was TRY 1,585,050, the balance sheet size on 31 March 2022 was TRY 1,610,209 and the balance sheet size on 31 December 2021 was TRY 1,580,743.

The capital adequacy ratio of the Branch was calculated as 76.57% as of 31 December 2022, 79.08% as of 30 September 2022, 79.71% as of 30 June 2022, 78.59% as of 31 March 2022 and 76.86% as of 31 December 2021.



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SECTION SEVEN

EXPLANATIONS ON INDEPENDENT AUDITOR'S REPORT

I. EXPLANATIONS ON INDEPENDENT AUDITOR'S REPORT

As of December 31, 2022 and for the interim period ended on the same date, the unconsolidated financial statements were audited by Rehber Bağımsız Denetim ve Yeminli Mali Müşavirlik A.Ş. and the independent audit report dated 17.03.2023 was presented in front of the unconsolidated financial statements.

II. EXPLANATIONS AND NOTES PREPARED BY INDEPENDENT AUDITOR

None.

